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Call: May 2023

Cem ITD Cementation India Limited

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ITD Cementation India Limited

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Date Our Reference No. Our Contact Direct Line
30th May, 2023 SEC/ 05/2023 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Audited Financial Results for the
quarter and year ended 31st March, 2023

Script Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the
Transcript of Analysts / Investors conference call held on 25th May, 2023 relating to the Audited
Financial Results for the quarter and year ended 31st March, 2023 .

We have uploaded the same on the website of the Company at
https://www.itdcem.co.in/wp-content/uploads/2016/06/ConcallTranscript_ITDCementation_25052023.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above
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"ITD Cementation India Limited
Q4 FY2023 Earnings Conference Call"

May 25, 2023

ANALYST: M R. MOHIT KUMAR - ICICI SECURITIES LIMITED

MANAGEMENT : MR. JAYANTA BASU - MANAGING DIRECTOR - ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN - CHIEF FINANCIAL OFFICER –
ITD CEMENTATION INDIA LIMITED
ITD Cementation India Limited
May 25, 2023

Page 2 of 17 Moderator : Ladies and gentlemen good day and welcome to the ITD Cementation's Q4 FY2023 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you Sir!

Mohit Kumar : Thank you Darwin. Welcome everyone. On behalf of ICICI Securities I welcome you all to the Q4 FY2023 Conference Call of ITD Cementation. Today we are pleased to host senior management of the company which is represented by Mr. Jayanta Basu - Managing Director and Mr. Prasad Patwardhan – CFO. The meeting will start with a brief remark by Mr. Patwardhan after which we will open the floor for Q&A. Thank you and over to you Sir!

Prasad Patwardhan: Good evening everyone this is Prasad Patwardhan CFO of ITD Cementation and I thank you all for joining us on this Q4 FY2023 results concall. I will start with a brief introduction on the financial performance of the company during the quarter and for the year ended March 2023 and thereafter I will hand over to Mr. Basu for his initial comments and then we will take questions from you. This quarter and this year we have posted a very strong financial performance for the company with highest ever turnover, profitability, order flows during the year and order book as of March 2023. Our revenue for the quarter has been Rs 1,631 Crores as against Rs 1,174 Crores a year back which is an increase of about 40%. EBITDA is coming at Rs 147 Crores in this quarter as against

Rs 93 Crores on a year-on-year basis that is a growth of 58% and PAT for the quarter is Rs 38 Crores as against Rs 17 Crores a growth of 128% on Y-o-Y basis. For the year ending March 2023 our consolidated revenue has crossed the Rs 5,000 Crores mark as against Rs 3,809 Crores in FY2022 which represents a growth of about 34%, EBITDA is at Rs 463 Crores as against Rs 338 Crores again a growth of about 37% and profit after tax has crossed Rs 100 Crores mark this year. We have reported a profit of Rs 125 Crores as against Rs 69 Crores a year back which represents a growth of about 80% this year. Our balance sheet continues to remain healthy or we have improved upon it to some extent and the net debt to equity is at about 0.22 times. During the year ended March 2023, we have secured new order for over Rs 8000 Crores and that really bodes well and gives us visibility for revenue in the next year or two to come. That is all from my side at the moment. I will now hand over to Mr. Basu for his initial comments.

Jayanta Basu: Good evening to all and welcome to this concall. Thank you Prasad for sharing the financial numbers of last quarter and the year. It is evident that we have made substantial progress in ITD Cementation India Limited
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Page 3 of 17 last quarter. Our revenue has crossed Rs 1,600 Crores which is to be around Rs 1,000 Crores a few quarters back so around 60% growth in the work in progress. With that, we also have good work in hand close to Rs 21000 Crores. The mix of the work in hand also is good which was underground metro and marine components are most. If I touch upon the major contribution last quarter Ganga Expressway has contributed a lot in the progress and then few metro jobs underground that is at Bengaluru and Chennai, Marine jobs Udangudi, Sea Bird, Ennore, Colombo has just started and Sivok to Rangpo our tunnel job at north Bengal also going on well so overall all the segments including few building jobs we have done very good last quarter. We have performed the work in hand what we had. There are few big jobs under tenders in marine and underground sectors, some international jobs, so things are also looking good so I would be happy to answer any questions this is in nutshell about the performance of last quarter and last year. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from

the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Thank you Sir. Thanks for the opportunity and congrats on a very good set of Q4 so going forward what will you guide for FY2023 in terms of revenue EBITDA margins, PAT and order inflow?

Jayanta Basu: I think we would maintain the same run rate in terms of the topline because we have got work in hand and those need to be executed during the given time so revenue we can say the same Rs 1,600, Rs 1,700 Crores per quarter. EBITDA will be around this maybe we will touch double digit end of the year and order inflow last year we have secured Rs 8,000 Crores job, this year also it should be at least Rs 8,000 Crores that is our target.

Nikhil Abhyankar: You just mentioned that we might have double digit margins in FY2024 itself so what exactly has changed in the last two years it is almost 200 BPS jump?

Jayanta Basu: Last two years we had some legacy jobs like elevated metro at Bengaluru and some other places so those we could not do better, now those jobs are behind us so that will contribute to the bottomline. In fact for Bengaluru metro we did not declare any margins for two years though we have done around Rs 1,500 Crores revenue during this period.

Nikhil Abhyankar: So all the legacy orders are behind us?

Jayanta Basu: Yes some claims and some certificates are always the part of this business that will keep on going but more or less we are under control now.

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17 Nikhil Abhyankar: Understood and Sir you mentioned order inflow target of around Rs 8,000 Crores again so do we have any preference regarding the segments where it will come from and what is the pipeline as of today?

Jayanta Basu: We expect that we may get some jobs from overseas neighboring countries in marine division and underground metro at various places as you know the tender being floated so that is what the two areas we are focusing most at this stage. Specifically underground metro job as you know being tendered at many places like Chennai and Kolkata and Kanpur so we are trying to get some of them. Marine jobs also, few marine jobs in Maldives, Bangladesh we are targeting.

Nikhil Abhyankar: Sir you mentioned that Ganga Expressway was a significant contributor for revenue in the last year so how much did it contribute last year and how much will it contribute this year and can you give us the major revenue contributors in terms of projects for the next year?

Prasad Patwardhan: Ganga Expressway last year I think very, very limited. We have just got completed around Rs 300 odd Crores or work but the important issue is that we have started the job in the month of January so during this last quarter itself it has completed Rs 300 Crores at the beginning of the project which is quite significant and this year also Ganga Expressway contribute quite substantial in the topline and then Chennai Metro, Bengaluru Metro and a few other marine jobs in Colombo will be the main contributor this year.

Nikhil Abhyankar: Just a final question. We had announced an order of Rs 8.8 billion for Thal Sena Bhawan but it is not included in the order book as of now so is it relevant still?

Jayanta Basu: I think we have secured this order in last quarter. It has been included in the order book number what you are seeing.

Nikhil Abhyankar: Because in that notification it was mentioned Rs 88 billion was the total order inflow and in this presentation it is 80.

Prasad Patwardhan: It is included in the order book.

Nikhil Abhyankar: I will get back in the queue.

Moderator: Thank you. The next question is from the line of Dhananjay Kumar Mishra from Sunidhi Securities. Please go ahead.

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Page 5 of 17 Dhananjay Mishra: Thanks for the opportunity and congratulations for very strong performance for Q4 as well as FY2023. My first question is related to order inflow so till December itself we had Rs 8000 Crores order inflow and we won two projects including this Bangladesh project so what is the status of Bangladesh project as of now that is Rs 2000 Crores project?

Jayanta Basu: Bangladesh project that has not still been awarded to us so it continues to be as on date.

Dhananjay Mishra: So Rs 27 million L1 is still there apart from Rs 25 Crores order book we have?

Prasad Patwardhan: L1 position is about Rs 1,600 Crores.

Dhananjay Mishra: L1 is Rs 1,600 Crores that is Bangladesh?

Jayanta Basu: That is mainly Bangladesh that is correct.

Dhananjay Mishra: Last two years we are having good profit in JV growth is Rs 32 Crores so this year I think these JVs or this metro project is over so this kind of profit will not come in FY2024 is it right understanding?

Prasad Patwardhan: No I do not think your understanding is correct. It depends on the order mix and where is

the order that we are getting from so if the JV orders are getting completed we have got new orders in the standalone company as well. The JV projects are own projects they are under management and we are executing those projects. It just depends on where the order comes from. If the orders comes in JV then that is disclosed separately in our results and if the orders are in the main company then they are disclosed separately so it is just a matter of presentation otherwise there is no difference.

Dhananjay Mishra: So 10% EBITDA margin this is excluding of JV profit because this quarter its

elf we have

done about 9% EBITDA margin?

Prasad Patwardhan: We are talking about the overall profitability here we are not differentiating between the JV projects and other projects whatever numbers the PAT is being reported and we are going based on the reported numbers.

Dhananjay Mishra: This Chennai and Kolkata metro which were under pipeline so when do you expect these orders to be tendered or these two marine jobs next six months or next three months what is the timeline?

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Page 6 of 17 Jayanta Basu: Timeline depends upon how the clients take it forward. We have submitted our bid and technically this is all expected and evaluated. Evaluation of the price bid will happen once the tender is open but generally speaking it should be another two to three months' time.

Dhananjay Mishra: So that will be significant in the first half the order inflow?

Jayanta Basu: If you are lowest, if you get the job yes.

Dhananjay Mishra: That is all from my side. Thank you.

Moderator: Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari : Hi good evening and thank you. So my first question is on this loss which we reported in our JV so can you just highlight what is it regarding?

Jayanta Basu: Some loss we have declared. You know what happened this job has been completed two years back and the certification process also almost done, during the process of the work we did some additional work for which ad hoc payment was received but the certification is still getting delayed and we thought to provide that amount as loss.

Pratik Kothari : Anymore expected and which project could this be?

Jayanta Basu: This is Delhi elevated CC26.

Pratik Kothari : In our cash flow we see Rs 2,800 Crores of impairment allowance on non-financial asset so is it the same or is it something different?

Prasad Patwardhan: It is not the same. The provision for doubtful debts on the standalone is basically expected credit loss provision that we have taken in the books.

Prasad Patwardhan: The Rs 2,700 Crores provision for doubtful debts are in the standalone entity whereas this loss is around the JV project which was completed a couple of years back so this is different from the provision for doubtful debts?

Pratik Kothari : Fair enough but coming to provision for doubtful debts it went from 9 odd Crores to 28 now any reason we were expecting that lot of our legacy provisions, etc., were all done and dusted so why such a large number?

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Page 7 of 17 Prasad Patwardhan: This is largely coming out of the expected credit loss provision. It is the requirement under the accounting standards so that is why we have provided for it. We do not expect this amount to result in loss but the accounting standard requires us to make this provision and based on that we have made this provision in the books but we expect to recover the money in full that is why that is a provision it is not a write off.

Pratik Kothari : Sir in the last call we had mentioned that by Q1 of FY2024 we should be closer to almost doing double digit margins but I think now in the opening remark we mentioned that it might be towards the end of the year, what are we missing and are we delaying double digit margin guidance we had given earlier?

Prasad Patwardhan: No we have never said that we will achieve double digit margin in Q1. We have always said that this will be a gradual process and you will see the improvement during this year that is FY2024 and Mr. Basu made those initial comments. He said that we will see that during the year now exactly in which quarter that will happen it remains to be seen but the trend is towards improvement in margins and we should be reaching that status sometime during this year.

Pratik Kothari : When we say double digits do we include the JV in that or we

do not?

Prasad Patwardhan: That is correct we do.

Pratik Kothari : Fair enough and Sir my last question is on order inflow across various infra companies the order booking for this quarter was substantially higher than what we have booked in Q3 or in the first five months we have not been that kind of order book is it that the competition has increased or currently we have our plates full and we do not want to go aggressive on that what is the thought process there?

Prasad Patwardhan: I think it is a mix of everything that there is a timeline issue, which company has bid for which and when that matters because in our segment like marine or underground segment we might not have got any order in last quarter but that is what we got. We have seen totality. Totality if you see our order book has increased a lot in this year Rs 8,000 Crores plus.

Pratik Kothari : Fair enough and Sir my last question on this Karnataka issue which had come out. We are not stopping all work, not releasing payments, we have explained what our exposure there but how much to the local government are there any changes in the kind of work we do?

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Page 8 of 17 Prasad Patwardhan: No I do not think there is any issue with that. There is some statement somebody told me. We are doing two major work in Karnataka, one is underground metro at Bengaluru which is totally funded either by ADB and it is joint venture of state government and central government so there is no way that in this job because in fact the new government also trying to increase the provision to achieve some milestones about the underground metro so there is no issue and second job we are doing that is a different job, Indian Navy project Seabird Karwar that has got no connection with the state government so I do not think it is to be taken as a matter of concern.

Pratik Kothari : Fair enough. Great and thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Rathie from Right Shopping Pvt. Ltd. Please go ahead.

Rajesh Kumar Rathie : Thank you for taking my call. One question is about the provision for income tax. I think this quarter the provision seems something like 45% so what is the reason for that and what is your guidance for next quarter onwards?

Prasad Patwardhan: The provision for tax is brought on the profit before tax that you see in the reported numbers but there is an element of some losses that we have taken in the JV projects or the provision for doubtful debts the expected credit loss that we have recognized during the quarter so that gets added back to the profit and hence the taxable profit for completing the tax liability is higher and the tax provision is made on that number, not on the PBT that you see on the face of other events.

Rajesh Kumar Rathie : So what is the guidance for next quarter onwards would it be something like 25-26% or more than that?

Prasad Patwardhan: Gradually it should come to that level. I think next quarter onwards it should be around 25%.

Rajesh Kumar Rathie : My second question is about the topline for FY2024 I think we will be doing substantial Ganga Expressway project next year which should be something around Rs 1,800 to Rs 2,000 as guided before so if I deduct that from the topline guidance of about 20-25% growth the rest of the thing there is no growth at all it seems so how do you explain that?

Prasad Patwardhan: Why should we deduct that, this is an order that we have own, we are in the process of executing the order, we must definitely consider it when we look at the growth of the

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Page 9 of 17 company's revenue this year versus the previous year. There is no reason for us to exclude the turnover from the Ganga Expressway project.

Rajesh Kumar Rathie : Understood. Thank you so much.

Moderator: Thank you. We have the next question from the li

ne of Ramanan Venkateswaran from MK

Ventures. Please go ahead.

Ramanan V : Good evening and congratulations for a great set of numbers. Couple of questions again like last time projects were threshold levels for margin recognition not being reached, second is the Bangalore elevated expressway do we expect completion by the end of first quarter or probably second quarter of this year that is second and last of course what do we see as the project pipeline for us going forward?

Jayanta Basu: I think I will start from the last one project pipeline as we have been discussing around Rs 17,000 Crores domestic tenders are in the pipeline, there are few international jobs put together will be around Rs 3,000 to Rs 4,000 Crores, I think the domestic part of them are marine and part of them are underground metro and some building and international we have got two marine jobs in Bangladesh and one job in Maldives. These are the main jobs we are targeting and we are actively working for tender process. Now your second question

was Bengaluru metro elevated, Bengaluru metro elevated in all aspect it is now completed. The physical work is completed. Two jobs already have got the taken over certificate that is as you know in whitefield area so they have taken over and the other side also one job they have taken over. Last one that job also which was under construction is over now so in physical sense all the work in Bengaluru metro has been completed and what was the first question.

Ramanan V : For you to say that this is fully completed where everything gets sorted out it will take three to six months for you post that?

Jayanta Basu: Completed means physical work has been completed, now balance remaining part that is finalization of the pre final deal, reconciliation of the material, winding up of the site so those things will continue, normally for big job it continues for six to seven months time minimum.

Ramanan V : The first question was projects where we have not yet reached threshold levels for margin recognition in the last quarter?

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Page 10 of 17 Prasad Patwardhan: Among the larger project that would be the project that we are executing in Colombo and Thal Sena project that was awarded to us last year I think other than that to maybe marginal to almost other projects.

Ramanan V : So in terms of value how much should that be?

Jayanta Basu: Previous year we had something like 200 Crores of revenue did not have margin recognition.

Prasad Patwardhan: Mr. Ramanan I do not have the number at the moment maybe offline we can reconnect and share that number.

Ramanan V : Fine. Thank you so much.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Congratulations Sir on good set of numbers and strong execution. I just wanted to understand one thing on accounting part of it, we have paid a very high tax at consolidated level as compared to the earlier year I just wanted to understand going ahead are we shifting to a lower tax rate of 25-26%?

Prasad Patwardhan: We will see the tax rate coming down to 25%. It is just like PBT that we have reported in this quarter after considering the provision for the expected credit loss and some losses that we have taken on our JV projects so the actual PBT on this is completed is higher than the numbers that you see in the reported financials so that is the reason but gradually from subsequent quarters you will see the tax rate coming down to around 25%.

Vignesh Iyer : But Sir even if I take the entire year we have actually paid more than that. I understand on Q4 part usually divestment needs to be done but overall as a year itself we have paid more tax.

Prasad Patwardhan: I do not think we have paid more tax. The tax computation has been done correctly. I mentioned there are two, three components, the profit loss in the joint

ventures and the

provision for doubtful debts of the expected credit loss, if you adjust the reported PBT for these numbers and then calculate the tax at 25% you will come to the number that is mentioned in our reported numbers.

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Page 11 of 17 Vignesh Iyer : I will probably do it. On the share of profits that you get from joint ventures now we have been doing some consistently 30 plus for the last two years just wanted to understand do you think we can maintain the profitability at this level?

Jayanta Basu: In fact the order wins in our order book is changing we are getting more and more projects in the standalone company and there is no need for us to go into joint ventures. The order book is largely in the standalone company then the profitability will also be in the standalone entity and the profit or loss for the JV projects will taper off we may see some profits in the current year that is FY2024 but beyond that we do not see any significant contribution coming in from JV projects.

Vignesh Iyer : Fair enough Sir. Thank you Sir and all the best.

Moderator: Thank you. The next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.

Pujan Shah : Hi Sir. First question would be are we seeing any delay in project execution or any project have been like any timeline specific and then it has been delayed due to feasibility issues or political issues anywhere?

Prasad Patwardhan: Not really.

Pujan Shah : The total bidding tender what would be the number I think I just missed out that?

Jayanta Basu: Are you talking about tenders in pipeline or submitted?

Pujan Shah : I am talking about the total tender we have done till date for the project pipeline for the upcoming projects.

Jayanta Basu: Around Rs 17000 Crores tender we are pursuing.

Pujan Shah : We have the conversion ratio of 20% right that is what we have maintained initially?

Jayanta Basu: That is what has been the historical data.

Pujan Shah : With that perspective if you look into it we have already Rs 20000 Crores and if you see this conversion sheet it will be around Rs 3500 Crores so on a total order book it is less than 20% growth so are we seeing any slowdown in the economic scenario or what has been looking into it?

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Page 12 of 17 Jayanta Basu: No I do not think so because we have a plan for this year and we know this year how much work we can execute from the work what we have and how much work we should secure to meet our target and we are comfortable with that whatever tenders we are pursuing or whatever future prospects we have I think it is okay.

Pujan Shah : We have started the Sri Lanka project or it will start like this Q1 FY2024?

Jayanta Basu: Work already started, permanent work already has started installing foundation work at Colombo.

Pujan Shah : So recognition will be flow from this fiscal year?

Jayanta Basu: It is initial time so it will take two quarters to come.

Pujan Shah : Last question would be we have guided revenue of 6500 Crores that is correct right?

Jayanta Basu: Yes 6500 Crores I think that is the number we have mentioned.

Pujan Shah : So this is the number actually what we have previously said that we have been executing Rs 6,000 Crores now we have reached that so are we seeing that the execution pipeline would be more stronger in the terms because we have been saying that this is the highest growth in terms of revenue are you saying the execution figure will be most faster or we are saying the order book will be more stronger and the execution will be what we have assumed?

Jayanta Basu: See it depends upon the size of the job you do. Nowadays the jobs what we are doing are quite big but at the same time for a small job and for a big job completion times are almost same two years to two-and-a-half years so naturally if you have clearly good job like Ganga Ex

pressway or Bengaluru metro or other marine jobs so run rate will be much better than previously what we used to do.

Pujan Shah : The total order book if we see is Rs 20000 and we are saying that the execution pipeline would be two-and-a-half years so are we being conservative in the revenue guidance because if you convert also by 0.5 it would be much better revenue in terms of execution?

Jayanta Basu: It was to think what could be the number.

Pujan Shah : No issues. Thank you so much Sir.

Moderator: The next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.

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Page 13 of 17 Prem Khurana : Thank you for taking my question. Sir book keeping question so when I look at the order backlog and look at the geographical breakup that you have given in your presentation Gujarat number seems to have come down substantially from 1800 odd Crores to 800 Crores have we removed any order from there and same in the case of marine there is a sharp drop sequentially so what would explain this drop in the Gujarat or let us say marine number?

Jayanta Basu: Well I think there are two factors normally marine jobs are executed very fast. If we have underground metro if we take four-and-a-half years to five years same kind of marine job we execute in two years so that is one thing and second is few of the Adani contract small jobs two or three jobs which we have not taken because they are temporarily suspended so unless we know what will be the final stand we have removed it from the order book.

Prem Khurana : Sure but fair to assume that some of these projects should be essentially new wherein you are still to start and which is where you would have decided these projects wherever you have already made some progress and continue because last time you highlighted the payment cycle is still good for Adani orders?

Jayanta Basu: Well Adani payment cycle is still very good. Ganga Expressway we are getting paid within 10 to 15 days of our billing but I think I have also mentioned that there are two kind of jobs we are doing for Adani one job is the captive job they want to build their own facility at their own port so that they have kept in hold for a few more months or quarter so hopefully they will start and we will start the work again.

Prem Khurana : As far as Ganga is concerned the execution cycle is 27 months?

Jayanta Basu: Yes 27.

Prem Khurana : We are on track right we would be able to finish that kind of timeline?

Jayanta Basu: Yes 27 months for Rs 5000 Crores job is very tight but so far the way it is going on we are hopeful that we will be able to do that.

Prem Khurana : In terms of capex it has been on a higher side this year more than 400. I am assuming this would be essentially because of Chennai and the Bengaluru underground so what ideally should be the number for the next year assuming this is the order back log I understand if you look at some new order where you procure some new equipment it could go higher but otherwise what ideally should be the number I am assuming it will be the same mix that you would be able to have in FY2024 in terms of order inflow?

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Page 14 of 17 Prasad Patwardhan: Well it depends upon the mix, type of the job essentially for the underground metro the machine cost is very high like tunnel boring machine, trench cutter etc., which we have to purchase for Bengaluru and Chennai so definitely it will come down because we do not expect that much of underground metro job we will be bid for and even if we bid already the machines what we have those can be utilized.

Prem Khurana : Sure and also if you can share your thoughts on the debt part this quarter the net debt has come down substantially part of it I am assuming is explained by the EI phenomena wherein the government authorities tend to release payments because they want to exhaust

their budgets fair to assume it will normalize in Q1 and Q2 and again we will get to have similar sort of reduction in Q4, Q3 because H2 generally tends to be better in terms of payment cycle?

Prasad Patwardhan: Yes that is correct that is what we have seen over the years and we expect that to continue.

Prem Khurana : Sure Sir. Thank you and that is it from my end. All the very best for future.

Moderator: Thank you. The next question is from the line of Alisha Mahawla from Envision Capital.

Please go ahead.

Alisha Mahawla : Hi Sir good evening. Thank you for the opportunity. Just needed two clarifications to comments made earlier one is that our pipeline currently for 2024 is Rs 17000 Crores and we normally have 20% but we have also mentioned that the kind of order inflow looking for is Rs 8000 Crores so there is a significant gap if you could just help me understand this?

Jayanta Basu: The tender will keep on coming it is not that whatever we start with that will be whole year figure. Again we will get some new tender tomorrow, next month so on and so forth so far we have got Rs 17000 Crores. We may get some jobs from there again new tender will come so it goes like that.

Alisha Mahawla : I understand that these are tenders that are currently announced so at least we know that they can get finalized in the next one year we know that this is a slow and long process anything new that gets announced that flows in the financial year for us to see the kind of inflow we are targeting?

Jayanta Basu: Yes if you target big jobs, each jobs Rs 5000 to Rs 6000 Crores like that four or five tender if you do you may expect some order from there so it is a process of whole year and Rs 17000 Crores whatever we have it may increase next month also so it is quite achievable Rs 8000 Crores new order is not difficult task.

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Page 15 of 17 Alisha Mahawla : Sure understood great and my second question is with respect to margins we did mention that we target double digit margins are we targeting it for the full year or are we saying sometime during the year we will hit it in some or particular quarter but it may not be double digit for the entire year?

Jayanta Basu: So it depends upon how it goes gradually our budget will be better and better. It is now 9% maybe next quarter it will be little bit more than that so end of the year where we are that we need to see but we will hit double margins this year that is what we have said in some quarter.

Alisha Mahawla : Thank you.

Moderator: Thank you. The next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta : Congratulations Sir for very good set of numbers. Most of my questions have been answered. I just had two questions first is regarding our legacy Bengaluru metro order. Sir what is the expected receivables which is still pending including the claims which we may have to charge them?

Prasad Patwardhan: Well Bengaluru metro as far as financials are concerned we have our pre-final bill and final bill submitted and being submitted for last job so that needs to be certified. The amount receivable I have to check I do not have the number immediately with me but physically

work is completed as we have just mentioned.

Deep Meht a: Approximate number will also do.

Jayanta Basu: We can get back to you offline on this it is not ready right now with us.

Deep Meht a: Sure Sir and my second question is regarding margins like you said that slowly and steadily your margins will improve and by this year we will hit double digit in a quarter so is it fair to assume that with current order book which we are having in FY2025 we will have double digit margin for full year as well?

Prasad Patwardhan: Yes that is the expectation based on whatever work we have and if we get few jobs with good margin we should have double digit margin next year for sure.

Deep Meht a: Sure S

ir this is very helpful. That is all from me. Thank you very much.

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Page 16 of 17 Moderator: Thank you. The next question is from the line of Jaitra Mayani from ICICI Securities. Please go ahead.

Jaitra Mayani : So my first question is when I look at the balance sheet on the asset side there is a line item called contract assets which is unbilled work in progress I wanted to ask if we have a number for the same thing as in contract liabilities because I do not see that mentioned?

Prasad Patwardhan: There is no number as contract liability but the corresponding number will be included in other current liabilities I guess.

Jaitra Mayani : Would you be able to give the breakup for that or is it clubbed as other current liability?

Prasad Patwardhan: It is in the range of Rs 375 to Rs 400 Crores.

Jaitra Mayani : My second question is if you could give a rough number for the capex next year?

Prasad Patwardhan: Capex this year that is FY2023 has been about Rs 300 Crores.

Jaitra Mayani : Next year what would be the rough estimate?

Prasad Patwardhan: Next year it will be lower than this. This year it has been a bit different because of the orders that we have secured in the last year and the previous year earlier so we do not expect the capex to be that high this year and this could be in the range of Rs 100 crore plus in this year.

Jaitra Mayani : Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Sunil M Kothari from Unique Portfolio Managers. Please go ahead.

Sunil M Kothari : Thank you Sir for the opportunity. Just one question you are being in this business and this India experience so many years of experience what precautions are we taking to lose money on some maybe because of some external reasoning and internally you try your best to have a solid contract, very clear guidelines and terms and conditions, what additional precaution we are taking with your past experience that we may not lose very big on any project if you can detail a little bit on qualitatively?

Jayanta Basu: I think it starts from the process of selection of the bid so we have our own risk mitigation system in our company so which bid to go for and not to go for that is the first and foremost important thing that we do and once we select the bid and we submit the bid, while

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Page 17 of 17 submitting also we take care of the risk which is involved for this job, some job may have got different type of risk, more risk or less risk that will factor in our price and then eventually when we get the job when it comes to operation we have to put a proper plan and methodology and put proper person there, people there to execute the job this is how it goes.

Sunil M Kothari : I am trying to understand is compared to say last 2007 upcycle of capex so many companies have got very big orders, big business but ultimately they have lost used money also, so what precaution or what learning, what experience we are utilizing to maybe avoiding those type of some unfortunate things and it can happen to us?

Jayanta Basu: I think we should have a separate session with you because this is a very big subject but you have to understand that we have been in this business for last 90 years plus. We have got our inherent culture to risk mitigation committee so it is a big subject it depends upon which segment we are working, what is the area geographically, who are the clients and what team we have, what machines we have, many factors are there and we apply our knowledge and experience to mitigate the risk.

Sunil M Kothari : Thank you Sir. Wish you good luck.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to the management closing comments. Over to you Sir!

Jayanta Basu: Thank you very much for joining us on this Q4 FY2023

earnings call. We look forward to

interacting with you again in the next quarter. Thank you once again.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

Cem ITD Cementation India Limited

Commitment, Reliability & Quality

ITD Cementation India Limited

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Date Our Reference No. Our Contact Direct Line
10th August, 2023 SEC/ 08/2023 RAHUL NEOGI 91 22 67680814
rahul.neogi@itdcem.co.in

Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Unaudited Financial Results for
the quarter ended 3 0th June , 2023

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the
Transcript of Analysts / Investors conference call held on 8th August , 2023 relating to the Unaudited
Financial Results for the quarter ended 3 0th June, 2023 .

We have uploaded the same on the website of the Company at
https://www.itdcem.co.in/wp-content/uploads/2016/06/ConcallTranscript_ITDCementation_08082023.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above
ITD Cementation Q1 FY24 Earnings Call - 1 - 08/08/2023

ITD Cementation
Q1 FY24 Earnings Conference Call

Event Date / Time : 08/08/2023, 11:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Jayanta Basu
Managing Director

Mr. Prasad Patwardhan
Chief Financial Officer

Mr. Bharat Jain
ICICI Securities Limited

ITD Cementation Q1 FY24 Earnings Call - 2 - 08/08/2023
Moderator

Good morning, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to ITD Cementation Q1 FY24 Earnings Conference Call. As a reminder, all participants will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing * and then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Bharat Jain from ICICI Securities Limited. Thank you and over to you sir.

Bharat Jain

Thank you. Good morning, everyone. On behalf of ICICI Securities, I welcome you all to the Q1 FY24 earnings call of ITD Cementation India Limited. Today, we are pleased to host the senior management of the company, which is represented by Mr. Jayanta Basu, Managing Director, and Mr. Prasad Patwardhan, CFO of the company. I will now hand over the call to Mr. Patwardhan for his comments. Thank you and over to you sir.

Prasad Patwardhan

Thank you. Good morning, everyone, and thank you for joining us for this Q1 FY24 earnings call. Before I begin the discussion, I would like to mention that during this call, there could be some forward-looking statements, which will be subject to a number of risks and uncertainties and the actual results going forward could differ from these statements, so I would request you to bear that in mind. Let me touch upon our financial performance during this quarter ending June 23. We have seen a very robust healthy performance during the quarter on the back of a strong order backlog.

We have reported the highest ever quarterly income of over INR 1,800 crores as against INR 1,098 crores a year ago, which represents a growth of about 67% on the YoY basis. EBITDA for the quarter stood at INR 174 crores as against INR 101 crores a year back, a growth of about 73%, and PAT for the quarter was about INR 52 crores as against INR 30 crores a year back. Our balance sheet is in good shape with net debt equity of just around 0.5 times. These are my initial comments and I will take your question going forward, but before that will handed over to our MD, Mr. Basu for his initial comments from the operations of the company.
ITD Cementation Q1 FY24 Earnings Call - 3 - 08/08/2023

Jayanta Basu

Thank you, Prasad, and good morning, all of you. Thank you for joining the con call. This is Jayanta Basu, I will explain you on our operational performance for the last quarter. As you have seen that our revenue has scaled up to INR 1,800 crores, which is to be around INR 1,000 crore a year back, so it's the big jump and we hope that we'll be able to maintain the similar tempo going

forward. The operations mostly contributed by two big jobs, like Chennai Metro, both the contract has done well last quarter. Bangalore Metro has also contributed significantly. The most contribution has come from Ganga Expressway, we are executing at UP, most of the revenue has come from there.

Otherwise in Marine IOCL at Ennore Port has done well, JNPT contract, then Udangudi as usual has done well. This is a great quarter. So, these are the main contributors for the last quarter revenue at the bottom line. About the visibility and the prospects, we have got another INR 18,500 crores work in hand. I also must add here that there are two big contracts where we are L1 and expect that the LOI will be at least by this month end, put together will be around INR 5,500 crores, both the job together. There are a few more jobs under pipeline, under tender, in various stages of pre-qualification or tender. So, that's all from my side and we'll be happy to answer your questions. So, please go ahead. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session.

n. If you

have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. I repeat ladies and gentlemen, if you have any question please press * and 1 on your telephone keypad. First question comes from Bajrang Bafna from Sunidhi Securities. Please go ahead.

Bajrang Bafna

Congratulations for a good set of numbers. Sir, my first question pertains, if we see the last couple of quarters as per your guidance, the execution has been pretty strong and that is expected to pick up even going forward. But in terms of margins, we are yet to see the 10% kind of margin that perhaps you are guiding us maybe should be possible in foreseeable future. So, considering ITD Cementation Q1 FY24 Earnings Call - 4 - 08/08/2023 the execution pickup and the legacy orders are behind us, when do we expect that to be go towards double-digit margins?

And since, now our hands are full with a lot of orders and we are getting more and more selective in terms of choosing orders. So, can we expect that the new orders that you are envisaging where your L1, the margin profile, is far better than what we are having in our hands currently? So, some guidance on these margins for the existing orders and the forthcoming orders would be really great, sir, if you could guide us in that sense.

Jayanta Basu

Well, I'll tell you about the long-term issue. For sure that the new tender, new bid will definitely which is better margin than what used to be before, considering our work in hand and considering the opportunities we have. So, that effect will come, not now, maybe after one and one-and-half year. But immediately, as we have mentioned before that for the later part of this year, maybe from third and fourth quarter, you will definitely see improvement in the margins as we have discussed double-digit sort of things. In fact, in this quarter also margin is close to 9.4-9.5%. So, there is a little bit of improvement in that as well. That is what I can say at this point. So, we have to wait for another one quarter or two quarters to get the desired marginal numbers.

Bajrang Bafna

Okay. And, sir, my second question pertains to the visibility because earlier in the last calls you've guided that we'll be doing close to INR 6,000 crore kind of revenue. But considering the superb execution in this quarter, can we expect now the earlier guidance of INR 6,000 crore sort of revenue in FY24 can be revised a little bit upwards? I know that the second quarter is again monsoons are pretty havoc in different parts of the country. So, how our work got impacted in Q2, if in any sense that you are seeing right now? And any guidance on this revision of the INR 6,000 crore kind of execution that you guided us earlier in the last quarter? So that will be helpful. Thank you, sir.

Jayanta Basu

Well, INR 6,000 crores definitely is achievable and if not more than that close to INR 7,000 crore or even that will be possible because we don't have any job which is being an issue. I mean, we ITD Cementation Q1 FY24 Earnings Call - 5 - 08/08/2023 should go ahead, except coming two-three months of monsoon. So, you can expect the number

that we have taken before is more than that.

Bajrang Bafna

Okay, great. Thank you. I'll come back in the queue.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Rajesh Kumar Rathie from Right Shopping Private Limited. Please go ahead.

Rajesh Kumar Rathie

Yes, thanks for the opportunity. My question again is on the margin front. What I noticed is that we are doing net profit margin of less than 3%, whereas the competitors are same people in the field though there is no direct linkage. Like, NCC has guided for 5% net profit margin. HG Infra, who is doing, they are doing the same Ganga Expressway, they have 9-percent

-plus net profit margin. We have this quarter at least done substantially the Ganga Expressway, which is I think, I would presume should be around 30-35% of the turnover, but still the margin is 9.5%. Where are we going wrong? So, I'd like to understand more on this.

Jayanta Basu

Okay. So, you have referred about HG Infra and NCC, and I agree that their margin, HG Infra is way above than anybody else and NCC also 4-plus 5%. But I also like to mention that there are other companies of our nature like if you can mention their margin, I would have happy to know the margin what they are doing. 3% margin what you have seen today that is based on past legacy projects, some of our old jobs and some of the jobs which you are not able to recognize the margin. So, as I say, it'll improve gradually and definitely we are monitoring the margins of other companies as you have mentioned. We are not going wrong anywhere. Ganga Expressway has ITD Cementation Q1 FY24 Earnings Call - 6 - 08/08/2023 contributed whatever contribution has to come from there. So, I don't see that much of issue on that. We have to wait a bit for another one or two quarters to get better margin.

Prasad Patwardhan

Just to add further to what Mr. Basu said, some of the companies that you mentioned just now, other than ITD Cementation, they are having projects which are slightly different nature like a BOT or a HAM Project. So, then accordingly the margin profile will also be different. We are in the pure EPC space. So, strictly our numbers, the EBITDA margins, etc may not be comparable with some of the other companies that you mentioned.

Rajesh Kumar Rathie

No, of course, it is not directly comparable. But especially given that HG Infra has done substantially the Ganga Expressway project, and we are doing the same, so that is why it's a bit of a concern. And I just hope management will look deeply into that, so that the profile improves, because we are almost at the kind of peak of the cycle, infra-cycle, around that at least. And at this time if we don't improve our margins, I'm worried about what happens after two, three years. So, well, one was that. Second was the tax percentage, again this time is high at 33.5% around. Last time we discussed that and I had a question on that, and I think the management guided that it should be around 25-26%. So, what is missing here?

Prasad Patwardhan

No, nothing is missing. Firstly, your point regarding the margins is noted. And we have taken action to see an improvement in the margins. And as Mr. Basu mentioned, we hope to see an improvement in the margins in the later part of this year. Coming to your question on the tax provisioning, we're doing one elevated metro project in Bangalore, where we have taken a provision of about INR 29 crores in this quarter. So, that doesn't impact our tax provision. So, the tax provision is on the PBT plus the loss that we have taken on Bangalore Metro, so that works

out to about 25%. Optically the tax provisioning seems to be higher, but that is because of this one-time loss that we have taken on the Bangalore Metro project.

Rajesh Kumar Rath

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So, again, in this quarter, you have taken that provision, right? That Bangalore Metro loss provision, you have done in this quarter again? Last quarter, similar thing, I think.

Prasad Patwardhan

That's correct.

Rajesh Kumar Rath

Okay. So, have we done away with that Bangalore loss thing or will it recur again in next quarter onwards?

Jayanta Basu

No. I mean, as per as I can say that most of the provisions has been done. And in fact, this provision of INR 29-odd-crore also we have a very prudent approach. So, we have more or less here that this will come, but we have kept a provision for that and we don't expect any further provision or loss to make in this contract.

Rajesh Kumar Rath

Y

es, that could be important because for the last two quarters we have been listening to this. So, of course, yes, everything is not in your hand, but okay. So, now my third question, the last question is about the orders because the last five-six months we hardly have any orders that we have received. That Bangladesh order L1 position for three-four months, we have not received the order yet. So, what is the position on the ground? Are we seeing less ordering or it is to do with our higher quotation or higher bids?

Jayanta Basu

Both of them. As I have mentioned that Bangladesh order, the Prime Minister has already signed the MOU last week, and we are expecting orders, even it can come today. Other one, big Marine job in east coast of India close to INR 4,000 crore order also we expect at any time. To add in last quarter, you can imagine that our order book by this time would have been INR 5,000-crore-plus.

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Rajesh Kumar Rath

What is the status of this Chennai Metro, the bids that we had submitted?

Jayanta Basu

Chennai Metro, I think, altogether five bids we have submitted and two bids we are very close to L1. There is hardly any difference, but see we're not the L1. Obviously, these we are not seen, so our price is a little high. So, as far as we are concerned, we have lost all the five bids in Chennai Metro.

Rajesh Kumar Rath

Oh, that's a bad news. Okay. Thank you.

Jayanta Basu

Not that bad news, let me clarify that, demand is already we are executing INR 4,000 crores of jobs, and two jobs what were we expected was close to our existing jobs, but other jobs become regret because it is better not to put our legs in one basket.

Rajesh Kumar Rath

Yes, that is true. Okay. Thank you. Thank you for the opportunity once again.

Moderator

Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari

Hi. Good morning, sir, and thank you. Sir, one question on the competition. We did speak about, one, given a pretext full we've raised through in terms of acquiring new projects, and we do hear ITD Cementation Q1 FY24 Earnings Call - 9 - 08/08/2023 this commentary across multiple infra here. So, are you seeing a change in terms of the discipline or in terms of pricing when it comes to bidding for a new project?

Jayanta Basu

I couldn't get your question. Can you repeat it, please?

Pratik Kothari

Sir, my question is on the competition part. Are we seeing a change in terms of the pricing discipline amongst our peers, and when it comes to bidding for a project, the number of players who participate in each tender?

Jayanta Basu

Well, it is very dynamic, because once upon a time, you have only 5 to 10 bidders for road project, now you find 25 bidders. In elevated Metro, it was only three-four, now it is 15, underground also now it has. So, it will continue like that, but today, one thing, which is I must mention that the jobs are quite big in terms of the value INR 2,000, 3,000, 4,000 crore in that range. So, there lies the opportunity for the players like us who get qualified, so that gives us some advantage. And as because the opportunities are more, definitely the contractor must be quoting at a better margin than what is before.

Pratik Kothari

Correct. So, if it's, I mean, just to tie that up, I mean if the number of bidders for each tender is significantly higher. We did mention that now we are bidding at something which gives us higher margins and see those changes one-two years out. So, how does that work out then?

Jayanta Basu

Well, see today, I mean, for last few years, we have not participated in any outside tender. Last one or two years, we have hardly participated in elevated Metro.

But at the same time our revenue is going up, our work in hand is going up. That means every time we have to find the ways and means how to know strategize our bidding, go abroad, getting big ticket jobs, which is ITD Cementation Q1 FY24 Earnings Call - 10 - 08/08/2023 to be not our cup of tea because we're not qualified. So, it's that dynamic situations as I say, I mean, that will remain and we have to think about that. But I don't see any issue because there are opportunities elsewhere where the competition is less. So, we are confident that there shouldn't be much problem with the competition.

Pratik Kothari

Where would that be the, where the competition is less and where we will bring in some technical capability of our own?

Jayanta Basu

There are a few areas like first of all Marine. Those jobs like breakwater, dredging and reclamation, you don't get many of the competitor to get qualify. I think we're there very much placed. Second is, project export by the Government of India like many countries like Maldives, Mauritius, Bangladesh, Shillong, South African country funded by Government of India, where

only Indian tenders are allowed. So, there lies a big opportunity for us and some big-ticket metro jobs underground where many people cannot get qualified. So, these are the opportunity we have now.

Pratik Kothari

Correct. And, sir, what was their bid pipeline currently?

Jayanta Basu

Bid pipeline, L1 I've mentioned that was INR 5,500 crores, which is we are waiting for the order. In addition to that, maybe we are pursuing around INR 15,000-17,000 crores of job altogether, there some are in tender stage, some are in the pre-qualification, so around that.

Pratik Kothari

Correct. And of this INR 5,500 crore L1 you said, INR 4,000 crore is on port project in east of India?

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Jayanta Basu

Yes, you are right.

Pratik Kothari

Okay. Sure. Thank you, sir and all the best.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Siddharth Shah from M K Ventures. Please go ahead.

Siddharth Shah

Yes, sir. Congratulations on great set of numbers, and especially very impressed with the execution ramped up last few quarters. Sir, most of my questions have been answered. Just to check again on this Bangalore Metro. Sir, the number which you provided is INR 28 crores, right?

Jayanta Basu

Yes, that's correct.

Siddharth Shah

Okay. And sir, can you just explain a bit in terms of, I think last time you would see it and most of the packages have been handed over. So, what is the situation right now? And any possibility of any further provisioning at the last moment when you close the accounts with them for this project?

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Jayanta Basu

I mean, as far as provision is concerned, we can expect there is nothing pending, all are done. So, we don't expect any further provisioning in this contract, that is number one. Number two, as I mentioned last time, now, all the four contracts work has been completed and handed over. So, what we are waiting for now, two things, one is our pre-final and final bill to get certified, which is a little bit lengthy process because these jobs are there for last five years, six years, a lot many reconciliations and things like that. And then winding up of the site and selling off some of the excess resource's assets. So, those things are going on. On provisioning part, I can confirm there is no further.

Siddharth Shah

Okay, sir, that's very encouraging to hear. And the second question is on overall revenue and margin guidance. If you just reiterate that again because I think last quarter itself you had seen something like INR 7,000 crores possible. And post that, this L1 position if they translate, are you in a position to give a revised guidance

for this year, next year, or something like that?

Jayanta Basu

I mean, yes, based on that, it will be of course, INR 6,000-crore-plus, it may cross INR 7,000 crore as well, in terms of top line.

Siddharth Shah

Okay. And in terms of margin, sir, because if we adjust for this one-time provisioning, which is the last provision, we are already at double-digit margin. So, can we expect going forward double-digit margins?

Jayanta Basu

Margin, first two quarters Q1 and Q2 will remain between below double-digit because next quarter also monsoon little effect there. But last two quarters, we hope to improve close to double-digit or even double-digit. So, it's like that, touch and go finally.

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Siddharth Shah

Okay. Understood. I think most of my questions have been answered. Thank you and all the best, sir.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Dhananjay Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Mishra

Hello. Sir, you said the Bangalore elevated had a negative impact of INR 29 crore on EBITDA. So, what was the revenue contribution in this quarter? And this pre-final bill and pre-final bill certification evaluating what will be that amount in terms of revenue?

Prasad Patwardhan

In terms of revenue contribution, there was hardly any contribution this quarter because as Mr. Basu mentioned earlier, three projects have been handed over and the fourth project also has been recently handed over. So, there was no contribution or negligible contribution to the top line. The other question. What was the other question you asked?

Dhananjay Mishra

The pre-final and final bill that what is that amount?

Jayanta Basu

Yes, that is on the certification. We have to jot down all the four projects together. But I think in terms of certification part will be around INR 50-60 crores put together, around that number, will not be much.

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Dhananjay Mishra

And there will be no negative impact on EBITDA?

Jayanta Basu

No.

Dhananjay Mishra

Okay. And if you could also give what is the overall CapEx plan for this year and how much we already invested till first quarter?

Prasad Patwardhan

In Q1, we've invested about INR 90 crores in acquiring construction plant and equipment. For the whole year, we expect it to be somewhere in between INR 150 crores and 200 crores.

Dhananjay Mishra

INR 150-200 crores?

Prasad Patwardhan

That's correct.

Dhananjay Mishra

Okay. And what is gross debt level as of now?

Prasad Patwardhan

Gross debt is about INR 790 crores.

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Dhananjay Mishra

Okay. And secondly, in terms of pipeline even after losing this Chennai job, we are saying that we are having 150-170 billion prospects, right, in bid pipeline?

Prasad Patwardhan

Yes.

Dhananjay Mishra

Okay. Yes, that's it from my side. Thank you.

Prasad Patwardhan

Thank you.

Moderator

Thank you. Next question comes from AM Lodha from Sanmati Consultants. Please go ahead.

AM Lodha

Sir, congratulation for very good set of numbers and very good execution by the company even in the first quarter and my best wishes to the company and his team for the bright future ahead. Sir, I'm sorry I joined the result now, a bit late in con call. So, my question may be repetitive. So, I have got only two questions. One is, the order intake. So, this quarter we got some INR 250 crore order, and this is a very negligible order. Therefore, our carry forward order book come down to INR 18,000-crore-plus. So, can you repeat please, sir, bids and company likely to get the order by the end of the FY24?

Jayanta Basu

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This order w

hat we have secured in first quarter is very less. But at the same time there are two jobs, were L1 and we are expecting orders anytime, when I say anytime means even today also, put together will be around INR 5,500 crores.

AM Lodha

Okay. Thank you.

Jayanta Basu

Full year, as I mentioned around INR 17,000-18,000 crore jobs are in pipeline. If you go by simple statistics, if your success rate is 20%, another INR 3,000-4,000 crore job you may secured, just by going with the statistics. So, end of the year altogether it should be around INR 8,000-9,000-crore-plus, this year.

AM Lodha

Okay. My second and last question, regarding dividend payout. We have paid this year 75% dividend and it is very rare because earlier we were not having that much of the working. Sir, we have not asked anything about the good dividend. Now, this year company again has given very conservatively dividend, 75% dividend. You see these are paying the royalty to the promoter on the turnover of the company. Suppose if the company is getting INR 8,000 crore turnover in current year, then INR 40 crore you will be paying royalty to the promoter. Then besides in addition to that promoter holding, promoter will be getting the dividend. Why company is not giving a good dividend to the minority shareholder also?

Prasad Patwardhan

Yes, your question is will noted and we will definitely be taking to the board.

AM Lodha

Yes, sir, convey our grievances to the board. Company should revolve a shareholder when the company was not earning, company was in the writing of the bad debt in earlier years, company was not on the good order book position, not having a good order execution. Now, company, ITD Cementation Q1 FY24 Earnings Call - 17 - 08/08/2023 where do you think, good order, good execution, quality of order, margins order. Still company is making deal with the minority shareholder, it's not good, sir. You convey our grievances to the board, sir. Thank you very much, sir.

Jayanta Basu

Definitely.

Moderator

Thank you. Next question comes from Venkat Subramaniam from Organic Capital. Please go ahead.

Venkat Subramaniam

Hi, thanks for taking my question. Congratulations on excellent execution. I had a couple of observations. Now, in spite of substantially improved execution, why isn't there a flow through below the line. We still have a 3% kind of PAT margins at about INR 1,800 crore kind of execution, while we had something similar even at something like about 10-50 to 1,100 kind of execution which is a little surprising. Are there some limiting factors here, are they one-offs?

Jayant Basu

Well, PAT margin 3% in Indian scenario, I'll say it's not so bad because if you see historically also, the company those who are working in our type of business. I can name them like to Tata Projects or Afcons.

Venkat Subramaniam

Mr. Basu, for every name you give at lower margins, there are at least a couple of names where margins are more than about 5-6%, but my question is a little different.

Jayanta Basu

ITD Cementation Q1 FY24 Earnings Call - 18 - 08/08/2023

Let me finish. So, there are a few other companies, those who are being better margin as well, we know that. At this point, we have addressed in few minutes back. So, we have to get a little bit of patience, because we are just coming out of two legacy jobs. So, things are improving, and we can promise that it will improve further going forward.

Venkat Subramaniam

Certainly. Mr. Basu, my question was a little more, you know, it's just actually mathematical in terms of a question. You can't possibly have a same 3% PAT margin, when you have INR 1,800 crore execution as you have at INR 1,100 crore execution. There has to be a much better absorption of your fixed costs, right? It's quite surprising.

Jayanta Basu

Yes, I agree with you. I agree with you, but this time, we have get some provis

ion for Bangalore

Metro as well, which is now around INR 28 crore, so that has dented the margin a little bit.

Venkat Subramaniam

Right. The second question is actually on that. We have heard quite a few times that a lot of provisions that we're making for Bangalore Metro are conservative in nature, which probably then means that you're expecting to recover. If you kind of recall a few past calls, I think one can think of almost about INR 75-100 crores. So, is that recoverable, do you have realistic chances of recovering?

Jayanta Basu

Well, let me be very clear on this. Today, whatever provision we should do, we have already done that, we have done more than that, because we are more or less confident whatever provision we have done in this month also was not required. Now, that is one part. That means there'll be no further negative in this job going forward. There are huge amount of extra items we're pursuing with the client. And some of them are really genuine, some of them are a little bit here and there. But those things take time, so we have to wait till the arbitration process is over. But definitely something will come out from there.

ITD Cementation Q1 FY24 Earnings Call - 19 - 08/08/2023

Venkat Subramaniam

Wonderful. All the best. Thanks.

Moderator

Thank you. Next question comes from Nirvana Laha from Nirvana Capital. Please go ahead.

Nirvana Laha

Hi, sir. Thanks for the opportunity. So, these provisions that you do in every quarter, is it included in other expenses in the financial report?

Prasad Patwardhan

Yes, that's correct. It included your other expenses in the standalone financials.

Nirvana Laha

Right. Sir, can we request you to call this out separately if that is possible, because it gives us a lot of clarity. Because a lot of infra companies don't do this kind of provisioning. So, we appreciate

the fact that you are actually taking these calls, but we would also like to have some clarity on this, so if you can add a line item just to show it separately.

Prasad Patwardhan

No, I'm sorry. We won't be able to do that. Because this is a format which has been communicated to all the listed companies and we need to strictly go by that format for reporting our quarterly results. But you would appreciate that we have been transparent in our communication with all investors. And we have been sharing the facts with the investors on our con calls regularly.

Nirvana Laha

ITD Cementation Q1 FY24 Earnings Call - 20 - 08/08/2023

Right. If possible, sir, please add it in the presentation, I leave it to you. So, my next question is, from the annual report, I saw that there was a INR 38 crore increase in credit impaired receivable. So, this has to do with which project and are we provisioned against this?

Prasad Patwardhan

This is not against any particular project. This is largely, you know, it is an expected credit loss provision that we need to do based on our past historical track record, which is not specific to any particular project.

Nirvana Laha

Okay. And I think they have written off some receivables in FY23, can you tell us the quantum?

Prasad Patwardhan

I don't have that with me right now, maybe we can share that number with you offline.

Nirvana Laha

Should I write to your Investor Relations?

Jayanta Basu

Yes, you can do that.

Nirvana Laha

Okay. And on contingent liabilities, so our contingent liabilities have gone up from INR 150 crore last year to around INR 300 crore this year, which is around 25% of net worth, and all of these are to do with taxes. And while the Annual Report has state that you don't expect cash outflows, the number is so big that it forces me to ask this question. What is your view here? Are we expecting nothing to go out from here and how is it?

ITD Cementation Q1 FY24 Earnings Call - 21 - 08/08/2023

Jayanta Basu

We are tackli

ng this matter with our tax consultants and opinion is we don't expect any liability to arise from these tax regulations. It is a matter of process, there we will be filing an appeal and taking it to the process of adjudication. So, once the matter is not, we expect the outcome to be in our favor.

Nirvana Laha

Right, because I think you have not provisioned anything against it and going by your conservatism that you usually show, so the expectation is that you don't need to provide for anything, right?

Prasad Patwardhan

That we have not provided based on our view that we don't expect any liability to arise out of these tax litigations.

Nirvana Laha

Okay. And one final question on the ITD Cem India JV losses, so there was a INR 65 crores loss last year booked under this JV. So, can you please tell us which projects are causing these major losses in these JV?

Prasad Patwardhan

This is the same project, elevated Bangalore Metro project.

Nirvana Laha

Bangalore Metro, okay. Would it be possible, sir, in your presentation, you have several JV's. It would be really nice for investors to understand which JV is undertaking which project. So, if you can call that out in the presentation that would help us much more in correlating the subsidiary numbers with what your comment on project? Because otherwise it's a platform for us.

ITD Cementation Q1 FY24 Earnings Call - 22 - 08/08/2023

Prasad Patwardhan

I think it's already there in our presentation. But let me check. If I'm not mistaken, it is already there in one of the slides just on presentation.

Nirvana Laha

JV-wise which project are being executed, you mean?

Prasad Patwardhan

Yes. That's right. It's maybe you've missed in the presentation again.

Nirvana Laha

Okay, sir. I will check. I couldn't find it. But maybe I'm mistaken. Okay, sir. Thank you. I return to the queue. And congrats on a great quarter. I hope the operating leverage starts playing out from quarter three. Thank you.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal

Yes, sir. Thanks a lot, sir, for the opportunity. One clarification. In our order book, the international exposure there's only about Sri Lanka which is roughly 4-odd-percent in the order book. Is that fair understanding?

Jayanta Basu

ITD Cementation Q1 FY24 Earnings Call - 23 - 08/08/2023

That's right. Presently it is only for Sri Lanka. We are a L1 on one project which is in Bangladesh, so whenever we get that order, maybe this month, it will increase our international exposure to two countries, Bangladesh and Sri Lanka.

Vishal Periwal

Okay. So, that is, Bangladesh order is currently in the part of L1, which you mentioned INR 5,000-odd-crore?

Jayanta Basu

That's correct.

Vishal Periwal

Okay. I think a fair descent pipeline and again, L1 that we are in couple of quarters. So, in terms of client-wise, can you give a perspective like the new bids that is coming and there we L1, if you can just share. Is it coming from government, PSU or private, just to get a sense on which side that Capex is happening?

Jayanta Basu

Are you asking about the L1 projects?

Vishal Periwal

Maybe for bid pipeline. Where exactly the bid pipeline is coming from, basically is it coming from Government or PSU or private in the bid pipeline?

Jayanta Basu

This L1 two project both are government. One is for the Indian Navy and the another one is Bangladesh Government. And the bid pipeline is a mix of that, marine, it is mostly from the ITD Cementation Q1 FY24 Earnings Call - 24 - 08/08/2023 multinational like Port of Singapore or DP World, of course is government. So, you can say around 50% of government, 30% from the PSU and 20% for the multinationals.

Vishal Periwal

Okay. And, sir, I think probably in the la

st, I'd say six months or 12 months, are you getting a sense like after this government Capex pickup which has been there for quite some time. Any positivity that you're seeing even on the private side anything that isn't shared?

Jayanta Basu

This is what we are in i.e. underground metro, airport and marine, these are the three areas. Marine, of course, is a mix of private sector and there are, as I mentioned, the Port of Singapore and DP world, they are there, but otherwise metro and airport this is mostly from the government, even some port also from the government. So, this investment from the Adani Group is coming down a little bit which is to be very high once upon a time. So, we have to really see that how it is going. But international investment what is happening that is from the Government of India that is surging, that is a good part of our story.

Vishal Periwal

Okay. And even in terms of sector-wise, we are in multiple sectors. So, is it fair to say probably in the bid pipeline that has been similar to what our order book is or any particular tilt is happening and sector-wise you're getting more, you're seeing more opportunity? Yes, the actual bid can be a bit different whether he did or not, but it is tilt is happening towards one particular sector vis-à-vis other. Can you highlight anything on that front, sir?

Jayanta Basu

Yes, three particular sectors where we are focusing or we have got the bids pipeline. One is your, of course, Marine. There are three or four jobs we are pursuing now, even more than that, and underground metro, and few mining jobs and mining means where they got some tunneling and the rock excavation, but big jobs, that also. These are the three we're pursuing now. It's under pipeline.

ITD Cementation Q1 FY24 Earnings Call - 25 - 08/08/2023

Vishal Periwal

Okay. So, I mean, from complexity of the work is it like the bid that we're getting it is towards

that. It's not a plain vanilla, I mean, road, construction or standalone building. So, the complexity is there in terms of new bid. Can we fairly say that?

Jayanta Basu

Yes, all these jobs having technical challenges requires expertise. It's marine, it's underground metro, and other projects. But otherwise, there are plenty of road job opportunity which we don't pursue, even elevated we don't pursue where there are many players nowadays.

Vishal Periwal

Okay, sure. Maybe last thing from my side, I think our execution are a pretty healthy and that getting reflected number. But, sir, on a cash flow front also, can you just touch upon that, I mean, like maybe a working capital or will it be fair to say that a similar trajectory or anything, any color that you can provide will be helpful?

Prasad Patwardhan

The working capital has been pretty stable in terms of number of days as well we have not seen any significant rise in the working capital in number of days. It continues to be that, it's under 100 days, the net working capital today is under 100 days. So, I think that is how it has been for quite some time now, so in spite of the growth in our order books, we have not seen significant increase in the working capital days.

Vishal Periwal

Okay, that's all from my side and thank you very much sir. Thank you.

Moderator

Thank you. Next question comes from Pujan Shah from Congruence Advisers. Please go ahead.

ITD Cementation Q1 FY24 Earnings Call - 26 - 08/08/2023

Pujan Shah

Hi, sir. My first question would be, if we look at the Marine specific, so we were at a trajectory of INR 4,000-4,500 crore and now currently if we are looking at the trajectory mix. So are the order book, we are specifically looking for the profitable, like highly profitable order to bid or like we are looking like the Marine has been going slow in comparison to another project.

Jayanta Basu

Marine, actually what happened, Marine jobs, I mean the completion

times are quite fast and in moment to get job within two-years' time you are able to complete the job there are various factors behind that, because you get the front immediately, you can start the work. So, the work in hand what we see in Marine that gets repeated really fast.

Pujan Shah

Okay, got it. And the Sri Lanka port which we got the order, have we started executing the project and if they started flowing revenue, like is it contributing to revenue into it?

Jayanta Basu

Yes, very much started. If you know that the pile foundation, almost we have started in two, out of four fronts. So, work is on schedule and we have started the job very much.

Pujan Shah

Okay. And my last question would be on the specific to as we have stated. So, are we on the order book size of around 25,000, right? With the order prospect and order pipeline, including all the things, winning order and visibility what we have currently. So, the order book would be around 25,000? Not talking about the executing phase, so it is like the including of all these things.

Jayanta Basu

Sorry, can you please repeat the question?

ITD Cementation Q1 FY24 Earnings Call - 27 - 08/08/2023
Pujan Shah

Yes. So, as we have stated that we have that INR 5,500 crores of order book. INR 5,500 crore is the prospect order book, which we have been planning to get and plus INR 16,000-17,000 crore which is in the order pipeline. So, we add that front and considering that 20% of the winning order. So, that would be around 3000-odd-stuff. So, if we consider that, it would be around INR 8,000 crore and currently we have visibility like we have the order book pipeline of INR 18,000 crore. So, would it be consumed fair to say that he could be around 25,000 order books at the year end?

Jayanta Basu

Well, it will depend on the execution of the orders and the timing maybe get the new orders in. So, we expect new order, means, in this year to be in the range of INR 8000-9000 crores. I mean you can work out the order book. It should be in the range of 20,000-23,000, yes, somewhere in that range.

Pujan Shah

Okay, got it. Okay. Thank you so much, sir.

Moderator

Thank you. Next question comes from Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer

Congratulations on amazing execution that you have done in quarter one. My question is on the Ganga Expressway project. Just want to understand what percentage of the total project has been already executed and what is the total value of the project that still is part of the order book?

Jayanta Basu

ITD Cementation Q1 FY24 Earnings Call - 28 - 08/08/2023
Total value of the job is INR 4,850 crores, out of that till last quarter that is July, they are around INR 700 crores order work has been already done till now.

Vignesh Iyer

What is the timeline for executing this project, specific project, Ganga Expressway?

Jayanta Basu

Two years from now to 2025 April-May we have to complete.

Vignesh Iyer

Okay. Another two years. Right. Sir, also this, the L1 project that we have, we are sitting in L1 for the project in Bangladesh. What is the margin profile for this international orders? I mean, compared to say your Indian domestic orders, I mean, is it any different?

Jayanta Basu

Actually, it's a bit of mix of margin under this. So, normally, when you go international, we analyze the risk factor of the country. The margin may remain same, but we have provided more provision in the risk. And if those risk doesn't happen, if it is less than that will add to the margin. It is like that.

Vignesh Iyer

Sorry, I didn't get it.

Jayanta Basu

There are two components on top of the cost, one is the margin, another is the provision for the risk. So, when you go international there are certain unknown factors. So, normally, it provides more cost towards the risk and if it happens then the risk

is less when that converted to the margin you know. So, that needs to be seen.

ITD Cementation Q1 FY24 Earnings Call - 29 - 08/08/2023
Vignesh Iyer

Okay. But for a project like this in Bangladesh, I mean, say, if the commodity price goes up, is it a pass on completely or it is more like we have to take it on our books?

Jayanta Basu

So, this is in our account. Mostly it is only one item that is steel. So, we have already spoken to the vendor internationally. We have fixed our contract with them. But yes, if the prices go up that is in to our account.

Vignesh Iyer

Okay. Just one final question. Just to understand to quarter two, is there any major impact due to heavy rains in certain part of the country to our project in any way? I mean, would we see a similar run rate or a bit less than what we saw in quarter one?

Jayanta Basu

Quarter two normally it will be little slow because even in Mumbai also we are executing at least three jobs, but the progress will be less, Kerala and some of the North of India in West Bengal and Sikkim. So, it is normal in every monsoon times. So, you'll find little bit of less of progress in this quarter.

Vignesh Iyer

Okay, sir. That's all from my side. All the best. Thank you.

Moderator

Thank you. Next question comes from Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar

ITD Cementation Q1 FY24 Earnings Call - 30 - 08/08/2023
Thank you very much for the opportunity. First of all, I just wanted to understand, now this Bangalore Metro provision was around INR 29 crores, right, which you did this quarter?

Jayanta Basu

Yes.

Deepak Poddar

So ideally, I mean, you said that most of it has been done and it will not reoccur, right? So, that effectively means that 1.5% to 2%, right, on EBITDA margin, that can have a positive impact?

Jayanta Basu

That's correct.

Deepak Poddar

And when you're saying that we are looking for margins of double-digit, so that includes your associates and other income, right?

Jayanta Basu

Yes.

Deepak Poddar

Okay. So, but I believe in this a 1.5-2% come, so ideally, we are already at 9.5%, right, including other income and associates. So, ideally, when this provision is not there, your EBITDA margin can be much higher than double-digit, right, maybe what 11%, 11.5%?

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Prasad Patwardhan

That is not we have said, that we would hope to see an improvement in our margins from Q3 or Q4 onwards because this Q2 would also be impacted to some extent by the monsoon. So, we expect to see an improvement in the margins from Q3 or Q4.

Deepak Poddar

Understood. And in terms of execution, I mean, any comments that you can make on FY25, I mean, next year, what sort of execution we might be looking at?

Prasad Patwardhan

I don't think we would like to comment on FY25 at this stage, maybe when we are closer to ending FY24 then we'll have more clarity and be able to comment on the performance in FY25.

Deepak Poddar

Okay. Understood. And in general, INR 18,500 crores of order book that we had as of now, what would be the execution timeline of that, that particular order?

Jayanta Basu

Would be ideally around close to three years.

Deepak Poddar

Three years. Okay. Understood. Yes, that's it for my side, sir. All the very best. Thank you so much.

Moderator

Thank you. Next question comes from Mehul Mehta from Nuvama Wealth, please go ahead.

Mehul Mehta

ITD Cementation Q1 FY24 Earnings Call - 32 - 08/08/2023

This is with reference to INR 29 crores of loss provision for Bangalore Metro project, which you have mentioned. Like-to-like during quarter one FY23, there were any provisioning in case of any other project, so like-to-like?

Jayanta Basu

No, I don't think there was any provision in Q1 FY22.

Mehul Mehta

So,

if I look at, like, operating profit without including JV profits and other income it's amounting to INR 162 crores and that is flat profit margin like and if we take out this INR 29 crores loss, 8.8%, is that correct?

Jayanta Basu

Yes.

Prasad Patwardhan

Well, I don't have the exact in front of me. We'll go by what you're saying.

Mehul Mehta

No. Yes, I worked on that, yes. Thanks for your reply. Thank you. I'm done.

Moderator

Thank you. The last question for today comes from Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar

Thanks for the opportunity and congrats on a very good set of numbers. So, my question is, you've mentioned earlier that we will be looking at NHAI orders going forward as well after a bit ITD Cementation Q1 FY24 Earnings Call - 33 - 08/08/2023 of it. So, what is the pipeline does NHAI have for say next year and how much order are we retargeting from NHAI?

Prasad Patwardhan

I don't think we have mentioned that even targeting NHAI. And it is not in our radar at all. We don't have any idea. We can, of course, we can go through the detail. But at this moment, we don't have any idea about NHAI prospect next year.

Nikhil Abhyankar

So, we are not even looking at NHAI tenders?

Prasad Patwardhan

No. At this moment no.

Nikhil Abhyankar

And sir, if I may understand the rationale, because we are taking up EPC projects for Ganga Expressway then why not NHAI, EPC, or say HAM, whatever?

Prasad Patwardhan

Yes, but the nature of work, technically is same, both are road construction. But the conditions are totally different. Ganga Expressway, we have got 150 km of free site, where we can just hit the ground and run. But in NHAI based on our past experience, very difficult to get site on time and there are a lot of other issues, so we want to go slow on that part.

Nikhil Abhyankar

Okay. Understood. Thank you. That's all from my side and all the best.

Prasad Patwardhan

ITD Cementation Q1 FY24 Earnings Call - 34 - 08/08/2023
Thank you.

Jayanta Basu

Thank you.

Moderator

Thank you. Now, I hand over the floor to management for closing comments.

Prasad Patwardhan

Thank you very much, everybody, for joining us on this Q1 FY24 earning call. We really appreciate your questions and the opportunity to explain our position to everyone. We look forward to interacting with you again next quarter. Thank you.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha conference call service. You may disconnect your lines now. Thank you and have a good day.

Call: Nov 2023

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Commitment, Reliability & Quality

ITD Cementation India Limited

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Date Our Reference No. Our Contact Direct Line
14th November , 2023 SEC/ 11/2023 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Unaudited Financial Results for
the quarter and half year ended 30th September , 2023

Script Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI
(Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the
Transcript of Analysts / Investors conference call held on 9th November 2023 relating to the
Unaudited Financial Results for the quarter and half year ended 30th September , 2023 .

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q2_FY24_091123.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above
ITD Cementation India Limited 10.11.2023
Q2 FY24 Earnings Conference Call

ITD Cementation India Limited
Q2 FY24 Earnings Conference Call

Event Date / Time : 9/11/2023, 16:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Jayanta Basu
Managing Director

Mr. Prasad Patwardhan
Chief Financial Officer

Mr. Mohit Kumar
ICICI Securities

ITD Cementation India Limited 2 09.11.2023
Q2 FY24 Earnings Conference Call Moderator

Good evening, ladies and gentlemen. I'm Edwin, moderator for the conference call. Welcome to ITD Cementation India Limited Q2 FY24 Results Conference Call hosted by ICICI Securities Limited. As a reminder, all participants will be in listen-only mode and there'll be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar

Thank you, Edwin. Good evening. On behalf of ICICI Securities, I welcome you all to the Q2 FY24 earnings call of ITD Cementation India Limited. Today, we are pleased to host the Senior Management of the company, which is represented by Mr. Jayanta Basu, Managing Director, Mr. Prasad Patwardhan, CFO of the company. Without much delay, I'll now hand over the call to Mr. Patwardhan, sir, for his opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Prasad Patwardhan

Thank you, Mohit. Good afternoon, everyone, and thank you for joining us on this Q2 FY24 earnings call. We declared our results for the second quarter yesterday. And I'm sure you have had a chance to go through our numbers. Before we begin the discussion, I would like to mention that during the course of this call, there could be some forward-looking statements that will be made. These are subject to risks and the actual results are likely to differ materially from these statements. So, I would like to request you to keep all this in mind. I will start with the financial performance of the company and then hand over to Mr. Basu for his views on the operational performance and then we'll take your calls.

We have reported a robust performance in this quarter. With an operating income of INR 1,610 crores as against INR 1,035 crores, a growth of 56% on a YoY basis. EBITDA at INR 172 crores has grown by about 78% on a YoY basis. And profit after tax is INR 54 crores as against INR 20 crores with an increase of about 168%. Our balance sheet continues to be leverage much less. And our net debt to equity is about 0.34 times. Our order book stands a little over INR 22,000 crores as of Q2 end. And the new orders that we have secured during the quarter are worth about INR 4,600 crores.

That is all from my side to start with. I'll now hand out to Mr. Basu for your opening comments.

Jayanta Basu

Thank you, Prasad. Good evening, all of you for joining this con-call. Happy to say that we had seen another one good quarter in terms of the profitability, and even the revenue as well. Normally, this was monsoon ITD Cementation India Limited 3 09.11.2023
Q2 FY24 Earnings Conference Call quarter. So, revenues did less than the first quarter, but still much better than last year. The numbers are all available with you, so I don't have to talk on much on that. But, if you like, I may have mentioned that EBITDA is around INR 172 crore on consol, a revenue of INR 1,610 crores, which was up to more than 10% EBITDA margin. PAT was INR 54 crore, 3.3% of the revenue. And in last six months, that is Q1 and Q2, we have achieved around INR 3,500 crores of revenue.

We have to consider that in Q2 due to monsoon revenue was a little less. So normally, Q3 and Q4 we can expect better revenues than Q1 and Q2. Say last year, our Q1 on Q2 revenue was INR 2,000 crore and Q2, Q3 was INR 3,000 crores, just for information. Our cash position also is good. Collection and outflow, we

are able to manage properly. You may like to know progress and status of few major jobs, which I'll share with you. Underground metros, we are having the underground metro in Chennai, running job. Kolkata and Mumbai is almos

t in verge of comple■on. Bengaluru Metro substan ■al progress has been done, around 80% of the job has been completed. Chennai, around 20% plus progress we have done.

And good thing about Chennai is that in one of the package, as you know, we have got 2 packages there, already we have launched our tunnel boring machine and the tunnel boring has already started from the Marina beach site. In Road i.e. Ganga expressway, from the incep ■on we have so far achieved around INR 900 crore revenue during the last seven to eight months. Monsoon has a■ected last quarter. So, around 18% revenue progress we have achieved in a very small dura ■on of ■me. The earthwork is the main item there. Almost 40% of the earthwork has been completed. We have our plan and that's going on pre ■y well as per the plan progress. I also like to men ■on here that one bridge over the Ganga river at Allahabad, we have completed, all the founda ■on and superstructure. So, this has gone very well.

In marine works, Udangudi, except the ■nishing item, which is commissioning of the crane, which has to come from overseas. All the civil works has been completed. A remarkable project in terms of the challenge and the volume. Colombo, overseas job is going pre ■y well. You must h ave seen some news yesterday and day before yesterday, about the promoter's view and support they are ge ■ng from the ■nancial ins ■tu■ions. We are there very much and progress is as per the schedule. Vizhinjam breakwater, another one marine job, very ch allenging. I'm happy to say that the job is almost ge ■ng completed by end of this year. So, with that, there are a few other jobs like airport at Trichy and Pune almost completed.

At Delhi, Kasturba Nagar, a ■er 2 years the job has started a few months back, so now it has picked up. We have started also the army headquarter at Delhi. We have achieved the ■rst milestone as per the schedule and few other building jobs also going okay. So with this, as you can see that we have got INR 22,000 crores of work and marine has again come to the top around 35.3% of the share of the work. We have got few jobs in pipeline.

One of the job we are L1 is in Vizag that is for the ship repairing facility for Hindustan Shipyard. We are discussing with the customer. And we are also pursuing few overseas jobs as well. So, with this, I'll stop, and I request you to have ques ■ons. We are ready to answer whatever you ask. Thank you.

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Q2 FY24 Earnings Conference Call

Q&A

Moderator

Thank you, sir. Ladies and ge ntlemen, we will now begin the ques ■on-and-answer session. If you have a ques■on please press * and 1 on your telephone keypad and wait for your turn to ask the ques ■on. If you would like to withdraw your request, you may do so by pressing * and 1 again. The ■rst ques ■on comes from Nikhil Abhyankar from ICICI Securi ■es.

Nikhil Abhyankar

Yes, sir. Thanks for the opportunity. You have reported very strong robust execu■on growth in the H1 itself. And also, the margins are already above 9% in H1. So, will you be revising your guidance for FY23?

Jayanta Basu

Based on which guidance you are talking?

Nikhil Abhyankar

Revenue EBITDA and order in■ow, sir.

Jayanta Basu

I think, we'll maintain the same, which is around INR 7,000-core-plus in the top line. We hope that EBITDA will be just 10% above this end of the year.

Nikhil Abhyankar

And sir, order in■ow pipeline, order in■ow, sir?

Jayanta Basu

Order, so far, we have secured close to INR 5,000 crore, INR 4,800 crore. And as we said that few jobs, L1 and there are some prospects. So hopefully, end of the year, it will be around INR 8,000-crore-plus total order in■ow in this year.

ITD Cementa ■on India limited 5 09.11.2023
Q2 FY24 Earnings Conference Call Nikhil Abhyankar

Okay. What is the quantum of the L1 order that you're si ■ng in?

Jayanta Basu

Sorry, can
you come again?

Nikhil Abhyankar

What is the value of the L1 order?

Jayanta Basu

L1 order is about INR 650 crores.

Nikhil Abhyankar

INR 650 crores. Sir, now moving to order in■ow in H2. So where are the opportuni ■es, what are the opportuni ■es that you're looking at and that is it ■rst.

Jayanta Basu

The opportunity, we have few marine jobs in Bangladesh. The tenders are now under prepara ■on and hopefully by end of this year we'll be able to submit our bid. And few marine job already have quoted for JSW and Adani as well. We are pursuing some job in Odisha for a big port, new port being developed. We have also some hydroelectric job pursuing at Karnataka. And t here are jobs from ArcelorMi ■al in Hazira. So, it's the mix of various segment, like marine, the building and the metros. Altogether, I think around INR 13,000 crore, INR 14,000 crores of job is under the pipeline now.

Nikhil Abhyankar

Okay. Sir, just a ■nal ques ■on. Pump storage hydro projects are ge ■ng a lot of trac ■on and lot of companies are announcing their plans. So, are we thinking of developing any capabili ■es in this segment?

Jayanta Basu

Actually, we are in this segment, and we have done, few very challenging jobs in this segment before. In Meghalaya we have done, and we are also pursuing a similar kind of job now. So, yes, we are there, very much there.

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Q2 FY24 Earnings Conference Call Nikhil Abhyankar

Sir, are there any discussions with any of the IPPs or developers?

Jayanta Basu

Yes. We are discussing.

Nikhil Abhyankar

Thank you and all the very best sir.

Moderator

Thank you, sir. Next ques ■on comes from Bajrang Bafna from Sunidhi Securi ■es.

Bajrang Bafna

Congratulate you for a good set of numbers. So, my first question pertains to the average execution of the existing order book we are sitting on, let's say, INR 22,000 crores of order book and we have a visibility of, let's say, another INR 3,000-4,000 crore to follow during this financial year in the second half. So, considering, what could be the average execution cycle and what sort of growth on this base of INR 7,000 crore execution this year we can expect or, let's say, FY25-26? Some strategy or the guidance or the thought process of the management will be really appreciated.

And my second question is the visibility on the, like you are moving more and more towards slightly, the projects where margins are high and the competition is low, like marine and some complex jobs where, which is not the business of other companies where you can run a better margin. So, the trajectory maybe next 2-3 year perspective, where we can move from, let's say this 10% to maybe towards 12%, 13%? Is it something the management is thinking from next 2, 3 years perspective? So that's the second question from my side. And some sense on the improvement in the working capital cycle that probably how we are looking at, and some thought process on that will be appreciated. That's all from my side. Thank you.

Jayanta Basu

Okay. I think many things you have asked in just one question. Good. So, I'll try to address one-by-one. This year, the revenue so far, we have done around INR 3,500 crores. So, this Q3 and Q4 will be definitely a little bit more than that. So, hopefully INR 7,000-crore-plus, I mean, we'll definitely achieve. Going forward to next year, we can think about around 20%, 25% growth in top line, because work in hand what we have now they are fairly big, like Ganga expressway, as you know, INR 5,000 crore, and project for Navy, we had ITD Cementa on India limited 7 09.11.2023

Q2 FY24 Earnings Conference Call project worth of INR 3,200 crores. Bangalore Metro and Chennai Metro as well. So, big ticket jobs. So, revenue-wise, we should be able to achieve around 25% more than this year.

Regarding further from next year onwards, our focus will remain for the bigger

jobs. The idea is do less

number of project, but each project should be bigger. Bigger in the sense, INR 1,000 crore, INR 2,000 crore in that range. And that gives us lot of leverage to properly efficiently execute that we have seen. That is why we are also targeting job, which has got turnkey sort of things, like electromechanical, crane and many other things, not only civil. And our focus also will remain on the green energy because a lot of emphasis is being given by the government and some private sector on the green energy, on hydrogen. So, big plants are being set up by the local entrepreneurs.

We are focusing on that. We're also focusing in neighboring countries for the marine work at least. And there are some inquiries which are quite encouraging. So that is what I can say about the execution for next one or two years. Regarding working capital, Prasad, if you can address that.

Prasad Patwardhan

Yes. In fact, there is a lot of efficiency that we are reporting on our working capital cycle as well. Net working capital is today less than 90 days. While, there are obviously opportunities to improve the working capital cycle. I don't think there is a significant improvement possible beyond this level. So, 80, 85 days, I think is a very robust and healthy net working capital cycle. But our endeavor will be to wherever possible to improve the cycle further.

Bajrang Bafna

Okay. Sir, just one sense that we want to get now. Most of the players who are there in the industry, in the infrastructure side, they are struggling to get BG limits at the right cost, like we were even bearing that a lot of being 2% or maybe 2.5% kind of the BG cost for getting those lines from the banking channel. So, what is the interest rate that we are paying on BG currently? And some sense on that because it is a major portion of our interest cost as well. So, some guidance on that will be really helpful.

Prasad Patwardhan

Well, the guarantee commission that we pay generally varies from 0.7%, 0.8%. And it depends on the value and the tenure of the bank guarantee. So, especially for the guarantees that we provide in foreign countries where there is more than one bank involved. The bank guarantee commission would tend to be a bit higher, but it's in the range of about, say, 1% or thereabouts, 0.8% to 1% or thereabouts.

ITD Cementa ■on India limited 8 09.11.2023
Q2 FY24 Earnings Conference Call Bajrang Bafna

Great. Okay. Thank you very much. And I think this is a very competitive rate because of late whenever we are meeting with a lot of companies, they're all struggling for getting this BG limits at the right costing. So, this is really challenging, and it is really happening to know that we are getting most competitive rate in the industry, at least for this BG is concerned. Thank you, sir.

Moderator

Thank you, sir. Next question comes from Pra ■k Kothari from Unique PMS.

Pra ■k Kothari

We're currently already at about INR 7,000 crore, INR 7,500 crore run rate. We'll be at INR 10,000 crore very soon. So, if you can talk about internally, what are we doing, or how are we preparing to execute and scale. This is something which we have not obviously done in the past. So, how is our preparation going internally?

Jayanta Basu

Well, we are seriously concerned about our internal capability. If I can define, we address one-by-one. First of all, technical capability, that's not an issue because we have got experienced people and through experience, they are quite knowledgeable in the business what we are. We have to build up some new team for the overseas. So, what we are doing now, we have already worked in Myanmar. We are working in Colombo. We are working in Bangladesh. So, there is a core team. So, we're trying to invest some more team with the existing core team. So that by other 6 -7 months time, they become trained.

The most important part is the support system, because we have to

support the execution from logistics, from finance and from whatever do you say. So, those areas we are strengthening. And the plant machinery is not a problem because nowadays you get the required plant machinery, either you can buy it or you can hire it. Those things are pretty available.

So, where we stuck up mostly is the bottom force, the labor force, work man. And that is a common problem for all the companies in our industry. So, we are trying to migrate from most of the manual work to the mechanical work. That is one area. And second area, how to educate this labor force, how to keep them, how to continue them in our company, what sort of initiative we should take. So, we're really focusing on that. So, these are some of the areas, I mean, things we are doing to increase our capability.

ITD Cementa ■on India limited 9 09.11.2023
Q2 FY24 Earnings Conference Call Pra ■k Kothari

Correct. Fair enough. And, sir, earlier I think we had planned for about INR 150 crore, INR 200 crores of Capex this year and I think they've already done INR 240 crores in first half itself. So, any change in plans? Are we accelerating something for the execution coming up there, if you can highlight there?

Jayanta Basu

Yes, I think the Capex was more of this last year or so because of we have to invest a lot trench cutter and tunnel boring machine for the metro jobs that we have secured. But going forward, we don't expect that that much of Capex will be involved. Because whatever we have already, that can be used for the next project. And for the marine, we already have our adequate plant and machinery. There will be some, but not to this extent.

Pra ■k Kothari

Okay. So, large part of whatever investments we have to make for next, taking into account next 18 months, 24 months, we have already begun that, and it will only be minor going forward.

Jayanta Basu

Exactly. Except Bangladesh project, which is already we have secured and it is not Capex. Basically, you

have to rent some big machinery for a duration of 6-7 months' time. So otherwise, large amount of Capex, what we have invested already that will yield our result. We don't expect much investment now.

Pradeep Kothari

Got it. Fair enough. And sir, one of the previous participant answer, you did mention that now our focus would be to do less number of jobs but do very large INR 1,000-crore-plus. Is it also fair to assume that the competition in that segment is lower than usually what we see at a lower order rate of INR 200 crore, INR 300 crore, INR 500 crores order?

Jayanta Basu

Exactly. If you see, now if you have a airport tender, and the value is INR 300 crore to INR 400 crores, you'll find 10 participants there. For the same airport terminal building, if it costs INR 2,000 crore, it will hardly come down to 3 or 5 participants, in that way also. And good for us that we are able to get qualified ourselves because for whatever work we have done. So definitely, the tickets is big, the competition is less.

ITD Cementa India limited 10 09.11.2023
Q2 FY24 Earnings Conference Call Pradeep Kothari

Got it. So, my last question to Prasad sir, if you can highlight any further provisions that we have made this quarter? And also, in a standalone cash flow, we see this INR 9 crores of loss from some unincorporated entity, if you can highlight what is that regarding?

Prasad Patwardhan

No, we haven't done. What we would have done is a normal expected credit loss provisions. So, there is nothing really any additional provision that we have carried out in this quarter.

Pradeep Kothari

Correct. And the loss from unincorporated entity?

Prasad Patwardhan

So, that is something that we had done in Q1. I don't think we have done anything in Q2 right now. So, maybe you're looking at the six-month balance sheet or the cash flows, there it will get reflected because it is for the half year and not for this quarter in particular.

Pradeep Kothari

Fair enough. Thank you and all the best sir.

Moderator

Thank you, sir. Next question comes from Siddarth Shah from MK Ventures.

Siddarth Shah

Yes. So, thank you for the opportunity and congratulations on great set of numbers. Sir, in your opening remarks, you mentioned that second half was normally much higher than the first half. For example, last year, you had INR 3,000 crores in second half and INR 2,000 crores in first half, so 60-40 type of ratio. But the current year guidance is still around INR 7,000 crores, and you already done INR 3,500 crores in first half. And also, all the projects are taking off well. Just to understand, is this quite conservative or this is what is practically possible or what is? So, some comments on this would be very helpful, sir.

ITD Cementa India limited 11 09.11.2023
Q2 FY24 Earnings Conference Call Jayanta Basu

Yes, I think you have rightly picked up the comments what I made. I want to emphasize that whatever guideline we have given, that is definitely we'll be able to achieve that. We definitely try to achieve more, but sometimes those numbers also varies year-by-year, it may not be same this year. Last year, 50% more, this year it maybe a little bit less on that. So, what I try to emphasize, the INR 7,000-core-plus definitely will be achieved this year.

Siddarth Shah

Sure, sir. That's helpful. And the second question is similar question to one of the previous participants, that going forward, all this provisioning of Bangalore project and all has been taken. So, from next year onwards, what kind of margins are you guys internally working on. Is it 12%, 13% margin possible in the next two-three years or we should kind of expect 10% of margin going forward?

Jayanta Basu

See, so far, in few quarters back, our margin is to be around 8% to 9%, 8.5% EBITDA, which has come to close to 10% now. So, beyond that, if you have to do one you have to really get the job at a better price. So, we have to be in the competition also. So, yes, 10%-plus and how much we can go beyond that has to be seen based on the nature of job and what price are getting the job, what is the competition etc.

Siddarth Shah

Sure, sir. And sir, last question is on the debt part. If you can just highlight what is the net debt of the company now as on date?

Prasad Patwardhan

Net debt of the company as of September end is about INR 460 crores.

Siddarth Shah

Ok sir. That's it from my side. Thank you and all the best sir.

Prasad Patwardhan

Thank you Siddarth.

ITD Cementa India limited 12.09.11.2023
Q2 FY24 Earnings Conference Call Moderator

Thank you, sir. Next question comes from Laha Nirvana from Laha Professional Investor.

Laha Nirvana

Hi. Thank you for the opportunity. Sir, I wanted to understand because general elections will be there in Q1 of next financial year. So, just like in the road sector, there is usually some slowdown. In our line of business, do you anticipate any kind of execution slowdown?

Jayanta Basu

Not really. I think because of elections, there'll be a lot of pressure to do more work. So, because of elections, I don't see that will affect our work. In fact new tenders or new projects which come up tendering, but the orders that we have already received or have been awarded to us, we don't expect any slowdown in the execution of the projects that we have on hand.

Laha Nirvana

Okay. And for orders also, sir, do you anticipate a slowdown? And if you do, then do you expect it to be a transient phenomenon which will take it normalized in from Q2, Q3 onwards next year?

Jayanta Basu

Generally, there may be a little bit of. I'm not saying there definitely will be a slowdown, but there could be a bit of slow down or postponement in some of the tenders which come up for bidding. But that would obviously be a temporary phenomenon, when the elections are through, I mean, the

focus on infrastructure would remain. And I don't think it is going to impact the industry in the long run.

Laha Nirvana

Okay. All right. And in Sikkim recently there was a cloud burst and flood which kind of caused a lot of destruction. So, we are doing those tunnel projects in Rangpo. So, was there any impact on our project or is there going to be any impact in future?

Jayanta Basu

So, touchwood, there was no damage to, for any structure or any sort of, I mean, problem we faced. The only thing that few days the work was stopped, that too only for three, four days. So, we are able to manage. I don't see that there's any issue with that.

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Q2 FY24 Earnings Conference Call Laha Nirvana

Okay. That is very nice to hear, sir. And on cash flows and debt. So, we have done a lot of CapEx as was already discussed. Now, I noticed that our operating cash flows are quite healthy in half year. So, I think going forward also, we can hope to generate this kind of operating cash flow. So, are we planning to become net debt free any time soon, Prasad, sir?

Prasad Patwardhan

No. I don't think we'll be able to be debt free at least in this financial year or in the next financial year. This business is working capital intensive to some extent. So, while we are trying to manage or ensure that the debt doesn't go out of hand in our balance sheet. I really don't see us becoming a net debt free in this financial year or the next financial year.

Laha Nirvana

Okay, sir. In that case, can you help me understand the interest rate trajectory. So, I think you have short-term working capital loans, long-term loans, and the non-fund based limits that you take. So, can you guide the interest rates that we should assume for this, so that we can sort of estimate the interest costs that will come?

Prasad Patwardhan

Well, I can indicate the interest rates that are being charged to us presently. Now, going forward, we'll have to see, it depends on many factors. So, for our working capital debt, the interest rate would vary typically from 9%, 9.5% to maybe 10.5% or 11%. For term debt, the interest rates are still lower than that, maybe in higher single-digits.

Laha Nirvana

Okay. And for our BG limit, you said maximum 1%?

Prasad Patwardhan

It's around 1%. It typically depends on the bank which we are dealing with and the tenure of the bank guarantee and the location where it is issued. So, there are multiple factors will influence the charges that we pay. But it's around 1%, maybe some times a little higher than 1% or many times lower than 1% as well.

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Q2 FY24 Earnings Conference Call Laha Nirvana

Okay. All right. And final question, sir, from my side, is that the CapEx that we have done INR 238 crores. Can you help me understand towards what this CapEx has gone towards? Because I'm not very familiar with the kind of machinery that you're using. So, it'll be very helpful if you can outline, like, what are the kind of machines we have got with this and why a buy decision versus a leasing decision, so some color on that so that we understand better.

Jayanta Basu

Look, at Chennai metro, we had to do a construction called diaphragm wall, which is vertical wall below the ground, which goes around 30, 35 meters. And in most of the cases, you have to do the wall through soil. But typically in Chennai metro, it is rock. In rock, whenever you try to do such work, you require a special machine, which is called trench cutter. Hardly we had in India before. So, we had to have 9 trench cutters mobilized. To answer your second question, out of that 4 we have bought and 5 is buyback or rental

sort of things.

Laha Nirvana

What is the cost for each machine?

Jayanta Basu

It will vary around INR 40 crore plus- minus each machine. And support ■ng the trench cu ■er there are some other small equipment, and we

bought few piling rigs as well. And another one, the important thing is the Tunnel Boring Machine. We bought one tunnel boring machine for the Chennai metro. So, tunnel boring machine, trench cu ■er and few piling rigs. These are the equipment we have purchased out of the CapEx.

Laha Nirvana

Okay. That's helpful, sir. Final two ques ■ions follow -up on this. The four trench cu ■ers. You said INR 40 crore per trench cu ■er, right?

Jayanta Basu

Yes, around that.

Laha Nirvana

Okay. And the tunnel boring machine would be how much?
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Q2 FY24 Earnings Conference Call Prasad Patwardhan

The tunnel boring machine, there is a cost of procurement and there's some refurbishment cost as well. So, each tunnel boring machine could cost between, say, INR 30 crore and INR 40 crores.

Laha Nirvana

Okay. And we hope to u ■lize this machine across the mul ■ple projects. We are working on tunnel projects plus metro projects, I think. So, u ■liza■on you think will not be a challenge for both the trench cu ■ers and the TBM machine that we have bought?

Jayanta Basu

Yes. We have to u ■lize them. There are visibility. That is what is the business. I mean, you have to u ■lize them.

Laha Nirvana

Right, sir. Sir, many congratula ■ions on this quarter, it was really heartening to see 10% EBITDA. And really wishing that in the coming years, you can cross INR 10,000 crore with much higher EBITDA margins and keep doing the excellent high level technical work that the en ■re team is doing. Thank you so much.

Jayanta Basu

Thank you.

Moderator

Thank you, sir. Next ques ■ion comes from Aman Soni, an Individual Investor.

Aman Soni

Hello. Good a ■ernoon, everyone. I'm joining the con call for the ■rst ■me. I have a couple of ques ■ion, I'll go one by one . My ■rst ques ■ion was on the margin pro ■le. I understand that, the company does di ■er ent orders from NHAI to Marine and all other things. So, which kind of orders provide a be ■er margin? And if you can quan ■fy that, that would be great.

ITD Cementa ■on India limited 16 09.11.2023
Q2 FY24 Earnings Conference Call Prasad Patwardhan

Well, typically, our experience has been that underground metro and marine projects give us better margins. There would typically each project comes with its own set of complexities. So, the margin profile would differ from project to project, but our margins are certainly higher on these two segments as compared to the other segments that we work in.

Aman Soni

Okay. Alright. And, one more thing, reading your previous conference call that you mentioned something about INR 29 crore provisioning that you did. So, what was it during the current quarter?

Prasad Patwardhan

Nothing. There was no provisioning. This was in the Q1, for one of the elevated metro projects, we have taken a hit of INR 29 crores in Q1. There is nothing in Q2.

Aman Soni

Okay. And secondly, my last question is on the tax rate. So, in the past couple of quarters, I see the tax rate hovers around some times 40%, 45%. So, what should be the number going forward? What can we expect?

Prasad Patwardhan

No. On a standalone basis the tax rate is around 25%, so there's no change in that. But the results that we declared has a mix of our standalone profit as well as the profit that we record on some of the joint venture projects that we have. And that is why there is a change in the tax rate. But going forward, I think it should be in the range of 25%, 26%.

Aman Soni

25%, 26%. Okay. And one last thing, I read in the opening remarks, you detailing out different projects and their completion period. So, I can see that some other companies in their investor presentation usually give what the percentage which is completed along with the project name. So, would it be possible to share that in the coming quarters in the investor presentation?

Prasad Patwardhan

There are about

50, 60 projects that we are executing, but that's a good input that we have received from you. We'll see how we can factor that in the presentation going forward.

ITD Cementa ■on India limited 17 09.11.2023
Q2 FY24 Earnings Conference Call Aman Soni

Yes, I understand. Basically, it would be great if initially you can just start off with maybe 50%, 60% of whatever your top orders are, and that would be very much helpful.

Prasad Patwardhan

Right.

Aman Soni

Ok That's all. Thank you so much.

Moderator

Thank you, sir. Next question comes from Sameer Deshpande from Fairdeal Investments.
Sameer Deshpande

Hello. Good evening, sir. And congratulations for the excellent set of results you have produced over the last 6 months. So, actually, I heard the net debt is around INR 460 crores or 260 crores?

Prasad Patwardhan

INR 460 crore.

Sameer Deshpande

INR 460 crore?

Prasad Patwardhan

Yes.

Sameer Deshpande

Because in the balance sheet, if I go for the consolidated balance sheet, the gross loans are around INR 750 crores, and cash and bank balances it's totaling around INR 500 crores. So, it comes to INR 250 crores net debt.

ITD Cementa ■on India limited 18 09.11.2023
Q2 FY24 Earnings Conference Call Prasad Patwardhan

No, the gross rate number is correct. We have taken some of the deposits are earmarked against some of the guarantees that have been issued. So, we have already considered the unencumbered deposits for working out the net debt. And according to that, the net debt works out to about INR 460 crores.

Sameer Deshpande

Okay. So, it is quite comfortable considering the industry situa ■on. And we have managed our working capital also very well. As you men ■oned, less than 90 days is quite commendable. And, you men ■oned regarding this mari ■me projects, and this underground metros are the most pro■table part of our total business. So, in that demand, t hat mari ■me order contributes, I think, more than 50% of our order book or 40%?

Jayanta Basu

It is now close to 40%.

Sameer Deshpande

Which is around INR 7,800 crores out of INR 22,000 crores. Okay. It's quite good. Business is picking up well and we hope the execu ■on also will be good in the second half .

Jayanta Basu

Yes, that is what is expected.

Moderator

Thank you, sir. Next ques ■on comes from Kaushik Poddar from KB Capital Markets Pvt Ltd.

Kaushik Poddar

See, with your turnover going up sharply, say, 20%, 25%. Do you see the margin also growing up, EBITDA margin?

Prasad Patwardhan

EBITDA margin, yes, you are right because there are some ■xed cost which doesn't get propor ■onately changed. So theore ■cally, it should go up.

ITD Cementa ■on India limited 19 09.11.2023
Q2 FY24 Earnings Conference Call Kaushik Poddar

And to what level do you see in 2025? See, right now, I think you are around 10.6% or 10.7%. So, can we think of, say, 11%, 11.5% this year and next year?

Jayanta Basu

Yes. Actually, the margin also is a function of competition. You have to seek some job as a lower margin. So that is also a way. So yes, 10%-plus, let us see how best we can do in the next year.

Kaushik Poddar

Okay. And do you see with the election being a few months away or something, there will be a kind of freeze in new orders?

Jayanta Basu

Yeah, expected around the election time there'll be, but whatever work we have only secured, and whatever we are expecting from the L1, I don't see whatever we have given the guidelines will be affected.

Kaushik Poddar

Okay. So, even with the election being, say, four-five months away, do you still see the 20%, 25% growth for next year? I mean, that should not be a problem because of the orders are at hand, that's what you're saying?

Jayanta Basu

Yes, you're right.

Moderator

Thank you, sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Next question comes from Kunal Patudia, an Individual Investor.

Kunal Patudia

Kunal Patudia

Congratulations, sir, for the fantastic results. And hope to get the guidelines also out for the balance of the six months. Sir, I wanted to ask about the arbitration awards that we have in our hand, and do we expect any cash flow from any of these awards in this financial year?

ITD Cementation India Limited 20 09.11.2023

Q2 FY24 Earnings Conference Call Jayanta Basu

Yes. Kunal, you are most welcome. Thank you for joining this con-call. Yes, we have got a few arbitration award. One, is from Kolkata airport, which was a joint venture of our parent company. The discussions are going on. So, we expect that some result will come out soon. I mean, when I say soon, maybe three-four months' time. And another one award we have from the Noida authority, which is around INR 40-odd-crores. So, now the authority has gone to the court challenging the award. But normally, if the arbitration award are there, you can expect that the court order also will be favorable to us. So, these are the two arbitration awards we are now pursuing.

Kunal Patudia

So, what will be the value of the cash flow that you're expecting?

Jayanta Basu

From the arbitration?

Kunal Patudia

Yes, from the arbitration.

Jayanta Basu

For the Noida, it is quite defined, because it is around INR 40 crores. But for Kolkata airport, the discussions are going on. So, we really want to see that how well it goes out. So, we don't want to comment on that, but Noida is around INR 40 crore will look at it.

Kunal Patudia

Right, sir. So, if you could give me a breakup of the revenue that you expect from Ganga expressway, Chennai metro and Varsha project for next six months?

Jayanta Basu

Ganga expressway, there should be around INR 152 crore to INR 200 crore per month. Typically metro job INR 40 crore to INR 50 crore per month for each metro job. That is the standard. We don't go into such details.

ITD Cementa Ltd on India limited 21.09.11.2023
Q2 FY24 Earnings Conference Call Kunal Patudia

And sir, Varsha marine project?

Jayanta Basu

Varsha marine project is a little bit early because we are still in the planning stage. It depends upon where we do the dredging, because we can do the dredging in the monsoon, before the next monsoon starts. Or we may go to dredging after the next month to start. So, the whole thing will depend upon the dredging progress. At this moment, I don't have the right number to share with you.

Kunal Patudia

Right, sir. So, for Ganga expressway, you said INR 900 crore revenue was booked in this quarter. Am I correct, sir?

Jayanta Basu

No. You are wrong. So far we have done INR 900 crores from the inception.

Kunal Patudia

Okay. This is the total execution. Okay. Understood. So, one more thing I wanted to understand. We are giving, paying royalty to our parent company, ITD Thai, and we are also giving dividends. Can the company consider a share buyback, which is more tax efficient for retail and small investors?

Jayanta Basu

I don't have the answer for that today. This is our discussion strategy. So, I won't be able to comment on that, right now.

Kunal Patudia

Right, sir. Sir, last question. Any bill discounting for vendors or your contractors or financing, like L&T does with L&T Finance? Have we lined up with any NBFC or is there anything in pipe line that we are looking to do it?

Prasad Patwardhan

We have such facilities from a few of our banks.
ITD Cementa Ltd on India limited 22.09.11.2023
Q2 FY24 Earnings Conference Call Moderator

Thank you, sir. Next is a follow-up question from Bajrang Bafna from Sunidhi Securities.

Bajrang Bafna

Thanks for the opportunity. Sir, on the Bangalore metro is there anything left? Because I think most of the provisions has already been done. Any revenue which is yet to be booked or any more provisions required? And can we expect

some sort of the total loss that we booked over last any maybe one to two year kind of time frame? It's upwards of INR 150 crores, if I recollect it right. So, any possibility of getting this money back to some extent or some arbitrage. So, some guidance on that will be really helpful, sir.

Jayanta Basu

Well, Bangalore metro, physically all work completed. There are four contracts there. So out of that three contract already taken over by the client, final bill certified, our certification is under progress. The fourth one also completed and taking over also is happening. So, what about leftover revenue would be hardly few crores, which will come through the final bill. And the provisioning part is almost over. I don't expect there'll be anything further required that I have clarified in the last con-call as well. And we have got a few claims and the additional work done. We have submitted our bill. So, those are under process and some will go for arbitration. And as you know that arbitration process takes time. We will not be able to comment on the timeline, but definitely we're pursuing few claims on our extra items.

Bajrang Bafna

So, what is the total cost overrun that we have booked so far in P&L in the Bengaluru project? The total amount till date.

Prasad Patwardhan

Bajrang, the numbers are not readily available with us. Maybe we can reconnect online and discuss this further.

Moderator

Thank you, sir. Next question comes from Mehul Mehta from Nuvama Wealth.

ITD Cementa India limited 23.09.11.2023
Q2 FY24 Earnings Conference Call Mehul Mehta

Good evening, team. In terms of CapEx for the first half, I believe, like, what I heard is, INR 238 crores has been so far incurred. So, any guidance for next, I mean, for H2, like, what would it like to be for CapEx? What can we expect?

Jayanta Basu

It will be very less, I mean, first two quarter we had to invest for many things which we have discussed right now. But, going forward, it will be quite less. I don't have the exact number, but it will be much less.

Moderator

Thank you, sir. Next is a follow-up question from Sameer Deshpande from Fairdeal Investments.

Sameer Deshpande

Thank you for the follow-up question. I wanted to know what is the amount of advance received against contracts in our current liabilities?

Prasad Patwardhan

Well, as of the quarter end, the total amount of advances outstanding is about INR 1,300 crores, INR 1,400 crores.

Sameer Deshpande

INR 1,300 crores, INR 1,400 crores. Because normally we must be receiving the advances when new contract we are getting, we will be receiving certain portion as advance. So, it is INR 1,300 crores, INR 1,400 crores. What was the amount last year, any idea on that?

Prasad Patwardhan

No. I wouldn't have the last year's figure readily available right now.

Sameer Deshpande

Okay. Because our unbilled work in progress as on 30th September is around INR 1,540 crores.

ITD Cementa ■on India limited 24 09.11.2023
Q2 FY24 Earnings Conference Call Prasad Patwardhan

Right.

Sameer Deshpande

Which is up now almost 50% because I take on the 31st March ■gure last year. So, this year also, because of the new contracts issued, et cetera, in signi■cant way, this ■gure also must be be■er. That will help us in ques■oning our working capital requirements ?

Prasad Patwardhan

No, you're right. And the numbers will be available in our Annual Report and our results are available publicly, so you will be able to look at it. The work in progress is higher because we need to, in the ini ■al periods of any project, a ■er it is awarded, there is a lot of expenditure that we need to incur our mobilizing plant, equipment, materials, etc . And only when the billing cycle starts that we see modera ■on in the work in progress. And so, I think the growth in the work in progress number is in line with the growth in our order book a

nd our revenue.

Moderator

Thank you, sir. Next is a follow- up ques■on from Pra ■k Kothari from Unique PMS.

Pra■k Kothari

Yes. Sir, one comment from you on ports. I mean, we read about Mr. Jindal's comment on the kind of capacity which they expect that India should build, similarly from Adani Ports. Recently this development the US government funding one of your projects. Just your comment, I mean, what kind of pipeline or runway do you see for next few years on the port side?

Jayanta Basu

Yes, port side, there are a lot of capacity de■icit we have in our country, either the container cargo or the bulk cargo. When I say bulk cargo, it is iron ore, coal, etc. So, there will be a lot of new terminal, it has to be there in the coming years. And you can see that is ge■ing re■ected in the Odisha , one by one of the promoters like, Adani, Jindal, ArcelorMi ■al, and many of them are focusing in Odisha to building up the port there. A nd at the same ■me, defense also coming up with a lot of marine jobs in and around the coastline in Ahmedabad and many other places. So, there is a lot of marine job prospect in India going forward.

ITD Cementa ■on India limited 25 09.11.2023
Q2 FY24 Earnings Conference Call Moderator

Thank you, sir. There are no further ques ■ons. Now, I hand over the ■oor to the management for closing comments.

Prasad Patwardhan

Thank you very much for joining us on this Q2 FY24 earnings call. On behalf of the company, Mr. Basu and myself, I would like to wish each and every one of you a very Happy Diwali and prosperous New Year. Look forward to interac ■ng with you again a ■er our Q3 results. Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your par■cipa■on and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant day.

Call: Feb 2024

Cem ITD Cementation India Limited

Commitment, Reliability & Quality

ITD Cementation India Limited

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Dept. of Corporate Services – Corporate Relationship,
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National Stock Exchange of India
Limited,
Listing Department,
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Mumbai 400 051.

Date Our Reference No. Our Contact Direct Line
13th February , 202 4 SEC/ 02/2024 RAHUL NEOGI 91 22 67680814
rahul.neogi@itdcem.co.in

Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Unaudited Financial Results for
the quarter and nine months ended 31st December, 2023 .

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of
Analysts / Investors conference call held on 09th February, 2024 relating to the Unaudited Financial
Results for the quarter and nine months ended 31st December, 2023 .

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q3_FY24_090224.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above

ITD Cementation India Limited - 1 - 09.02.2024
Q3 FY24 Earnings Conference Call

ITD Cementation India Limited
Q3 FY24 Earnings Conference Call

Event Date / Time : 09/02/2024, 12:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Jayanta Basu
Managing Director

Mr. Prasad Patwardhan
Chief Financial Officer

ITD Cementation India Limited - 2 - 09.02.2024
Q3 FY24 Earnings Conference Call

Moderator

Good afternoon, ladies, and gentlemen. I am Pelsia, moderator for the conference call. Welcome to ITD Cementation Q3 FY24 Results Conference Call. As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Nikhil Abhyankar from ICICI Securities Limited. Thank you, and over to you, sir.

Nikhil Abhyankar

Thank you, Pelsia. Good afternoon to everyone. On behalf of ICICI Securities, I welcome you all to the Q3 FY24 earnings call of ITD Cementation India Limited. Today, we are pleased to host the management of the company, which is represented by Mr. Jayanta Basu, Managing Director, and Mr. Prasad Patwardhan, CFO of the company. Without much delay, I'll hand over the call to the management for their opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Prasad Patwardhan

Thank you, Nikhil. Good mornin everyone and thank you for joining us on this Q3 FY24 results concall. This is Prasad Patwardhan, CFO of the company. Before I begin, I would like to remind everyone of our standard disclaimer that this call may contain certain forward-looking statements and business prospects of the company, which are subject to a number of risks and uncertainties and the actual results may differ materially from those made in such statements. I will start with the financial performance of the company during the quarter and subsequently our MD, Mr. Basu, will take you through the operational performance.

We are happy to report a very healthy financial performance in this quarter. Total operating income for the quarter was INR 2,017 crores as against INR 1,327 crores, which represents a growth of 52% YoY. EBITDA was INR 220 crores in the quarter as against INR 118 crores a year back resulting in a growth of 87%. EBITDA margin stood at 10.9% as against 8.9% a year ago. Profit after tax was INR 79 crores during the quarter as against INR 37 crores a year back, representing a growth of 113%. Our balance sheet and leverage on the balance sheet continues to be at subdued levels. Our net debt to equity is about 0.3x.

We have secured orders worth about INR 1,300 crores during this quarter. If you look at our 9M performance, our total operating income was INR 5,460 crores as against INR 3,460 crores a year back,

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which represents a growth of about 58%. In the 9M period, we have exceeded our turnover that we achieved in the previous financial year. So, we have exceeded the entire previous year's performance in terms of top line. Our EBITDA for the 9M period was INR 567 crores as against INR 315 crores a year back, a growth of 80%. And PAT came in at INR 185 crores for the 9M period as against INR 87 crores, which again represents a growth of 112%.

That's all from my side at the moment. I'll now hand over to Mr. Basu for his initial comments and then we'll take your questions.

Jayanta Basu

Yes, Prasad. Thank you and good afternoon to all. Thank you for joining this concall. As you have seen and noted that our Q3 performance was significantly better compared to what used to do few years back at INR 2,000 crores revenue we have achieved, at the same time, bottom line also is quite healthy, and we expect to maintain this sort of revenue and the growth coming forward. We are able to manage the cash flow also very well. Debt equity ratio is under control. We have almost secured INR 6,000 crores-plus job in this year. There are few more are in pipeline.

In terms of execution, I like to highlight one point here. We have got around 50-53 projects going on. Out of that, our working hand is around INR 20,000 crores-plus. But if you see 10 projects that itself contribute more than INR 15,000 crores of work in hand. So, that is the beauty of doing bigger work. If we monitor 10 projects very closely, 80% of the project control we can have. And these big projects are Chennai Metro underground, Bangalore Metro on verge of completion, and tunnel at Sikkim also doing well, Ganga expressway, a large contribution comes from Ganga expressway and Udangudi marine job.

I'm happy to say that two critical item that is ship unloader which was ordered to a Chinese company has reached site yesterday. With that, we have almost completed the job. We have started a navy job for Indian Navy at Project Varsha, that is near Vizag port. Seabird, another navy job is on the verge of completion, and rest of the job in marine going pretty well. In building sector also Thal Sena Bhawan, that is army headquarter took off very well. Customers are very happy. We are doing Sikkim University. Recently, we have completed Trichy airport. You must have noticed that PM has inaugurated it a month back and Pune airport also have been completed. The executions are quite under control, and there are good jobs in pipeline.

That's all from my side and we'll request you whatever question you have, we'll be happy to answer them. Thank you.

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Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if we have any questions, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. First question comes from Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta

Thank you for the opportunity and congratulations for a very robust set of numbers. A couple of questions from my side. First is, what is the contribution of legacy low margin orders in this quarter in overall revenue?

Jayanta Basu

The legacy orders are mostly more or less out of the system now. There are a few residual work that is pending on the projects but the larger contribution is coming through from the newer projects that were awarded to us maybe last year or last couple of years. So, the contribution of legacy orders now is significantly lower and probably it is out of the system now.

Deep Mehta

Okay. And now with this legacy orders being more or less over, do we expect similar margin trajectory for

this year as well as next year?

Jayanta Basu

We have seen an improvement in our operating margins. The EBITDA margins have been improving during the year and our endeavor is to keep performing the way we have performed during the year, and hopefully, we'll see an improvement in the margins going forward.

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Deep Mehta

Sure sir, that is very helpful. My second question is regarding bid pipeline. What is the bid pipeline currently and how should we look at it going ahead?

Jayanta Basu

I think we have mix of all the jobs. If you take around 10,000-plus job in bid pipeline, their tender submitted or tender to be submitted. So, a mix of some marine job and few of the jobs belongs to water, industrial structure, and building. There are around INR 13,000 crores jobs on the pipeline.

Deep Mehta

Sure sir, that is very helpful. And last question, what is the Capex target for us for this year as well as next year?

Jaya

nta Basu

Our Capex was little bit more last year because of a few jobs where we have to invest a big amount of plant and machinery. This year, Capex target will be around INR 200 crores-plus, say INR 200-250 crores.

Deep Mehta

And for next year?

Jayanta Basu

It will remain almost in the same range. Not much.

Deep Mehta

Okay sir, very helpful. That's all from me. Thank you and good luck.

Moderator

Thank you. Next question comes from Sunil Kothari from Unique PMS. Please go ahead.

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Sunil Kothari

Thanks for opportunity sir. Congratulations for such a good performance. Sir, one question is on our execution capability during last three years has gone up from say 2021 December, 2022 December, then 2023 December. We are executing almost from INR 800 crores to now reach INR 2,000 crores. So, looking at the opportunity available, the way you choose your orders, you don't want to increase substantially

your order book. And that's why you are remaining at same INR 20,000 crores order book December 2022 and now 2023 also. So, quality of orders and quality of our execution capability. If you can talk a little bit more on this aspect will be really helpful.

Jayanta Basu

Okay. See, work in hand depends upon not only how much work we have secured. It depends upon how much we are able to do per month. I have said that earlier we used to do INR 700 crore, now INR 2000 crores. That means, we are consuming the work-in-hand very fast. That is the reason why the work-in-hand looks like in flat. It is really not flat. In real terms, it is much more. If we have done INR 700 crores in a quarter, then work-in-hand today would be much more than INR 20,000 crores. That is one aspect. And second aspect is that, earlier we had got few legacy job, which is over now. So that was also contributing to work-in-hand. But as you have rightly said, we should really target for some more job. We are little selective now. There is no point going for everything. So, we are comfortable with the work in hand or whatever in pipeline considering our execution capability.

Sunil Kothari

So, sir, will you be choosing the work because our capability is more in marine, port related work, tunneling work underground, all these things and there are enough opportunity available for next two, three years?

Jayanta Basu

Yes, opportunities are there. But still we will be very choosy. Because marine job of course will go for all out. Tunnel job, it depends upon the terrain. If it is in Himalayan range, we'll have less appetite. If it is southern India, yes, we'll go for that. And of course, there are competition as well. So, airport, underground metro, marine and few overseas job, that will be our focus now going forward.

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Sunil Kothari

All right. Last question is, with this INR 200 crores type of CapEx. Given an opportunity and size of orders, if we increase our execution substantially. If you want to increase the way you are targeting some whatever growth rate of 20%, 25%. The CapEx will be enough or we will require something to do, say, quarterly run rate of INR 3,000 crore, annual rate of INR 12,000, INR 13,000 crores, size of the business. This capability, manual manpower, technical capability and machines are enough for this INR 200 crores is good enough to support that?

Jayanta Basu

Yes. If you see one by one. First of all, manpower. Manpower, we have got enough knowledge. Number-wise is another thing, another thing is the quality. So, we have got quality team. That will be a problem for us to manage. Workforce is always challenge in Indian scenario. We are trying to migrate to the more sub-mechanism work, so that we rely less on the labor force. And third is the CapEx.

The Capex sometimes what happened, nowadays, because lot of modern technique has come. People are more educated, lot many good plant and machinery you get on rent, and there is no point buying a costly machine and use it for a year or less than year and wait for future business because those are available in market internationally. So, we have to make a balance. I hope that INR 200- 250 crores should be enough considering the rental plant.

Sunil Kothari

Great, sir. Wish you good luck. Thank you very much.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Dhananjay Mishra from Sunidhi Securities and Finance Limited. Please go ahead.

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Dhananjay Mishra

Thanks for the opportunity and congratulations on very excellent sets of numbers.

Prasad Patwardhan

Hello?

Dhananjay Mishra

Hello. Am I audible?

Prasad Patwardhan

Yes, now you're audible. Can you please repeat the question?

Dhananjay Mishra

Yes. So, we are talking about 25% growth next year which will be around, we will be reaching close to INR 9,500 crores kind of turnover. And we have a current bid pipeline is INR 12,000 crores. Being an election year, do you think we will be able to maintain INR 10,000 crores to INR 12,000 crores order inflow for this year just to maintain the momentum of growth? What is your take on that?

Jayanta Basu

Yes. I said we are doing day-in day-out such exercise, what are the opportunity. Mostly that we try to increase our geographical footprint in the segment, where we are strong, like marine and underground metro. The moment you increase your geographical footprint, your opportunities are also more. This is a routine work, I think. And I don't think that the growth of 20%, 25% in terms of bidding and getting job is a problem.

Dhananjay Mishra

Okay. So, you are maintaining this year's guidance of INR 9,000 crore, order inflow?

Jayanta Basu

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Q3 FY24 Earnings Conference Call

This year means up to 2024-2025, yes, INR 9,000 crores .

Dhananjay Mishra

So, FY24 you are saying, we have done close to INR 6,100 crores till-date. So, FY24 will be around INR 8,000 crore?

Jayanta Basu

Yes. See hardly, not even two months, one and a half months. Some of the orders if it get mature it will be around INR 8,000 crores or little less than INR 8,000 crores or maybe a little more than INR 8,000 crores. It depends upon the order.

Dhananjay Mishra

Next year you are guiding for how much in terms of order inflow?

Jayanta Basu

Around INR 8,000 crores to INR 10,000 crores.

Dhananjay Mishra

Okay, sir. That is all from my side. All the best. Thank you.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Nihar Shah from Crown Capital. Please go ahead.

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Nihar Shah

Hello, sir. Just one small question on the revenue side. This year we are expecting to cross INR 7,000 crores, right, in revenue?

Jayanta Basu

Yes.

Nihar Shah

Okay. And that's all from my side. If I have any other questions because all my questions were answered. Thank you.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Shrey Gandhi from Mangal Keshav Financial Services. Please go ahead.

Shrey Gandhi

Good afternoon, sir. So basically, my question would be regarding the Q4. Like Q4, what kind of revenue growth rate you are expecting? Because historically I've seen in Q4 like your revenue has grown by around 20-30%. Can we expect the same growth rate for Q4 also?

Jayanta Basu

Actually, we have already done quite good in Q3. So, what we used to do in Q4, we h

ave achieved in Q3.
So, Q4 will be almost same like Q3.

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Shrey Gandhi

It will be same like Q3. And margins, you have told you'll be maintaining double-digit margin. Last time you had given the guidance. So, you have been maintaining 10% margin around, 10.3%. So, can we expect the same margin to go ahead or some improvement going ahead forward?

Jayanta Basu

I don't expect growth in margin. Margin will be almost whatever we have achieved in Q3 in that range.

Shrey Gandhi

Okay. So, same like 10% around?

Jayanta Basu

Yes.

Shrey Gandhi

And with regards to order inflow also almost. Okay, fine. Thank you, sir. That was nice.

Moderator

Thank you. Next question comes from Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer

Sir, congratulations on strong set of numbers, and thank you for the opportunity. Sir, my question is on the interest paid part of our line item. So, we have paid around INR 58 crores interest in this quarter as compared to INR 52 crores last quarter. So, just to have an understanding, what is our borrowings as on 31st December and what is the way forward? What would be the ramp-up in the interest payment as we keep on scaling the execution?

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Prasad Patwardhan

Well, the gross debt on our balance sheet as of 31st December is about INR 860 crores. We do not expect any major variation in the debt number in this quarter. It should be around the same level, maybe a little bit 5% up or down.

Vignesh Iyer

And what is our cost of debt?

Prasad Patwardhan

Well, cost of debt is around 10% and 10.5% of the bank debt. This interest cost also includes the guarantees, the payments to the banks for the guarantees and letters of credit. And it also includes interest on the mobilization advances that we get from our customers.

Vignesh Iyer

Okay. So, if I read it right, as we keep on scaling this revenue more or less on the proportion to it, the interest will keep on scaling, right?

Prasad Patwardhan

Well, I would expect that to be, but it depends on the mix. One is the rate of interest with the banks charge for the borrowing or on the guarantees and LCs. The second aspect is the interest on the customer advances. So that also is more or less linked to market. So, these two factors impact the interest cost that we do.

Vignesh Iyer

Okay. But, sir, historically, if I see around 2013, 2014, 2015, so we have been to a point where interest outlay has been very high. I wanted to understand what is the step that this management is taking to ensure on that part the interest outlay is less. We are doing excellent EBITDA as of now, but that is not much transforming into the PAT levels, right?

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Prasad Patwardhan

No. If you see our profitability has improved significantly in this year and I would not be able to comment right now on what happened in 2013 or 2014. But if you see our balance sheet, the debt on our balance sheet is significantly within manageable levels. We are not over leveraged. There is growth in our operations. So, I really don't understand your question. The debt is at a manageable level.

Vignesh Iyer

Okay, fine. It's okay. I'll get back in the queue, sir. All the best.

Moderator

Thank you. Next question comes from Mehul Mehta from Nuvama Wealth. Please go ahead.

Mehul Mehta

Good afternoon team. Thanks for the opportunity. Congratulations on great set of numbers. My first question is, sir, you have been guiding for focus on entry barriers businesses, like say underground metro, marine, as well as tunneling kind of. If I look at say Decembe

r 2022 end, our order book was comprising about 67% from this businesses, which has increased to about like 73%. So, going forward, can we expect maybe this double-digit margins, which we have achieved, going forward exceeding even that?

Jayanta Basu

Okay, true that these businesses, we are good in this. You have to also understand that no business perpetually gives equal results. Now, underground metro also will be crowded soon. So, the competitions will be there. So whatever margin we have achieved last year, coming year margin would be less if you have to win the job. So that is one factor. That is why we are planning to go elsewhere, like abroad marine job, so that we are able to maintain the margin.

Mehul Mehta

All right. Got it, sir. Thank you. And in terms of, Mr. Patwardhan, regarding working capital cycle. Is there

any change as compared to September 2023 to this December 2023, or it remains in the similar line?

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Prasad Patwardhan

Actually, the net working capital in terms of number of days has improved in this quarter as compared to the previous quarter.

Mehul Mehta

Can you mention that in terms of numerical, how is that like?

Prasad Patwardhan

The exact numbers right now, but it's around 80, 85 days. And hopefully, our endeavor is to maintain it at the same level or improve it if possible.

Mehul Mehta

Okay. That should be maintained. All right. And debt is about INR 865 crores you mentioned, right, as December 2023?

Prasad Patwardhan

As the gross. Yes, so that's right.

Mehul Mehta

Okay, got it. Thank you so much.

Prasad Patwardhan

Thank you.

Moderator

Thank you. Next question comes from Rajesh Kumar Rathie from Right Shopping Private Limited. Please go ahead.

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Rajesh Kumar Rathie

Hello. Congratulations for a good set of number.

Prasad Patwardhan

Thank you.

Rajesh Kumar Rathie

My worry is again regarding the order intake. Order intake of late has not been as great as a lot of other infra companies. So, can you elaborate a little more on that? Although, I understand that you guys are a little choosy. But still the order, total orders are not increasing as much. So, can you please explain?

Jayanta Basu

Yes. We are constantly working. Sometimes the silence should all you see. The moment if you get an order of INR 2,000 crores, INR 3,000 crores at a time, suddenly you'll find the number has changed. It is not that every month we are getting at the equal rate. It comes once in three months. A big number. It's like that. We are constantly working on that. Comparing that how much should be the order intake and what will be the revenue next year. So, we are quite aware about the situation.
Rajesh Kumar Rathi

So, you are still optimistic about the whole thing?

Jayanta Basu

Yes.

Rajesh Kumar Rathi

Okay. Thank you so much.

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Moderator

Thank you. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. I repeat. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. Thank you. Next question comes from Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar

Thank you, sir. I wanted to get some clarity on what you mentioned that we might also look up at marine jobs overseas. So, which exact markets will we be looking at and what kind of opportunities are available there?

Jayanta Basu

There are three areas. One is Bangladesh, as because the election is over, and they had a long list of marine work in pipeline around Chittagong port. So that is one area we

are focusing. There are two jobs in Middle East. We have submitted our offer. One job in West Africa. All are marine jobs.

Nikhil Abhyankar

All are marine jobs. On the domestic front, a lot of companies have increasing their CapEx on port development. So, any opportunities over there?

Jayanta Basu

You mean to say that new ports are coming by greenfield expansion?
Nikhil Abhyankar

Yes. Greenfield expansions.

Jayanta Basu

Yes. As it JSW, JSPL. Yes, we are there, always there.

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Nikhil Abhyankar

Okay. And also, just a final word on recently a year back government had announced container terminal in the Nicobar Islands. So that might be a very big opportunity for us. So, do you think it might take off anytime soon within next one or two years?

Jayanta Basu

See work going on at government level, but I think it will take some time because feasibility study and it is almost 1,000 km away from Andaman mainland. So, it is not going to be very easy. But yes, the government is working behind that.

Nikhil Abhyankar

Okay, sir, understood. That's all from my side. Thank you.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Abhishek Dixit from Hem Securities. Please go ahead.

Abhishek Dixit

Hi. Thank you, sir. Congratulations for the great set of numbers. My question is regarding around two months ago with our news channel, we had guided for INR 7,500 crores revenue guidance. So, are we sticking to that?

Jayanta Basu

Yes.

Abhishek Dixit

Okay, sir. And for 20-25% growth in the FY25 also?

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Jayanta Basu

Yes. Around that, yes.

Abhishek Dixit

Okay. Thank you, sir. That's all from my side.

Moderator

Thank you. Next question comes from Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah

Hi sir, thanks for the opportunity. Sir, one of our peer continuously reports 14-15% EBITDA margin. So, our margins are 10% and previously it was around 8%. So, what is preventing us to reach those type of margins, whereas they are also doing almost same type of work?

Jayanta Basu

Well, I cannot compare with other company. See, the business model is different. We had some legacy jobs, as you must be knowing. So that has daunted our margin till now. We really aspire to do margin of that kind. Let us hope for the best. Let us see.

Vipulkumar Shah

I think one of the previous participants had also asked about legacy projects. So, what is the quantum of the legacy orders which is left? If you can quantify in terms of number hundreds of crores, how much work is left for these legacy orders?

Jayanta Basu

No, today it is nothing. I mean, virtually zero. Almost.

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Vipulkumar Shah

Today it is zero. So, still in this quarter also, if our peer is reporting a margin of 400, 500 basis points more than us. So, it's a little difficult to understand why we cannot report.

Jayanta Basu

No, I disagree with you. You may be comparing with some one or two company, but you have to see in general, in construction space, I think 10%, 11% is quite standard. So, I don't want to comment on others, but I don't think that you can expect 14%, 15% EBITDA consistently going forward. It is difficult, very difficult.

Vipulkumar Shah

Okay, sir. Thank you and all the best.

Jayanta Basu

Thank you.

Moderator

Thank you. Next question comes from Kaushik Poddar from KB Capital Markets Private Limited. Please go ahead.

Kaushik Poddar

See, you have an exposure to a leading group when they were in a problem because of some reports and all those thing

s. Your stock price had come down very sharply. So, when will that orders get executed completely?

The one in Sri Lanka as well as the road project.

Jayanta Basu

Road project, almost by end of the year or beginning of next year should be completed.

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Kaushik Poddar

Okay. And the Sri Lanka project?

Jayanta Basu

Sri Lanka project, mid of next year, 2025 June-July.

Kaushik Poddar

Okay. They're on schedule. I mean, in the sense that there's nothing delayed.

Jayanta Basu

Yes, all of them are scheduled. We are getting well paid. There is absolutely no problem.

Kaushik Poddar

And are you guiding for a 15%, 20% growth next year?

Jayanta Basu

Yes.

Kaushik Poddar

Okay. And see, the government's CapEx has come down, the growth of CapEx projected for the next financial year is down to 10% from 25%, 30% last year. Because of that, do you see any kind of order slowdown?

Jayanta Basu

No, as far as we are concerned, I don't think that will affect us.

Kaushik Poddar

Okay. Thank you.

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Moderator

Thank you. Next question comes from Sunil Bhojwani, an individual investor. Please go ahead.

Sunil Bhojwani

Good afternoon, sir, and congratulations on the good set of numbers. Sir, I just want to know, in international work, do we have better margins or is it similar to domestic?

Jayanta Basu

International business should fetch you better margin than domestic. That is the idea for going outside.

Sunil Bhojwani

So going forward, if we secure more orders from international, there is scope of improvement in margin. And on a medium term, say one to two years basis, we see further scope of margin improvement from yours. Since legacy orders are now out of are mostly completed.

Jayanta Basu

There are three things here. One is that as I mentioned, legacy orders are no more there. So that is a good thing. And if we get international business, we can make better margin. That is a good thing. But at the same time, the bulk of the revenue which comes from Indian market, the competitions will grow. The more competent will be qualified. So, if you have to bid and get the job, your margin will be little lower than what it is to be.

Sunil Bhojwani

So, you mean to say, sir, a medium-term margins can go lower but not. Is that what you're trying to?

Jayanta Basu

Yes, I mean, see, if you have to maintain around double-digit, it won't be possible going forward with the Indian domestic business because competition will be more, that we have to compensate by some job in overseas. It's like that.

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Sunil Bhojwani

So, on a consolidate basis, double-digit margins is not sustainable?

Jayanta Basu

It's sustainable. We have to continuously make strategy. But if you are remaining only one segment in one geographical area, then naturally margin has to come down. Because today if you see four years back, we are only three players in underground. Today at least there are 7, 8 players. Next year it will be 10, 12 players. The more number of players, the margin will come down. That is a business.

Sunil Bhojwani

But all players must be catering to different categories, right? I mean, some INR 1,000 crores projects or some INR 500 crores projects or above INR 2,000 crores projects. So, in that way, I think you would be having a few competitors.

Jayanta Basu

No. It is then today a job of INR 1,000 crores-plus around, so you will get around six, seven competitors.

Sunil Bhojwani

Okay.

Jayanta Basu

I mean that would decrease at this point, you have to discuss in detail how to go for it.

Sunil Bhojwani

So, you will try and maintain these double-digit margins as much as possible. But in case there is more competition, the margins might face a little pressure. Is that what I can deduce from what you see?

Jayanta Basu

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Yes, you are right. Absolutely right.

Sunil Bhojwani

Okay. And secondly, sir, what is the kind of order pipeline, the bid pipeline as of date and what would be the success rate out of that as per your assumption?

Jayanta Basu

Order pipeline will be around INR 13,000 crores-plus. And ballpark, our success rate is 20% statistically.

Sunil Bhojwani

And the new orders will only start flowing in post elections and the government, right?

Jayanta Basu

Yes, you are right.

Sunil Bhojwani

Okay. But if I have to take your outlook for the next two or three years, what would you say in terms of the business and the scope of work coming in and the outlook?

Jayanta Basu

Well, whatever work we have, that will cater for next year or up to 2025, 2026, middle of that. So, we have to secure some jobs. But the opportunity, what we have and what is our capability, I can see that 20% growth we'll be able to maintain coming two, three years, top line.

Sunil Bhojwani

Okay. Great. That really helped, sir. Thank you so much for the answers. Thank you.

Jayanta Basu

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Thank you.

Moderator

Thank you. Next question comes from Kunal Patodia, an Individual investor. Please go ahead.

Kunal Patodia

Good afternoon, sir, and fantastic results. The best ever performance. Congratulations for that. My question is regarding arbitration awards. Last quarter concall, you guided that we are expecting some inflow. So, have we received that award, the money is in, or do we expect any new awards inflow in this current quarter?

Jayanta Basu

Few arbitration award we have. Some of them have been challenged to the court and some of them will get sought out through new scheme called Vivad Se Vishwas. But during this quarter, we have not received any inflow. We hope that, yes, sometimes something will happen. But as you know that, this particular things goes very slow in our country. But we have got some positive side from three or four projects as well today.

Kunal Patodia

My second question is, as you are saying that new participants are now eligible to bid and the competition is increasing. Sir, aren't we also improving our eligibility for bigger and better orders, like INR 2,000 crore, INR 3000 crores-plus orders?

Jayanta Basu

Yes. If you see historically, we used two joint venture with our partner, that is our promoter to get qualified. And now, we are able to do by ourselves, most of the job, including underground, metro and airport. Now going forward, there will be bigger jobs and in some of the jobs definitely we have two partner outside expat agencies and the work is in progress.

Kunal Patodia

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So, whenever the shipping terminal in Andaman will come, do you think we'll be eligible to bid for those projects?

Jayanta Basu

Yes, we'll be eligible. I mean, they will make us eligible to participate in that.

Kunal Patodia

Perfectly fine. Sir, my last question is, in the overseas orders that you mentioned, the bids that we have submitted and you gave a guidance that the margins will be improved better. So, will it be 15%-plus margins in these orders or are we still expecting the same margins that we get in our marine jobs in India or Bangladesh?

Jayanta Basu

It is difficult for me to say for future job absolute number in terms of percentage. It will be better, that much I can

tell, Kunal.

Kunal Patodia

Okay, sir. Thank you, sir.

Moderator

Thank you. Next question comes from Nirvana Laha, an Individual investor. Please go ahead.

Nirvana Laha

Hi, thanks for the opportunity. Congratulations Mr. Basu and Mr. Patwardhan for delivering on what you've been promising. Congrats for that. My question is, how much can you tell me the CapEx that we have done for 9M? And based on the kind of CapEx you indicated for next year, I think you mentioned INR 200-250 crores. Mr. Patwardhan, can you help us with the depreciation number, expected depreciation for next year?

Prasad Patwardhan

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Well, we have done CapEx of INR 200 crores-plus in this year. And regarding the next year, I think Mr.

Basu answered one of those questions earlier. Our depreciation charge for the quarter is about INR 56 crores.

Nirvana Laha

Yes. And going forward, would it be possible to help us model that, how that will evolve?

Prasad Patwardhan

Well, it will be difficult for me to give any indication because in the last couple of years we have done a lot of CapEx. There will be some CapEx going forward as well. And the depreciation typically depends on the useful life of the asset. Like different assets have different life cycles. So, it will be difficult for me to give you an estimate of the depreciation. But historically, we have seen it is around 2%, 2.5% or 3% of our revenue. Maybe for your modeling purpose, you can take that number into account.

Nirvana Laha

2.5% to 3%. Okay. What is our net debt position today? And by end of FY25, where do you expect that to be?

Prasad Patwardhan

Our net debt as of December is INR 400 crores-plus. And as I mentioned earlier, we don't expect the debt to go up significantly going forward. So, I guess it should be at the same level. While I can't give you an exact number at this stage, we expect it to be at similar levels as of March 2024 as well.

Nirvana Laha

Okay. And one year forward, it's not possible for you to project that?

Prasad Patwardhan

Will not be possible to give you.

Nirvana Laha

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Okay. And with the improved performance on margins and balance sheet being very strong, the good pipeline, are you expecting a credit rating upgrade anytime soon?

Prasad Patwardhan

Well, we are working with our credit rating agency. We are talking to them, and hopefully, we should have some good news on this front. Maybe once we conclude our discussions with the rating agencies.

Nirvana Laha

And at what time frame do you think that expected the news?

Prasad Patwardhan

Well, I won't be able to comment on that right now. We need to discuss that with the rating agencies. It will be premature for me to comment on that right now.

Nirvana Laha

Sure. So, Mr. Basu, we are very strong in marine. So, I wanted you to tell us a little bit more about the competitive dynamics in marine, both for jobs in India and also for the jobs that you're competing with outside. So, can you give us some picture of how it looks like in terms of competition?

Jayanta Basu

Competition in India, if you have two kind of jobs which are more than INR 500 crores and more than that INR 1500 crores, INR 2,000 crores. In that range, I think there are hardly three or maximum four competitor we are having. Below INR 500 crores, INR 400 crores, there will be another two, three more. Below INR 100 crores, there will be plenty. So that is the number of competition in marine in India.

Abroad, there are foreign players, mostly Japanese and Korean. They don't come for any job which is less than INR 5,000 crores to INR 6,000 crores. So, that is the opportunity you are looking for where two small jobs abroad, there a

re small players. In between that layer, there is nobody much. So, we are trying to get into that.

Nirvana Laha

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Okay. And you said that margins are higher in these international projects. But obviously, there will be some risks like political risks will be there. And of course, price escalation risks, et cetera, will be there. So, is your parent experience in the geographies that you mentioned, Middle East, West Africa and how do you think about the risk adjusted margin into those geographies?

Jayanta Basu

So, when I say margin, that is of course after having considering the risk factor. So normally, we definitely take help of our parents whenever we go the places where they are working or they have worked before. Otherwise, we engage some good consultant out of speak for somebody to study in detail because you know work is 50%, another 50% is something else. So that needs to be understood properly before we submit our bid.

Nirvana Laha

Yes. I see, they have experience in Middle East or in West Africa.

Jayanta Basu

Yes, they have got experience in Middle East, East Africa and of course Southeast Asia.

Nirvana Laha

Okay. And one final question from my side, Mr. Basu. So, I will name one competitor. I didn't want to do it, but I don't know how else to frame the competition. So, you can understand my underlying question and answer accordingly. If I look at somebody like an Ahluwalia, they are doing similar kind of margins, but the balance sheet cash flow seems to be a little better. So, they are mostly into building construction online, whereas you guys are more experts in marine. So, can you help us compare these two segments in terms of marine? Is it like more onerous in terms of more interest to be paid, more DGs to be in cash? And is it more balance sheet heavy to work in marine compared to buildings? And how are you thinking about this mix of marine versus building?

Jayanta Basu

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You see, the whole thing depends upon the culture of the company. For last 100 years, we have been mostly doing the foundation engineering, till 1990 or early after 1990. So, we have a culture of doing heavy civil work, mostly foundation oriented. Last 20-25 years we have started going to airport, metro,

and now we have mastered them and now even also we are doing the building also. So, I'll not be able to comment on that particular aspect. The balance sheet also depends upon what are the job you had for last 20-25 years or 15 years.

So, we are coming out of some bad jobs. We have almost all the bad jobs are behind us. Hopefully, balance sheet also will improve. You cannot compare directly with building and marine because building work is done in a manner where you require more manpower, more labor, less plant-oriented job, where marine is different. So, it depends upon the company's culture, what was the history, how they have built up all these things.

Nirvana Laha

Got it, Mr. Basu. Thank you so much and wish you all the best.

Jayanta Basu

Thank you.

Moderator

Thank you. We have a follow-up question from Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari

Thanks for the opportunity again, sir. Sir, one thing just wanted to understand is what is our core strength on a cost structure which make us competitive international market because we have to buy raw material, so many local contractors. So, cost structure for us and for Japanese or Korean will be similar. So, where we are stronger in terms of cost?

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Jayanta Basu

Yes, you have rightly said the material cost is same for any company, either Indian or foreigner or whatever. It mostly depends upon the operation cost. Like temporary work, temporary structures, supporting structure where we can do with much cheaper price and there where we can be competitive as compared to international players.

Sunil Kothari

And sir, Engineering part of any project, we must be doing in India, where we must be competitive, that is also one of the factors?

Jayanta Basu

Yes, that's what I said. Engineering, there are two kinds. If you do EPC, you do engineering for permanent work. So, there we are quite good in marine, and we try to save some money there. And some job which is designed by the client, still there are opportunity to improve in the costing if you do temporary work, design properly. And we have got all the things available with us for many years. So, those kind of things have helped to cost things.

Sunil Kothari

Sir, last question to Mr. Prasad Patwardhan. Any one-time expense or income in this quarter which is not related to normal business of operation?

Prasad Patwardhan

No, no, there's nothing like that in the quarterly results.

Sunil Kothari

Thank you, sir. Wish you good luck. Thanks a lot.

Jayanta Basu

Thank you.

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Moderator

Thank you. We have a follow-up question from Abhishek Dixit from Hem Securities. Please go ahead.

Abhishek Dixit

Hi, sir. In the recent budget session, the government has focused more on the expansion of the existing airport and development of new airports and metros and Nammo Bharat. So, on the ground level, are we seeing much opportunities in the aviation sector and despite the competition also in the sector?

Jayanta Basu

Yes, aviation, there are great opportunities and we are very much there. As you know, Pune Airport, Trichy, Pune have completed, another one airport we are doing. And there's a list of around 20 airports. The tender will be out after election one by one. So, there are opportunity, you're right.

Abhishek Dixit

Okay. But these will be after election?

Jayanta Basu

Yes. I think code of conduct and all sorts of things after election only they will take off.

Abhishek Dixit

Okay. Thank you, sir. Best of luck for your next quarter and year.

Jayanta Basu

Thank you.

Moderator

Thank you. We have a follow-up question from Mehul Mehta from Nuvama Wealth. Please go ahead.

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Mehul Mehta

Thanks for the follow-up opportunity. Can you please share in terms of contribution to revenue for quarter as well as 9M from major projects like Ganga Express, Chennai Metro, Indian Navy kind of thing.

Prasad Patwardhan

We won't be able to share with you the project-wise numbers.

Mehul Mehta

But broadly, I think last quarter it was disclosed. So maybe if you can like, broad number kind of.

Jayanta Basu

Let me try. See 20% of the job, as I say, 10 projects, they have contributed 80% on the margin.

Mehul Mehta

Sorry, can you repeat? Sorry. I'm not getting, sorry.

Jayanta Basu

There are 10 projects out of 50 which has contributed 80% of our revenue. 10 projects are Ganga Expressway, Chennai Metro, Bangalore Metro, Project Sea Bird, Navy, Colombo and Udangudi and one or two more around 10 projects.

Mehul Mehta

So, this is like for the quarter as well as 9M like in should be similar kind of?

Jayanta Basu

Yes, almost same trend.

Mehul Mehta

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Okay, thanks for that reply. In terms of other income, there is substantial increase. Is there any like nonrecurring income item for the quarterly?

Prasad Patwardhan

Starting from income on fixed deposits or some tax refunds that we are able to get. There is some interest that we got on the tax refunds as well.

Mehul Mehta

So, there is nothing nonrecurring, you are saying like fixed deposit income and sort of like. Okay. Sorry to bother Mr. Basu again, but there has been questions regarding peers. So, I was looking at one of the peer where our margins are quite comparable, like-to-like. But in terms of when I look at employee cost and other expenses as a percentage, which is on the higher level for us as a percentage of revenue, so is there that we are provisioning for future growth and to that extent there can be operating leverage which can help us going forward in terms of expanding margin?

Jayanta Basu

So, you are right, there are some expected credit loss sort of things are there. But you see the manpower cost, if you check our previous quarter or previous year, it is coming down, earlier it used to be around 11%. It has come down to 9.5% and going for a little further come down. So, it depends upon not only the delta cost, it depends upon what revenue you are getting out of that fixed manpower cost. So, we are improving, that is for sure.

Mehul Mehta

So, going forward we can expect even further reducing this percentage of revenue. Thank you so much. I'm done.

Jayanta Basu

Thank you.

Moderator

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Thank you. That would be the last question for the day. Now, I hand over the floor to management for closing comments.

Prasad Patwardhan

Thank you everyone for a very intense and deep discussion on our results for this quarter. We appreciate the interest that you have shown in our company. We look forward to interacting with you again next quarter. Thank you very much.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Call: May 2024

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Mumbai 400 051.

Date Our Reference No. Our Contact Direct Line
31st May, 2024 SEC/ 05/2024 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Audited Financial Results for the
quarter and year ended 31st March, 2024 .

Script Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Part A of Schedule III of the SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of
Analysts / Investors conference call held on 29th May, 2024 relating to the Audited Financial Results
for the quarter and year ended 31st March, 2024.

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q4_FY24_290524.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above
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"ITD Cementation India Limited

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR – ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN – CHIEF FINANCIAL
OFFICER – ITD CEMENTATION INDIA LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to ITD Cementation Q4 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar: Thank you Yusuf. Good afternoon. On behalf of ICICI Securities, I welcome you all to the Q4 FY '24 Earnings Call of ITD Cementation India Limited. Today, we are pleased to host the management of ITD Cementation, which is represented by Mr. Jayanta Basu, Managing Director and Mr. Prasad Patwardhan, CFO of the company.

Without much delay, I'll hand over the call to management for their opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Prasad Patwardhan: Thank you. Good afternoon, everyone, and thank you for joining us in this Q4 FY '24 result con call. Before I begin, let me mention that there could be certain statements from the management today during the call. It would be forward-looking that would be subject to certain risks and uncertainties, so we'd like to bring this to your attention before we move ahead.

We have declared our result yesterday and I'm sure that everyone has got the chance to look at the numbers. We have had a very satisfying performance during the quarter and a very stellar performance has been reported for the year ending FY24. For the quarter ending March '24, our total operating income was INR 2,258 crores as against INR1,631 crores in Q4 of the previous year, representing a growth of about 38%. EBITDA of INR242 crores as against INR147 crores, a growth of 64%. PAT of INR90 crores as against INR38 crores a year back, which represents a growth of about 138%.

For the full year, we reported a top line of INR7,700 crores, which represents a growth of 52% on a year-on-year basis. Our EBITDA has also grown by about 75% during the year. And PAT has grown by 120% from INR125 crores to INR274 crores. Our balance sheet continues to be extremely healthy and the net debt-to-equity ratio is under 0.2x. During the year, we have secured new orders of about INR6,900 crores. And our order book as of March '24 is a little under INR20,000 crores. This is as far as our financial performance is concerned.

I'll now hand over to Mr. Basu for his initial comments, and then we'll take your questions.

Jayanta Basu: Thank you, Prasad. And good afternoon to all for joining this con-call. And I'm very happy to share the numbers what we have just heard from Prasad. The substantial growth in top line and bottom line as well during this last year. And we have grown from INR5,000 crores to close to INR8,000 crores in top line. And in PAT level also, it is almost 3.6% of the revenue, which is, I think, the best PAT we have in recent past.

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I'm sure that this momentum will continue further because we have several jobs opportunity. Some of them, we have already tendered. Some of tender work is going on. And some, we are yet to receive the tenders that we have identified, and those are mostly in the segments where

you do good, like Marine, Underground Metro, and Bridge, so the kind of jobs where we normally perform better.

Going forward, our focus is to have some more jobs from the overseas market because as we find that there are new developments happening in Middle East, West Africa, a lot of investment from Indian government, but they are also investing money. So there are a lot of new projects coming that we would like to partici

pate. So our endeavor and efforts are there to get some new jobs from the overseas market as well.

Now this year, we have seen the revenue growth and margin growth. But there are a few jobs which we have secured towards the end of the last year, are still in initial limit of the margin declaration. So we have taken the revenue. So margin is yet to be declared, which we'll definitely add to the bottom line second or third quarter onwards. This is what I have to say in opening statement.

Now we'll be happy to answer any questions you may have going forward. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Nikhil Abhyankar from ICICI Securities.

Nikhil Abhyankar: Congrats on a very good year. So my first question is regarding. At this juncture, will you be able to provide some kind of a guidance for FY '25 in terms of revenue growth, margins, and the order inflows?

Jayanta Basu: Revenue growth, as we have been maintaining, it will be 20% plus in terms of revenue. Margin also will be commensurate to that. And order inflow, we're expecting the order what we can see in our horizon goes to INR8,000 crores to INR10,000 crores say INR9,000 crores, our target is to have this year's order inflow.

Nikhil Abhyankar: So around INR9,000 crores. And the margin, is there any scope to improve the beyond 10% going forward?

Jayanta Basu: It's difficult. You see, construction industry has got their own standard margin and revenue. So 10% plus is, I think, okay. If we can do something better, we'll be happy, we'll try that. But I think we have to live with this margin, 10%, a little bit more than 10%.

Nikhil Abhyankar: Sure. And sir, you mentioned in the opening remarks that you will be looking at overseas orders going ahead. So what kind of opportunities are we looking at? And what will be the share of overseas orders out of this INR9,000 crores?

Jayanta Basu: We aim to do around 30% of revenue from overseas by another 2 years' time or 3 years' time. Now today, the kind of job which we're pursuing, if we get some of them, I think it will be around 20% plus on our overseas business.

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Nikhil Abhyankar: 20% plus from overseas. Okay. And just a final question. And recently, there's a lot of road tenders which were opened in Maharashtra, almost around INR90,000-odd crores. So did we participate? And if not, why?

Jayanta Basu: I don't know which one you're mentioning. There are many jobs, particularly coastal road and tunnel job between this National park, Sanjay Gandhi Park. We have not participated because we found that it requires a lot of investment, particularly tunnel job, where the tunnel boring machine surge is quite big, and requires a lot of investment. And if the stage that we have today, we have to contain our capex within a limit. That is the main reason. And in some cases, to all these, there is a qualification issue as well. So we have not participated because these reasons.

Moderator: Next question is from the line of Parikshit Kandpal, HDFC Securities.

Parikshit Kandpal: I just wanted to understand from you, you highlighted that you had about INR8,000 crores to INR10,000 crores of orders for the next year. So this factors in the election related and delays in the government formation, which may take some time and also ordering to pick up. So have you factored these while giving your guidance?

Jayanta Basu: Well, see, it is not only that we are depending on the government order. Beyond that, customers are mostly private client like DP World, Port of Singapore, AP Moller and we have Adani as well, JSW. So, all of them have got big marine jobs, which we are pursuing. And yes, there are some jobs we have submitted our bid like few Metro jobs which are already there, which definitely after July, August they will be matured. And few jobs, it do

esn't depend on the election. The overseas job, has nothing to do with our election result. And around four such jobs we are pursuing, we are quite hopeful to get at least one or two and they are big-ticket jobs.

Parikshit Kandpal: What is the current pipeline in the Marine segment? Because that is what is the most profitable segment for you. So if you can highlight what is this pipeline there? And also, in terms of the upcoming bidding opportunities, do you think that you'll continue to work as contracted towards

larger players, especially Adani you've been doing their Ganga Expressway. So do you think you're open to exploring opportunities and sticking to subcontracting at least on the NHAI road projects for leading contractors or developers?

Jayanta Basu: No. At the moment, we don't have such plan to the road work from NHAI. But if we get one more Ganga Expressway, probably we'll be happy to do such work.

Parikshit Kandpal: And on the marine side, sir. And then directly from NHAI, let's say, Adani win some BOT toll projects or some other developer wins and he takes the support. So are you okay to give support bids to the leading developer where your scope of work will only be limited to EPC for the developer? Are you open to those opportunities?

Jayanta Basu: Yes, yes. Definitely, there is a developer and basically, it depends on the due-diligence of the project. Basically, you have to see whether the funds are available and the developer has got money and such kind of thing and the location. If all these things match, why not? If we are able

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to do in Ganga Expressway, you can do anywhere. And in marine, of course, marine is one of our strong areas.

So as we just mentioned, pipeline, yes, there are at least seven jobs in front of my table, which we're pursuing now. Then all of these are INR1000 crores plus-minus. If we get at least two of them, then that's a good deal for us.

Parikshit Kandpal: And just the last thing on the JV profit. So I just wanted to understand from you that this year the numbers on the joint -- profit from joint venture has declined. So if you can highlight and help us understand that what is the residual value of cash because I know we are very conservative. So I just wanted to understand how much of the profit there yet to be realized from underground Metro projects, when do you expect it to get commissioned?

So even from Calcutta Metro, if anything is pending? So anything there which can be realized. So carrying value of unrecognized profit from the JV companies. So if you can give some colour on that.

Jayanta Basu: Yes. One thing Parikshit that JV jobs are almost now on the finishing stage because if you see Calcutta Metro is completed, I think it's completed, leaving few work. Bombay Metro is almost completed. And there is no other JVs that we are doing. So all at the fag end. And there'll be a little bit of margin and cash will remain there. I don't have the number exactly, I can talk to you later on. But I can say that there is not much substantial consideration, either plus or minus on cash on JV jobs going forward.

Parikshit Kandpal: Okay, sir. Sure. The only thing is I was looking at your orders, the guidance looks to be a little bit on a muted side because now the book-to-bill of -- this year, maybe if you do -- I think you had earlier guided close to about INR9,500 crores of top line for FY'25, so which means that we're just replacing our order book of INR9,000 crores and we are still at closing maybe at about INR19,000 crores- INR20,000 crores of backlog, which is 2 times book-to-bill.

So do we see, we need to grow from here on into FY'26 to at least get more than INR15,000 plus crores of orders to deliver that kind of a growth. So I just wanted your colour -- a little bit more colour and sense on that, how do you see the growth beyond FY'25 given kind of muted inflow

gui
dance for FY'25?

Jayanta Basu: Yes, we are thoroughly aware about the situation where we are working. And there are plenty of opportunities not only in India but we are going overseas as there is a good overseas market as well. We have plans in place and future will tell.

Parikshit Kandpal: Okay, sir. Sure. Thank you. Those are my questions. And wish you the best.

Moderator: Thank you. Next question is from the line of Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Yes, hi. Good afternoon and thank you for the opportunity. Sir my first question is on the competition. In the last call, we highlighted that, be it underground Metro, be it marine, it seems that more number of players have started participating in bidding for the projects. If you can highlight any change. And also in the context that currently, the order inflow seems to be muted

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across players given elections over there. How has the behaviour been versus peers in terms of how they're pricing? Are they dropping their margins to go out and get orders? And how are we reacting to that?

Jayanta Basu: Well, I think this is a very constant phenomena in any business. Today, if you are doing good margin in one segment or one particular type of job, tomorrow there will be crowd, you have to go to new places. That is how business goes and that is what we do really. We have realized that

a few segments like small marine jobs is no more a profitable segment. So one thing that we have gone to bigger marine jobs or bigger jobs.

If you see today, our work in hand, we may have 50 jobs in hand. And out of that, about eight contribute to 80% of our revenue. So the moment you go for the bigger jobs, you have less players. And fortunately, because of our past, we are able to get qualified as well for the bigger jobs. That is one thing.

Second thing is that we are going to overseas market because last two or three years, we have demonstrated that we can do overseas jobs, which is a new ball game, and we have established a team, and so our market footprint is now big. And third thing is that we have got a few clients and we are delighted because basically, they want us to do the job.

We are trying to maintain the good relationship with them to get more and more jobs for them.

So these are the strategies and the way we work to get out of this red ocean to green glowers, whatever you can say.

Pratik Kothari: Correct. And sir, regarding what you mentioned that top eight customers contribute 80% of revenue. I mean, I understand that we do a few large projects, and we are able to concentrate on it much more, but doesn't this then create a much larger risk that it's something. And historically something what goes wrong at some point of time. So if something goes haywire it completely affects our company as a whole. I mean just your thoughts on how do we balance between concentration and diversifying across the bit.

Jayanta Basu: Yes, I think the basic has to be right. I mean if you take a big job with a poor margin and if execute wrong then you are gone. That's true. So that has to be first ensured that we are matured enough now to realize which job we will do what and enough due diligence we do and then execute them well. And if you have less amount of jobs I mean less number of jobs then you can control much better. So it will be the balance and your maturity and experience playing such things.

Pratik Kothari: Right. And sir there is some INR40 crores of provision this year specific to any project or this is ECL?

Prasad Patwardhan: No it's a general provision. Basically we have to follow the ECL regime and provide for it accordingly. So it's not related to any specific projects it is a general project.

Pratik Kothari: Correct. And sir, last two data points. One what will be your capex plans for FY '25 and if you can share what was our order pipeline cur

rently what is the order pipeline?

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Jayanta Basu: Capex will be less than last year because last year or second last year we had to invest for the tunnel boring machines and trench cutters. So it was more than INR450 crores plus I think last year. This year it could be around INR250 crores in that range and our order pipeline is an overseas job and job we're pursuing. I can see around INR25,000 crores to INR30,000 crores jobs in different stage either in tender or we submitted and tender to come they come in 6 months, 7 months' time.

Pratik Kothari: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Vipulkumar Anopchand Shah from Sumangal Investments. Please go ahead.

Vipulkumar Shah: Hi sir thanks for the opportunity and congratulations for a great set of numbers. So my question is regarding overseas biddings. So will it not that our parent will also be participating in those opportunities? So how will you manage that conflict of interest? So is there any understanding that certain projects you can bid in certain areas? So how it works?

Jayanta Basu: Yes that we've sorted out. If you have noticed that 2 years to 3 years back we never have been to overseas, and then we have discussed with our parent. It is not that they have interest. It is they wanted to see our ability to do what we want. And that we have demonstrated that, yes, we can do and we can do well. So that is the first step.

And when we discuss, of course, if they have interest we don't go or if we saw more interest, they will go away. So that is common understanding. So there is no conflict as a whole to go for overseas business with our parent company.

Vipulkumar Shah: And sir what is the order intake till date in this current financial year? Can you give that figure, please?

Jayanta Basu: This '24-'25?

Vipulkumar Shah: Yes sir.

Jayanta Basu: So far we have not secured new jobs.

Vipulkumar Shah: Sorry, sir?

Jayanta Basu: I mean in the first quarter I mean this is May in this year we have not secured any job during the last 2 months.

Vipulkumar Shah: And sir last question is regarding margins. So one of our Bombay-based peers is continuously

reporting 14%, 15% EBITDA margin. We are very strong in marine which naturally carries high margins. So why there is such a big gap with the peers? So what they are doing right which we are not doing? Your comments will be welcome, sir?

Jayanta Basu: Yes. If you see the gap is coming down. So as I said that it is not only marine jobs we do because if you only depend on marine jobs it's a big risk, but if we do 30%, 35% from marine jobs. Other segments like the airport or even road what we do we have to compete with the local players.

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So you must have seen the increase in revenue margin from last year to this year. We'll try to do better to reach more margin, but today's scenario is that, that we don't have much overseas jobs. That is one of the reasons we want to go to overseas because we believe margin will be better. But in India whatever job we secure, most of the job we have to secure through company. And there if we have contribution for 10% margin more than that is difficult.

Vipulkumar Shah: Okay sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please proceed.

Nidhi Shah: I wanted to ask what is the depreciation policy for the TBM?

Moderator: Sorry to interrupt Ms. Nidhi, there is background noise from your end. Your voice is very low.

Nidhi Shah: Okay. What is the depreciation policy for the TBM?

Prasad Patwardhan: Sorry. I did not yet understand your question. Can you please repeat?

Nidhi Shah: What is the depreciation policy for the TBM that we use?

Prasad Patwardhan: The TBMs are depreciated. The current o

nes that we have in use are being depreciated over a period of five to six years.

Moderator: Next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Yes. Good afternoon, sir. Thank you for taking our question. I just wanted to harp more on the overseas diversification. So these would be projects which will be funded by the multilateral agency or the existing, or it will be a project which will be directly from that particular country which is funded by the country?

Jayanta Basu: Yes, our main focus is to go where there is funding by India and Exim Bank. That is Bangladesh, we have secured a job funded by Exim Bank, payment being made in India. And there are few jobs where we want to go, not totally depending upon the foreign funding. There we have the associates who we know very well, and the payment will be guaranteed. So that is the first thing we have ensured that payments should come. So there are two, three models we are working. One is Exim Bank, of course, another models we are working. So Yes, it's like that.

Jiten Rushi: So payment terms would be like, if these are like fixed price contract or you will get some escalation? How will be the payment terms here?

Jayanta Basu: See, basically in foreign contract, escalation normally you have to cover in your price. That is what we see in foreign contract.

Jiten Rushi: And sir, payment terms will be what? Because usually you get mobilization advance also when you do overseas contracts. So I understand that you will be getting mobilization advance in these contracts. And again, the payment terms should be healthy, otherwise it becomes difficult, the capitalization becomes a challenge.

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Jayanta Basu: Yes, we get mobilization in advance. Like, Bangladesh job is secured and we have really got 10% mobilization in advance. We have got Colombo. We have got 15% mobilization in advance. Likewise, in the future going forward also, we'll get mobilization in advance. In addition to that, there will be some preliminary items, which is almost like a mobilization item. Against that you can build initial few ones to get the payment early.

Jiten Rushi: And sir, which segment you are targeting? Only marine, or it could be like non-marine, especially like something like metro or some other buildings?

Jayanta Basu: It is mostly marine and there is another two jobs which is bridge and tunnel. I mean, tunnel also is involved, TBM.

Jiten Rushi: Your Bangladesh project, so your portion, which is river portion, right, for that Bangladesh transmission company, right, sir?

Jayanta Basu: Yes.

Jiten Rushi: So your order book would be how big and when are you targeting to complete the project, sir?

Prasad Patwardhan: Our order value will be IN R1,700 crores in terms of Indian rupees.

Jiten Rushi: This is out of your order book?

Jayanta Basu: Yes.

Jiten Rushi: Yes. And your completion timeline would be December '25?

Jayanta Basu: Completion time will be December '25 or maybe '26, early '26.

Jiten Rushi: Early '26. Okay. And sir, this is your share, not the JV partner, right?

Jayanta Basu: No, this is our share. It is around INR1,200 crores, INR1,300 crores in that range.

Moderator: Next question is from the line of Sriram R, an investor. Please go ahead.

Sriram R: Thank you for the opportunity. Sir, pardon me if I'm asking the same question, I joined a little late. Can you share the order pipeline for domestic marine orders? And also, what is the proportion of overseas orders in your current order book?

Jayanta Basu: Current order book, we have got around 9% to 10% from overseas, that is current order book. And in pipeline, domestic and overseas, almost 50%-50% in marine.

Sriram R: Sorry, sir, come again, domestic?

Jayanta Basu: From the new job, what we are pursuing, in marine at least 50% from overseas and 50% from the domestic.

Sriram R: And

how is the pipeline looking, sir?

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Jayanta Basu: In terms of the number you are asking?

Sriram R: Yes. I mean I'm just asking whether we'll maintain the same share of 30% for marine going forward?

Jayanta Basu: Yes, that is the aim to have 30% revenue from marine -- from the overseas market. So today, it is mostly marine we are working if it is overseas. And say around INR8,000 crores to INR9,000 crores of business in marine we can see from overseas this year -- I mean opportunity. How much we'll get, that is different.

Sriram R: And sir that is same for domestic, what will be the opportunity?

Jayanta Basu: Yes, domestic also same kind. But domestic, some jobs are going little slow and election also is a factor. The time lines, I cannot say anything, but the opportunities are there. I mean, projects are there.

Moderator: Thank you. Ladies and gentlemen to ask a question you press star and 1. Next question is from the line of Mehul Mehta from Nuvama PCG.

Mehul Mehta: Congrats on great set of numbers. Especially on working capital cycle, if we look. It's virtually flat, like on 51% revenue growth. So how should we see it going forward? Is there something one-off during the year? Or like we should see this sustainable?

Prasad Patwardhan: No, we have been reporting, our working capital has been in similar range throughout the year. So I think you can work with the similar numbers. There may be some elongation of the working capital cycle going forward, it is normal for our business, but it should not change significantly.

Mehul Mehta: If I can further enter into, is that like when I'm looking at debtors, inventories and creditors. If I look at like a net of that, it's like kind of flat. Maybe like whatever like non-billable like in revenue contract and all that I'm not looking at. I'm looking at like debtors plus inventories plus creditors, it is virtually flat. So that is a very significant achievement for me. So how do you see it like -- should be like is that something one-off or like should like -- because 50% is revenue growth, whereas like this net working capital cycle is flat. So how should we see it going forward? That's what is my question.

Prasad Patwardhan: No. In fact, most of our projects, we are getting payments on time. As soon as we bill, as per the contract terms, we are getting our payments. So I mean, we don't expect any significant change in the working capital cycle going forward.

Mehul Mehta: But over in FY '23, in FY '24, definitely, what you call like an efficient working capital, there is improvement. So what I'm looking at is that FY '24 should be continuing and that's sustainable. There's nothing a one-off kind of...

Prasad Patwardhan: Any exceptional or nothing that we do, we are expecting this similar cycle to be sustained in the next year. It may be there are few days here and there, but more or less it should be sustainable.

Mehul Mehta: Sure sir, one more question is in terms of like if I look at the order inflows, like say, in FY '23, there were about INR8,800 crores. This year, it is about INR7,000 crores in a year. So on

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average, if we look at it's about what you call INR7,000 crores, to what we call like INR9,000 crores, and so maybe about INR7,500 crores kind of average. So going forward, should we look at once government is stable, government is in place, still can we look at a substantial growth on that as compared to average INR7,500 crores for the last 2 years' average. So should we look at?

How can we look at it?

Jayanta Basu: Yes, basically, because of the size of the job what we are bidding for. Suddenly, if you get a job of INR4,000 crores and then another job of INR4,000 crores, then the whole thing changes. It's a matter of 2 big jobs. So we are quite hopeful that we get some big ticket jobs

, and we'll be able

to achieve the order inflow what we have targeted.

Mehul Mehta: Yes. So what I'm questioning is, like once government is stable there has been significant orders which have been received by kind of H.G. Infra and PNC Infra and all. So it is like coming up.

So are we seeing in our segment also like marine or whatever segments we are like very focused?

So are we seeing with the government, stable government in place, are we seeing that kind of growth? Your outlook on that.

Jayanta Basu: In marine, there are a few big jobs for the government which will be activated after the election results out there, like Bardhaman Port and then few more other jobs. So in private investment from Adani and from the DP World and from a similar those marine jobs are domestic, there are a few jobs. So altogether you see Bardhaman Port is still INR 7,500 crores jobs. I mean if you are capable, if we see if we can take a chunk of them, it is a breakwater it is a jetty, it is bridge many things which is the cup of our tea.

Likewise, I say that if you get 2, 3 jobs like that, the things will totally, the order book scenario will totally change. And beyond that we are going to overseas also, trying our best.

Moderator: Thank you. The next follow-up question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Jayanta sir, just wanted one clarification. If I see over the last 4, 5 years, your gross margin has been coming down. And whatever the gains in your EBITDA margin, they are largely coming in because of high volumes and savings, because of that lower employee expenses as percentage of sales and even other expenses reducing. So just wanted to understand why is gross margin declining given that Marine has gone up in the mix? If you can give some color on that.

Jayanta Basu: I think margin is better than last year, can you get specifically tell?

Parikshit Kandpal: Gross profit margin. I'm talking about revenue less material cost, that is the gross profit. So your EBITDA margins have increased but you're --in the mix, your gross profit margins have declined over the last few years.

Prasad Patwardhan: Parikshit, I think you need to look at the material cost and the subcontract cost together. It depends on our integration strategy and methodology. In some projects the subcontract cost may be higher and the material cost maybe lower. So I don't think it's right to only look at the gross margin considering the material costs. Overall, as Mr. Basu said our margins have only improved and that is what really matters.

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Parikshit Kandpal: I agree, Prasad but your other expenses also reduced as a percent of sales but I'll take this offline. My second question is these 3, 4, last 4, 5 quarters, we've been pretty stable in terms of no major escalation or cost overruns. I just wanted to understand are all these 3 key projects when we were running continuously on cost, we are largely behind especially Bangalore Elevated, I think it got completed something pending there. And any other projects which may create some issue for us in the coming quarters? Or now the worst is behind and we'll see continuity at least in high single-digit or early double-digit margins?

Prasad Patwardhan: Yes, as far as the projects are concerned, we had Bangalore Metro as all of you know that is in the last two quarters before it has been behind us. So, what is remaining now only is the claim and arbitration. If we get something from there, that will be only pluses. And beyond Bangalore Metro there is no other job where we have got any such issues. So yes, we are in a comfortable situation as far as legacy is concerned.

Moderator: Okay, sir, next follow-up question is from Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: I want to ask that the employee expenses are proportionately much lower given that you've had a 51% increase in revenue and you're projecting another 20% increase next year. Would there be any further hiring that would sort of make the employee expenses more proportionate to last year?

Jayanta Basu: Yes, there will be definitely for working business there will be some inclusion of employee and that is a normal cycle of business. Not much but if you have to do more revenue there has to be more people as well not to the proportionate to the increase of revenue but some proportionate increase.

Nidhi Shah: Okay. So currently, would we see that the employee expense proportional to the revenue would increase by how much? Do you have any rough count on that?

Jayanta Basu: Difficult to tell. The delta increase in the employee cost will be less compared to the increase in revenue. So in that way, proportional if you see only marginal increase or even flat in terms of

percentage.

Nidhi Shah: Okay. All right. And I also wanted to know what do you think are the 2 or 3 key drivers for growth of revenues this year?

Jayanta Basu: I couldn't get it. If you can repeat, please?

Nidhi Shah: What are the 2 or 3 key grow the drivers of revenue for this year?

Jayanta Basu: Well, first of all, we are focusing on big jobs. When I say big jobs INR1,000 crores, INR2,000 crores, INR3,000 crores in that range. And when we execute the big jobs will give you much more revenue than what you do normally with the small jobs. So that is one area that we are focusing on the big jobs.

And second is that execution speed. Nowadays, nobody allows the five or six years time particularly marine and all. So, we are trying to improve our execution cycles so that we can get

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more turnover per month by mechanizing the things and using it first. These are the two types for the big revenue.

Nidhi Shah: All right. Last question, if you don't mind. What is the order opportunity in underground Metro in next 1 or 2 years?

Jayanta Basu: There are plenty. Usually I can see that at least 3 jobs -- 4 jobs we have submitted, we're waiting for the opening. So, if you see, underground Metro is probably around INR2,000 crores plus, and they are kind of few are in the pipeline. So, I think around INR15,000, INR16,000 crores job opportunities are there in this year. And we have to bid for that. How much we get of that is a different issue.

Moderator: Thank you. We will take our last question from the line of Sunil Bhojwani from Veekay Investments. Please go ahead.

Sunil Bhojwani: Congratulations for the great set of numbers. Can I know what is the order bid pipeline currently? What's the amount?

Jayanta Basu: Bid pipeline, I mean, some we have submitted; some we are working; some we are yet to start, put together will be around INR25,000 crores plus.

Sunil Bhojwani: So you had given a guidance of about INR 9,000 crores of order inflow for this year, which approximately means that our success ratio is close to 30% to 35%? Is that the correct understanding?

Jayanta Basu: Actually, INR25,000 crores order, pipeline is yet to submit our bid. But there are some already we have submitted before. So, 35% success rate is quite high. I think it will be around 20%, 25%. Basically, it doesn't depend upon the amount. It depends upon the number. If we are successful to get 20% success, 20% value, maybe 30%, if we have the big ticket jobs. So that calculation has been same a little bit now.

Sunil Bhojwani: So what is the submitted bid amount, sir?

Jayanta Basu: Submitted bid amount, there are 2 figures, one figure will be around close to INR20,000 crores. And that other figure is INR 8,000 crores. Because the INR10,000 crores figure, that is a Grey area, whether that project will take place immediately or not.

Sunil Bhojwani: Okay. But we have submitted our bids for these projects, so collectively, it's INR28,000 crores, where we have collectively bid for the projects, b

ut INR20,000 crores is the time line cannot be predicted, right? Is that the correct understanding?

Jayanta Basu: INR30,000 crores -- INR25,000 crores, INR30,000 crores is the opportunity. We have submitted around close to INR20,000 crores. Out of that, INR12,000 crores, we are not sure when and how this project will take off. But it will happen sometime, but we don't know about the timeline.

Sunil Bhojwani: Okay. So if 20,000 is the bid we have submitted out of the 30,000 opportunity, right, sir?

Jayanta Basu: Yes.

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Sunil Bhojwani: Okay. So the other 10,000 also we plan to submit a bid sooner or later?

Jayanta Basu: Yes, the work is going on. And some of them are related to elections. So maybe another 3 months, 4 months' time, we'll be able to submit.

Sunil Bhojwani: Okay. And out of this order pipeline, you said that domestic and international would be about 50-50, right?

Jayanta Basu: That is in a particular segment that is the Marine.

Sunil Bhojwani: Only in marine. Okay. Otherwise, what would be the breakup of domestic and international in this bids?

Jayanta Basu: Otherwise domestic is predominantly domestic. There is some job in overseas which is not

marine, but that is not much. I don't want to quantify now. I don't have the figure now what that is less.

Sunil Bhojwani: No, I'm just trying to understand, sir, if we submit, say, by next quarter, we are ready with the INR30,000 crores opportunity and with a success rate of 20%, 25%, we are still left with INR7,000 crores, INR8,000 crores order -- new order inflow. And we are going to realize about INR9,500 crores of revenue?

Jayanta Basu: Yes, I'll tell you one thing you, see at INR30,000 crores, 20% success, this doesn't work nowadays. In one job if you get INR8,000 crores, only 1 job. So it has to go to the number. How many tenders you have submitted? And how much we may expect to get? And what is the value of that job? So sometimes Marine has seen 35% success rate.

Sunil Bhojwani: So can I say that you are being a little conservative right since this is the beginning of the year for the order inflow and maybe you would revise the guidance going ahead? Is that the correct way to look at it?

Jayanta Basu: So probably this, I'm not conservative. I think whatever number I have said, that is the upper limit, around INR9,000 crores.

Sunil Bhojwani: Okay. So you think that is the upper limit and crossing that would be a bonus.

Jayanta Basu: Yes.

Sunil Bhojwani: Okay. And you maintain by the 20% growth guidance?

Jayanta Basu: Yes.

Sunil Bhojwani: Thank you so much.

Moderator: Thank you very much. Ladies and gentlemen, we will take this as the last question for the day.

I would now like to hand the conference over to the management for the closing comments.

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Prasad Patwardhan: Thank you so much for joining us for this Q4 FY '24 earnings con call. We appreciate your support and interest in the performance of our company. We look forward to interacting with you in the next quarter. Thank you.

Jayanta Basu: Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Aug 2024

ITD Cementation India Limited
Dept. of Corporate Services – Corporate Relationship,
BSE Limited,
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai 400 001.
National Stock Exchange of India
Limited,
Listing Department,
Exchange Plaza, C-1, Block 'G' Bandra-
Kurla Complex,
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Date Our Reference No. Our Contact Direct Line
12th August, 2024 SEC/08/2024 RAHUL NEOGI 91 22 67680814
rahul.neogi@itdcem.co.in

Dear Sirs,

Sub: Transcript of Analysisists / Investors conference call on Unaudited Financial Results for the quarter ended 30th June, 2024 .

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Analysisists / Investors conference call held on 08th August, 2024 relating to the Unaudited Financial Results for the quarter ended 30th June, 2024.

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q1_FY25_080824.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY

Encl: as above

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Corporate Identity Number : L61000M H1978PLC020435

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"ITD Cementation Q1 FY25 Earnings Conference Call
Hosted by ICICI Securities"

August 08, 2024

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR , ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN – CFO, ITD
CEMENTATION INDIA LIMITED
MR. RAHUL AGARWAL – INVESTOR RELATIONS , ITD
CEMENTATION INDIA LIMITED
MODERATOR : MR. MOHIT – ICICI SECURITIES LIMITED

ITD Cementation India Limited
August 08, 2024

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Moderator: Ladies and gentlemen, good day and welcome to ITD Cementation Q1 FY25 Earnings Conference Call Hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit from ICICI. Thank you and over to you, sir.

Mohit: Thank you, Sumit. Good afternoon. On behalf of ICICI Securities, I welcome you all to the Q1 FY25 Earnings Call of ITD Cementation India Limited.

Today, we have with us from the management, Mr. Jayanta Basu - Managing Director, and Mr. Prasad Patwardhan – CFO and Mr. Rahul Agarwal from Investor Relations.

Without much delay, I will hand over the call to Management for the “Opening Remarks”, which are followed by Q&A. Thank you and over to you, sir.

Prasad Patwardhan: Thank you, Mohit. Good morning, everyone. This is Prasad Patwardhan. And I would like to thank you for joining us on this Q1 FY25 Earnings Call.

Before we begin the discussion, I would like to mention that during the call, there could be some forward-looking statements about ITD's business prospects and operations which are subject to several risks and uncertainties, and the actual performance could differ materially from whatever is stated during the call.

We declared our Q1 FY25 results yesterday, and I am sure you would have had a chance to go through the numbers.

We have reported an excellent set of numbers for this quarter, with the highest-ever operating income of Rs. 2,381 crores, which represents a growth of about 30% on a year-on-year basis. Our EBITDA has come in at Rs. 237 crores which again represents a growth of about 36% on a year-on-year basis and profit after tax, this is the first time when our quarterly profit has reached Rs. 100 crores which is an achievement and a milestone in itself and which represents a growth of nearly 100% on a year-on-year basis.

Our debt continues to be within controllable limits and the balance sheet is not at all leveraged. Our net debt to equity ratio is about 0.3x. That is as far as our financial performance is concerned. I will now hand over to our MD – Mr. Jayanta Basu for his initial comments. And then we will take your calls.

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Jayanta Basu: Thank you, Prasad and good morning to all of you. And thank you for joining this Con-Call, Q1 FY 24-25.

Prasad has mentioned that we had a good set of numbers this quarter. The revenue has crossed Rs. 2300 crores, close to Rs. 2400 crores, which was, a few years back, was whole year turnover. We have achieved in one quarter. And EBITDA is around 10%. Profit after tax also close to 4.2%, which was 3.6% a year back. So, there is improvement in all the parameters. And going forward, we hope that we will be able to maintain the same tempo, because there are not many good jobs in the pipeline.

Before I explain about the new job prospect and the which are in pipeline, let me tell you that there are a few jobs which are quite critical for us in terms of the value and size. First of all, Ganga Expressway, we have almost completed 50%-55% of the job. And in the last quarter, we

could do more than Rs. 600 crore revenue from a single job in Ganga Expressway, going very well. So, far, there is no problem. Now, because of monsoon, the progress is little muted. But from October, it will again start. So, I hope that within the time we will be able to complete this big road project. Chennai Metro, all the TBMs are working. It is going well. Bangalore Metro underground, the work job completion. In terms of marine job, Udangudi, as you know, our signat

ure project is completed now. We have started a Navy job in East Coast of India, Project Varsha, that started well.

Another job in West Coast that is Seabird is also on the verge of completion. And few other jobs, all are going well. Yes, we have a foreign job that is overseas job in Colombo for West Container Terminal. They are also going well. Bangladesh is little temporarily because of the latest issue. But good thing about Bangladesh out of this problem is that we have hardly done anything there. In fact, we should start the job from October this year. So, impact-wise, today we have got nothing to declare because our mobilization also not taking place where we are sitting on the mobilization advance, all people are safe, they have come back. And we will watch the situation how it goes and accordingly we will take our action.

Coming back to the future prospect:

As we have said many times that our focus is now on the international market, and we are trying our best to get some more job in international market. In domestic also, we have got enough opportunity. Some tenders have submitted, some are in pipeline. So, going forward, work in hand plus work expected, I think we will be able to maintain the same tempo what you see in the first quarter.

That is all in the brief, and we are open to any questions. We will be happy to answer them.

Thank you.

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Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.

Rish Kothari: My first one, primary question was on the Bangladesh project that we right now are, as you know, that's a political battle that is going on in the country. And of course, as you mentioned that we haven't started the project yet. So, in future, let's say, if at all things become stable as it will start to with the project, so what are the possibilities that the project might end up eventually because of the crisis again happening? So, is there any provision that we have made for the project or not?

Jayanta Basu : Well, what is going to happen, neither we know, neither you know, because it is not in our control. We have to watch and see. As I mentioned that we have secured the advance, which is with us and we have hardly mobilized. We are just about to start some mobilization, which is stopped now. Provision in the sense we have to see another few days or few weeks how it goes. Our expenditures hardly, we have done any expenditure in that project so far. So, that is what I have to say now. I don't have much, unless we know what is happening in future.

Rishi Kothari : So, what is the revenue exposure do we have on the company? Right now the Maritime structure is about Rs. 6,400 crores of exposure. So, what's the percentage of that project Bangladesh can achieve?

Jayanta Basu : Yes, for this year, total value of the project is around Rs. 1,500 crores and it is spanning in the three years' time, roughly 2.5 to 3 years. In this year, we might have considered around Rs. 300 to Rs. 400 crores for this year, '24-25.

Rishi Kothari : Sorry, I did not get the number in the beginning. How much exposure do we have?

Jayanta Basu : Total value is Rs. 1,500 crores, which is spanning 2.5 to 3 years' time. And our estimate progress for these years will be around Rs. 400 crores, Rs. 500 crores, around that.

Rishi Kothari : And my second question is on any updates on the parent company stake that has been happening in the market for the company? So, any updates on that front?

Jayanta Basu : Update means you know that we have already informed the SEBI that our parent wants to dilute some stake and some process is going on at parent promoter level. So, it is, I think, quite initial stage. And we will come to know once it happens after a few weeks or months.

Rishi Kothari: And in terms of the future gr

owth perspective, what are the revenue growth expectations we have for 3-4 years down the line? Any growth number targets?

Jayanta Basu : Yes, I think we have maintained growth of 15% to 25% in that range going forward, next year also.

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Rishi Kothari : And any margin expansion you are looking at operating level? Right now we are running at about 10% to 11%.

Jayanta Basu : I think we have to live with this number. Unless we have overseas market in Indian market, I think that is okay. If you are able to do good, we will be happy. But I think for the time being 10% should be the number you should consider.

Rishi Kothari : So, we will maintain the range of 10% to 11% for at least a year or so.

Jayanta Basu : Yes, that is the expectation.

Moderator : Thank you. The next question is from the line of Pratik Kothari from Unique Portfolio Managers. Please go ahead.

Pratik Kothari : The way we have scaled over the last 3-4 years, it's just commendable. So, my first question, in the beginning of your commentary, you did say that Indian jobs are not too many good jobs in domestic markets. Can you highlight and elaborate on that?

Jayanta Basu : No, I have not said too many good jobs. I say overseas market is our focus because if you see clearly, two years back, our presence was nil. We started doing some overseas business and we found that it is a good area to work because the contracts are all equitable contracts and margins are good. So, that is the focus we have. That does not mean that the domestic market is bad. Domestic market, we can get the volume and particularly the segment where we work in marine and underground sector. That is always good.

Pratik Kothari: In terms of competition or availability of orders pipeline in domestic it stays the same what it was earlier?

Jayanta Basu : Yes, competition is there and that is why I said that EBITDA, whatever is there now, it will be around that. Don't expect much from there because we have to secure the job based on the market price.

Pratik Kothari : And sir in your annual report, you have mentioned the sentence which says that we are committed to expanding our capabilities and exploring new avenues. So, this is from a geographical perspective or even in terms of the kind of work we do, we are intending to venture out into more things?

Jayanta Basu : See basically, we strongly believe that to have better performance, you have to grow inorganic manner because we have enough learning curve of new segments. Now the time has come we have to encash whatever we do good, let us do more. It is geographically increasing the footprint, yes that is the meaning of that.

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Pratik Kothari : Earlier our expectations were we would stay at about 3%-3.5% of sales. And I think we have done a fantastic job in bringing this down. So, are these numbers, 2.2%-2.4% of sales, sustainable or is this something specific which is going on?

Jayanta Basu : Well, I think Prasad, you can address this.

Prasad Patwardhan : No, it is nothing specific. You know, these are operational efficiencies which are kicking in. But as our volume of operations grow and we get new orders, I think there is a possibility that the interest cost could inch up a bit as a percentage of revenue.

Pratik Kothari : Anything specific now that the number is so low?

Prasad Patwardhan : No, nothing specific. As I said, we got in. This typically happens in Q1, where we get a lot of payment from especially government clients in the month of March. And typically, we use that to reduce our debt. And that impacts our interest costs, especially in Q1. And that is what you have seen in this quarter.

Pratik Kothari : Correct. And sir, last one, historically, we have seen that the parent of a company changed multiple times. But in your experience, how do we stand? Whether it's a matte

r of time or we

don't even know if it's going to happen, but if they sell partially or completely, how does that change our organization, our outlook, our approach?

Prasad Patwardhan : Well, it will be difficult to comment at this stage. But given what we have seen in the past, it doesn't impact our operations directly. We are not dependent on any funding from the parent or there are no guarantees that the parent has provided for us. So, in terms of operations, we don't expect, as of now, any impact on our day-to-day operations of the company.

Pratik Kothari : And in terms of technical confidence, now we can go and apply to any projects on technical grounds?

Jayanta Basu : Yes, our present promoter has really helped us during their tenure of the last 20 years or so. And now we know how to handle the tunnel boring machine. We know how to do the airport and some other areas. So, now, today you will see hardly any job we got in the joint venture. So, most of the jobs we are able to do standalone. And Marine, we never went to anybody, it is our own area, so we have been doing marine work for last 30 years or so. So, I think we are now self-sufficient, we don't require much of technical support. Technical support is always required you see. That does not mean it has to come only from the promoter. We can go anywhere else. Technology as much as is required. But per se whatever support we have got from ITD so far,

that is not required because we are able to manage within ourselves.

Moderator : Thank you. The next question is from the line of Nikhil from Kizuna Capital. Please go ahead.

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Nikhil: So, sir, my first question is, like, you have guided that we are going to go 20% next year. So, sir, for the next year, FY26 growth, we need to have an order intake of Rs. 12,000 to Rs. 15,000 crores approximately for that kind of growth with our current execution capabilities. So, sir, how are we targeting that? The order book inflow for FY26, like do we have any kind of plan post FY25?

Jayanta Basu : Well, this execution rate has increased now. If you see the job what we are doing now at much faster speed than what we used to do two years back. Just imagine Ganga expressway Rs. 5000 crore job, we will be completing in 2 years' time, which used to be 4 years, 5 years in earlier days. So, work in hand also a function of at what speed you are executing. In that way, we are doing much better than before. That is one aspect. And the second aspect is that so far this year, already we have secured around Rs 2000 crore jobs. Another Rs. 2000 crore we are L1, and we are expecting Lol any day. So, Rs. 4000 crore by month of August. So, remaining part we are sure that we will be able to achieve another Rs. 6000- Rs. 7000 crore of jobs. So, Rs. 10,000 – Rs. 11,000 crores should be okay.

Nikhil: Yes sir, and my second question is like I was going through the budget document. So, the allocated budget for the marine time and metros is approximately Rs. 27,500 crore. And with the 20% success rate that we have, it will be close to Rs. 5500 crore. So, are we looking international projects for the marine time for broader scope of work? And sir, are we also planning to get into solar EPC business too?

Jayanta Basu : No. We are not going to solar EPC. For solar EPC, if there is infrastructure required, if they require a big pile foundation, definitely we are there. Like today, for the green energy, whatever work is being done by various entrepreneurs, we are part of the civil structure construction. And your first question was that going to overseas. Yes, I have said many times, we are targeting many overseas jobs and most of them are marine. So, yes, we are there.

Moderator : Thank you. The next question is from the line of Prem Khurana from Anand Rathi Shares and Stockbroker. Please go ahead.

Prem Khurana: Basu sir, I think in your opening remarks, you

spoke about the prospects that you see in India

and overseas. Would it be possible for you to kind of quantify segment wise, how much prospects are you envisaging in India to bid for and how much would be overseas and what will be the mix? I mean, let's say, I mean, if you want to have at least Rs. 10,000 crores of inflows in this year, how would the mix be between let's say overseas and India? And even in terms of segments, I mean, if possible.

Jayanta Basu: Okay, I tried to answer your question in more detailed manner. For the marine, the bid so far we have submitted around Rs. 3000 crores, which is tender has been submitted. Out of that, Rs. 1,200 crores is from overseas. And the bid which is under pipeline, that means we are working and which will be submitted by another few months' time, will be around Rs. 5,000 crores tender

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we are working. And beyond that, the tender which has yet to come, but we know very sure that it will be there sometime during this year will be another Rs. 20,000 crores. So, 3,000 plus 5,000 plus 20,000. So, around that number, we are working for the marine. And part of this also works is job which is to be submitted from marine. And then if you come to the metro, I think all of you know that Patna Metro and Indore Metro put together around Rs. 8,000 crore jobs tender you are working. Beyond that also, there are many other jobs in Metro. The Hydel project like pumped storage and work like that will be around Rs. 5000 to Rs. 6000 crore, some of them under tender. There are few jobs of foundation and others. So, altogether around if you see the tender we are working, which is immediately coming and some future tender, 35,000 to 45,000 crore jobs we can see in our horizon.

Prem Khurana : Sure. And then breakup in terms of how much of this would be essentially domestic and how much would be international?

Jayanta Basu: International, very specifically, I can tell you. Around Rs. 10,000 crores. Marine and there is other job also in Middle East around Rs. 10,000 crores.

Prem Khurana: As far as I know, overseas the projects that you bid generally tend to be fixed price. And geopolitically, we still seem to kind of volatile. So, would that mean you would build some extra contingency reserves whenever you bid for projects outside India because I mean essentially these would be somewhat some of these geographies would be new for you, right, I mean the Africa that you're targeting would be somewhat new, so fair to assume at least to begin with

whenever you bid and given the diagram some of these would be sort of fixed price you would try and target margins which be on a higher side compared to India?

Jayanta Basu: Yes, of course, but the question what you have asked, that is our profession. As a business, we do all these risk analysis, keeping provision, how much margin, which are to target, which are not to target. So, those things, that is what we are doing now and we do. So, of course, we will target to have better margin and that is our idea to overseas.

Prem Khurana : And Prasad sir, is it possible to share how much did we incur as CAPEX in Q1 and how much more is envisaged for the balance of the year?

Prasad Patwardhan : Well, Q1 CAPEX was not a very high number. I think it was a range of about Rs. 20- Rs. 30 crores. This year, yes, we will be incurring some replacement CAPEX and purchase of new equipment as well. It should be in the range of Rs. 150- Rs. 200 crores. It could be significantly lower, I believe as compared to the earlier years. But that is the target we are working with right now.

Moderator : Thank you. The next question is from the line of Franklin Morris from Equentis Wealth Advisory. Please go ahead.

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Franklin Morris : So, sir, you mentioned that the last two years we have seen a significant ramp up in execution.

So, I wanted to understand maybe internally, what's structural changes we would have done to affect this, and also from the environment perspective, what has really helped us in achieving this?

Jayanta Basu: We have been doing well for many years. Only thing few one-off job was dragging us down. Otherwise, if you see the execution of other jobs, it is not today or yesterday that we have started doing well. Basically, we are doing well. Our operation team is quite efficient. And most important part is the people team which work for us. They are working with us for many years. They work, they continue to stay. So, those are the factors, and we emphasize putting right people at right location. So, that is also helping us to do better work.

Franklin Morris: And sir, in terms of your gross debt equity ratio, current is at 0.6, any guidance which you would like to give?

Prasad Patwardhan: It's difficult to give guidance frankly because the debt is a function of our scale of operations and the new orders can be secured. So, our endeavor is to have a lean balance sheet and not let the debt balloon significantly and that is what we keep on working on, but difficult to give a target for the debt number.

Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: So, again, on the bid pipeline, I wanted to know what are the projects that we have already bid for in this year and we are looking forward to the announcement of that? And what do you see in the near future bid pipeline, some of the bid projects that could come up in this year?

Jayanta Basu: Bid we have submitted, marine we have submitted 4 tenders and 2 of them is domestic; one for the JSW, one for AP Moller at Gujarat and another job we have submitted in Middle East for some client. I don't want to reveal the name. And there are some tender which are working, one for the DP World at Gujarat. Then one job at Vizhinjam which we are already working extension of that, one marine job in SOHAR. So, these are the kind of jobs we have submitted, under submission for the marine. And for metro, all we know, Patna Metro, Indore Metro, everybody is working there. So, these are the few jobs we have submitted so far.

Nidhi Shah: Other than marine and metro were there any jobs that has been bid for in this quarter?

Jayanta Basu: One job, as I mentioned, that commercial or residential building for CPWD Delhi, where we are already lowest, around 1,900-2,000 crore jobs.

Nidhi Shah: And do you see any orders coming up in the highways, bridges, and flyover segment?

Jayanta Basu: No, we are not pursuing any job for highways.

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Nidhi Shah: And in the coming year, do you wish to participate in any other bridge in this segment?

Jayanta Basu: We don't have such a plan now.

Nidhi Shah: And lastly, my question would be on the TBM. So, I am able to gather, I might be wrong on this, but that a TBM gets entirely depreciated during one project. So, my question would be on the accounting front. How do you depreciate your TBM? Do you depreciate it over the duration of the project or then do you hold it in your book for say 5 or 10 years? So, what is the policy that you use?

Jayanta Basu: This is typically our business secret. How do you expect me to reveal all this? Because everybody knows what is the cost of TBM. If I reveal that how much we depreciate in this

project, everybody will know how much I have charged. So, let it be within us.

Nidhi Shah: So, I just wanted to know the policy. Do you do it over a couple of years, or do you depreciate in your books or accounts over the project?

Jayanta Basu: It depends again. I mean we don't have a policy which is very rigid. The flexible policy based on the bid we are submitting. Based on the market, based on our work in hand, we change our policies.

Moderator: Thank you

u. The next question is from the line of Prateek Bhandari from Arth Ventures. Please go ahead.

Prateek Bhandari: Yes, so I just wanted to understand as to where are we anticipating the order book by the year end and what would be the order inflow for the complete year?

Jayanta Basu: As I mentioned that Rs. 4000 crores is already there. Balance Rs. 6,000 to Rs. 7000 crores would come, some marine, some underground metro and some building jobs.

Prateek Bhandari: So, by year end, we see the order inflow to be around Rs. 14,000- Rs. 15,000?

Jayanta Basu: No, 10,000 plus.

Prateek Bhandari: Order inflow?

Jayanta Basu: Yes, for the whole year.

Prateek Bhandari: And where do we see the order book going by the year end?

Prasad Patwardhan: That will be a function of the order secured and the execution during the year. We have already given you in the past as well, we have indicated what sort of growth number we are looking at

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this year and next year. Based on the order inflow and the order book that we have as of today, I am sure you can work out what the order book is likely to be at the end of the year.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, what would be your current debt level?

Prasad Patwardhan: Gross debt is about Rs. 800 plus crores. And the net debt level is much lower than that. Net debt is under 500.

Vaibhav Shah: What would be the value of mobilization advances?

Prasad Patwardhan: Mobilization advances as of June is about Rs. 1300 crores.

Vaibhav Shah: Out of 1300, what would be the interest bearing and the interest rate on that?

Prasad Patwardhan: Well, I don't have the split right now, but there is a significant portion of it, which is interest free and the rest is interest bearing. I would say around 25% is likely to be interest bearing. The rest is interest free.

Vaibhav Shah: So, 75% is interest free?

Prasad Patwardhan: Yes.

Vaibhav Shah: And what would be the interest rate on the interest bearing mobilization advances?

Prasad Patwardhan: Well, it varies from project to project, but largely it is market driven. You know, it will be linked to either some bank MCLR or something like that. So, it's market driven.

Vaibhav Shah: So, it could be somewhere around 9% to 10% range?

Prasad Patwardhan: 9% to 10% or maybe there could be one-off projects where the rate could be even slightly higher than that.

Vaibhav Shah: And sir, one confirmation our YTD order inflow is around 2300, and we are L1 in around more Rs. 2000 crores, right?

Prasad Patwardhan: That's right. YTD order inflow is about Rs. 2000 and there is L1 of another Rs. 2000 crores.

Moderator: Thank you. The next question is from the line of Vishal Periwal from Antique Stock Broking.

Please go ahead.

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Vishal Periwal: Just a couple of clarification. The private side order book, which is 35%, primarily it is coming from which segment for us?

Prasad Patwardhan: Primarily it is coming from the roads and highways, which is Ganga Expressway.

Jayanta Basu: Yes, Ganga Expressway, that is from Adani Group. Then we have got a few jobs from ArcelorMittal. And some more jobs from Adani, Marine and Hydrel.

Vishal Periwal: And then, I think I just missed that number. The international order book is what percentage of our total?

Prasad Patwardhan: It is much less, it's around 7% of our order book.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from Emkay Global Financial Services. Please go ahead.

Ashwani Sharma: Sir, I am a little new to the company. I just wanted to understand that if you could speak about our core competences in each of our segments, that will help, sir?

Jayanta Basu: We work in five verticals and five verticals covers around 10-12 segments

and some of them are

very good in like marine, that is maritime jobs, port, harbor, construction of jetty, breakwater, flip way like that, ship repairing facilities. Then underground metro, like in various cities we are doing using tunnel boring machine. We are also good in normal tunnel; we call it NAML by drilling and blasting method for roads and railways. We do a lot of building work, either commercial or residential, including airport terminals, that is also core of competency. We are good in road bridges and highways, though our presence in highways was not much, but we are quite good in that. And our core business which we have started with that is a specialized foundation job. We call it diaphragm wall piling. So, those are the areas we work and some jobs in hydel, water, so that's all.

Ashwani Sharma: And sir, in the domestic market, typically what is the win ratio across these segments?

Jayanta Basu: It varies. I think around 18% to 20% is ours.

Ashwani Sharma: And lastly, sir, when you say opportunities in the overseas market, if you could give us which are the geographies where you see this opportunity that you discussed is that if you could talk about the name of the geographies?

Jayanta Basu: Mostly neighboring countries like Sri Lanka, Maldives, even Bangladesh. Though Bangladesh is a problem now, but there are opportunities as well. And then East Africa, West Africa and Middle East.

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Moderator: Thank you. The next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: I just wanted to understand our decision as to why not to bid for road projects. And just to follow up on that, a lot of BoT projects have been approved recently. That is quite a huge opportunity.

So, will we be looking to do the EPC part of these BoT projects?

Jayanta Basu: Yes, I don't say that we will not go for road project. We have to have a proper assessment of the project because normally what happens, whenever we have a lengthy project, either metro or road, normally in our country, it is very difficult to get the front available within the time. And if you don't have the front, you have got all the resources mobilized, you keep idle and you incur additional cost. So, those are the issues, number one. Number two, road projects involve a lot of local materials to be sourced, like earthwork, which is a big problem because none of the customer or client is ready to supply by themselves. The contractor has to arrange. And unless you are a local player, it is very difficult to arrange. So, that's why those uncertainties are there. So, we have to be very careful. If it is good, we will target some road projects.

Nikhil Abhyankar: Since we are already executing an EPC part of the BoT project in UP, there are a few power projects coming up in UP as well. So, will you be looking to participate in that, the EPC portion of it?

Jayanta Basu: Yes, why not? As I told you, the parameters that I have just mentioned, if we can fulfill and if you are satisfied, yes, we will target.

Moderator: Thank you. The next question is from the line of Sunil Kothari, an individual investor. Please go ahead.

Sunil Kothari: Congratulations, Basu sir, Mr. Prasad, for such a wonderful job you people are doing. So, my question to Mr. Basu is during the last 25, 30 years, you've seen almost 3-4 parents changing the way you navigated this company up to this level, you have seen so many challenges of economy and parent side, some domestic demands, some international challenges and domestic challenges also. My question is sir now again our parent is going to be changed, I would just like to take your view what will be your preference, it should be some domestic ownership or international also doesn't make any difference. And second, in terms of technical capability, what your preferences will be for your new pa

rents and in terms of financial strength, does it make any

major difference if they are very financially strong owners? Your thoughts will be really helpful sir because you have faced so many parents and you are so strong now.

Jayanta Basu: So, I think you have rightly said, we have quite experience in this particular aspect and we are strong now. So, whoever comes, we will be able to manage. I may have many preferences, but there is no point in saying that because whatever is going to happen will happen. So, that doesn't mean that we will not be able to perform. We look after only for this company, our performance.

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We will keep on doing that. And one thing for sure, whoever comes as a parent, they'll definitely have interest to grow this company. Otherwise, why they'll buy it. So, irrespective of whoever

comes, I think we will be able to do whatever we are doing now.

Sunil Kothari: In terms of technical capabilities, we don't see any major requirement. We are capable enough ourselves.

Jayanta Basu: Technically, I will never say that we are 100% okay because every time technical things are changing. Today, we never expected high-speed rail in our country. Neither we have expected many other things which is happening now. We have to keep on improving ourselves, but that does not require that we have to parent to support us. It can be done by many other ways.

Sunil Kothari: Sir, last question is, we are hearing a lot from many, the project takers like say, BHEL or maybe Thermax or so many companies, they are talking about not taking any EPC project, they want to just supply product. And in one of your remark, you said if there is a technical critical job for solar project also, we are ready to take. Do you see this opportunity opening up more because many a time now people want to avoid this civil, and construction related combined project. So, what's your thought?

Jayanta Basu: You are talking about the turnkey job, is it?

Sunil Kothari: Yes sir.

Jayanta Basu: Yes, that is what we have started doing. I think a few of the jobs which we have done recently, example we have done Udangudi, where we have done the foundation, we have done the deck, we have done the conveyors, we have brought the crane, we have commissioned them, electrical, what not. The whole package was delivered by us. Same thing you are doing at Project Seabird. And that is one area which we are really serious, and we have got our team to handle such jobs. Yes, we will be happy to do such jobs.

Sunil Kothari: Just one more, the thermal power projects which government is planning to do during next 5-6 years, is almost comparable to last 15 years capacity addition. Do we see any opportunity for us, turnkey or civil related?

Jayanta Basu: See, Thermal Power project, if you ask me, it is a job which can be done by many companies. It is a pure civil work. So, unless something very challenging where we will find the competition are less, we will be interested. Otherwise, we have to assess what is the job really.

Moderator: The next question is from the line of Jiten Rishi from Axis Capital. Please go ahead.

Jiten Rushi: So, my question is on the Vadhavan Port. So, we have seen that approval has come from the cabinet. So, when can we expect the awarding to kick in and what kind of opportunities do you see for ITD in this port?

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Jayanta Basu: Yes, Vadhavan Port should be a big opportunity for people like us who do the marine job. The big port is coming up, so somehow or other something will be there for all of us. So, I will not be able to say when it is coming. But basically, I think the ball has started rolling. The first package which has come now is on the BOT basis, that is the dredging part and reclamation part. And hopefully, soon the other packages will come, I think it's a matter

of one or two quarters
when the tender will come.

Jiten Rushi : So, we will not be doing the dredging because we are not exporting that what I understand. Right sir?

Jayanta Basu : Yes. I think we can help the company who will get the job if they require, but directly we don't participate for such jobs.

Jiten Rushi : So, sir in this Rs. 76,000 – Rs. 80,000 crore project, dredging would be what Rs. 10,000 to Rs. 15,000 crores or will be more?

Jayanta Basu : It's a big total value of this Vadhavan Port will be close to Rs. 70,000 crores and dredging itself will be around Rs. 15,000 crores and then breakwater will be another Rs. 10,000 crores in that range. So, big numbers.

Jiten Rushi : So, anytime we are eligible for broadly around Rs. 50,000- Rs. 60,000 crores of orders, if we are participating, except for dredging, that is what I understand. Right, sir?

Jayanta Basu : Yes. It depends upon how tender they frame. They may frame it in two phases. We don't know, really. So, the total number is like that.

Moderator : Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah : So, my question is, sir, we had several JVs with our parent company, and we were executing several projects through those JVs where equity participation was different for different projects.

And basically, all those JVs were due to technical expertise or due to the financial strength of the parent. So, now with the parent company gone, will we not be able to compete in these type of projects? So, what are your thoughts sir?

Jayanta Basu : Yes, I clarify it. The last JV we have quoted with a parent company was almost 10, 19 years back. So, today, only one or two JVs are running, which is running means job is almost completed, so final bill etc. going on. Thereafter, whatever job we have submitted or is secured, similar nature of job, even bigger than that, we have done standalone. So, we don't really require

their support for us to qualify for such jobs anymore.

Vipul Kumar Shah: Technically and financially you can bid on your own sir?

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Jayanta Basu: Yes, very much.

Vipul Kumar Shah: And sir lastly, is there any clarity whether parent wants to divest entire stake or only partial stake?

Jayanta Basu: I really don't know. I have to ask the parent. Hopefully they will reveal me. I really don't know.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Mr.

Prasad Patwardhan for closing comments.

Prasad Patwardhan: Thank you everyone for joining us on this Q1 FY25 Earnings Concall. We look forward to your continued support in the months and years to come. Thank you once again.

Moderator: On behalf of ICICIC Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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Date Our Reference No. Our Contact Direct Line
12th November, 2024 SEC/11/2024 RAHUL NEOGI 91 22 67680814
rahul.neogi@itdcem.co.in

Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Unaudited Financial Results for the quarter and half year ended 30th September, 2024

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Analysts / Investors conference call held on 08th November, 2024 relating to the Unaudited Financial Results for the quarter and half year ended 30th September, 2024.

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q2_FY25_081124.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY
Encl: as above

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"ITD Cementation India Limited
Q2 FY '25 Earnings Conference Call"
November 08, 2024

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR – ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN – CHIEF FINANCIAL
OFFICER – ITD CEMENTATION INDIA LIMITED

MODERATOR : MS. NIDHI SHAH – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to ITD Cementation Limited Q2 FY '25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Shah from ICICI Securities. Thank you, and over to you, ma'am.

Nidhi Shah: Thank you, Nirav. Good afternoon. On behalf of ICICI Securities, I welcome you all to Q2 FY '25 Earnings Call of ITD Cementation India Limited. Today, we have with us from the management, Mr. Jayanta Basu, the Managing Director; Mr. Prasad Patwardhan, the CFO. We will begin with opening remarks from the management followed by a Q&A. Thank you, and over to you, sir.

Prasad Patwardhan: Good morning, everyone. This is Prasad Patwardhan, and thank you for joining us on this Q2 FY '25 earnings con-call. Before I begin, I would like to inform you that the discussion that we have during this call may contain certain forward statements about the company and its prospects, which are subject to several risks and uncertainties and the actual results may differ materially from the statements that we make during the course of this call.

Let me first start with the financial performance for the quarter and subsequently, our MD, Mr. Basu, will take you through the operational performance of the company. We have declared our results yesterday, and I'm sure all of you would have had a chance to go through the results. The brief highlights of our performance in this quarter are as under.

We have reported total income of INR1,991 crores, which represents a growth of 24% on a year-on-year basis. Our EBITDA at about INR204 crores, represents a growth of 18% on a year-on-year basis. And profit after tax of INR72 crores in the quarter has shown a growth of about 34% on a year-on-year basis.

Looking at our half yearly numbers, the total income at INR4,372 crores represents a growth of 27% on a year-on-year basis. The EBITDA at INR442 crores has grown by 27%. And profit after tax at INR172 crores represents a growth of 63% on a year-on-year basis. Our balance sheet continues to have very low leverage and the debt-to-equity ratio is about 0.4x.

During the 6-month period and thereafter in October as well, we have secured orders worth about INR3,850 crores so far. This is all I can say as part of the opening comment, this is all I will say as of now.

I'll now hand over to Mr. Basu for his comments, and then we'll take your questions.

Jayanta Basu: Yes, Prasad, thank you, and welcome to this con call for quarter 2 of 24-25. Our revenue this quarter is around INR2,000 crores, which is almost 25% more than last year for similar

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quarter. So this shows that we are growing. This quarter, revenue is a little bit affected due to monsoon. And monsoon does not affect all kind of job, but the kind of job what we are doing in Ganga Expressway, the roadwork, we can't do anything because roadwork is totally dependent on the good weathers. So that has affected a little bit.

At the same time, in general, Bangladesh, we are working for one transmission line. And because of the political scenario, we could not do much during last quarters. So that also has some affect on our revenue. Otherwise, it would have been a little bit more. So that is in terms of the work, which are affected, otherwise, progressing on all the projects are okay, quite steady. Ganga Expressway, we are actually achieved about 50% progress so far.

And balance work what is now mostly out

of the local issue that is the earthwork is almost getting completed, which is the key component of the roadwork. So it will be less dependent on the local issue and balanced work portion we can do. We expect by June, July, next year, the work will be completed substantially. Chennai Metro, as usual, going okay, all the TBMs are running now.

We have completed substantial portion of tunnel in some portion, so 40%-41% progress we have achieved so far. Then another one, underground metro at Bangalore, which is on the verge of completion, entire tunnel has been completed, so the finishing work is in progress. Project Indian Navy, we are doing two jobs, one in the east and one in the west coast.

Project Varsha the new one is picking up quite well. Around 10% progress we have done so far. Another project in West Coast that is a Sea Bird in verge of completion. A few other marine jobs like JNPT also almost done and so small jobs are in under control.

We are doing an overseas job in Colombo, progressing better than the budget, better than the target. So the existing jobs, which we are doing, are all in good shape, and I hope that from this quarter, it will be better than this quarter, which is a normal trend we have seen that third quarter, fourth quarter is better than first and second quarter.

Coming to the prospect. It is a similar type of what I have said last time. We have got closely around INR30,000 crores of jobs under pipeline in various stages. Some of the tenders, some tenders is issued, some we have submitted the bid. So, we expect that some good jobs we will be securing during last few months of this year to fulfil our target of work to be secured.

That is all in long and short about the progress and performance what we have. I'll now keep it open for your discuss, any questions are welcome. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sunil Kothari from Unique PMS. Please go ahead.

Sunil Kothari: Congratulations for good set of numbers. And I just wanted to acknowledge one thing to Mr. Basu and your team, Mr. Patwardhan. During last almost 20, 25 years, after I think 2005, this is the moment where again, we are going to see our new owner. So the way you've handled last 3, 4 change in ownership and the way you navigated this company is a commendable job, sir. So congratulations for that.

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My question, sir, is with now Adani being the owner, it's going to become a new owner, how do you see the competitor? How competition or other players will be looking at Adani? Because now they both are in a similar type of business segment, ports and so many other things. So how this change, can it affect our business getting from the JSW-like players, your thoughts will be really helpful.

And one more thing on this new ownership, how do you feel, how do you see? I think I've heard Mr. Patwardhan on TV interview. Today, Mr. Basu on TV interview. We feel positive about Adani's entry as an owner. So it will be just combining these things, if you will talk something more on.

Jayanta Basu Well, your first question was that how our other clients will view this merger or acquisition. I don't see much on that because this is an independent listed company, and we'll be working in a similar pattern what we are doing. Maybe we will do a little bit of more job for Adani.

Otherwise, there should not be any problem because there are many instances like that. Larsen & Turbo, they have got L&T's Design, L&T's Ramboll and many companies like that. So that does not mean that they don't do work for others. So this is purely professional business scenario. I don't think it will be affected. But let us see what happens.

In terms of Adani, I mean we have to do much more work than what we have been doing so far, including whatever

work we are doing, apart from Adani, that will remain, that will grow. And maybe we'll be getting some more jobs from Adani. So that is a positive side. We have to enhance our capability. That much I can say at this moment.

Sunil Kothari Sir, the second question is, looking at your last 2, 3-year track record, the way we are performing, it seems that because of, say, little bit order inflow. As you required by '23 end March, we were having an order book of INR22,000 crores. Now we are below INR18,000 crores.

And looking at the way you want to grow, maybe 15%, 20% for the next 2, 3 years, how challenging it will be for you to get as early as possible the orders? Or will it hamper a year of maybe lower growth? How do you see next 2, 3 years looking at order inflow pipeline and your ambition to grow?

Jayanta Basu: Yes. I think that sometimes those statistics are misleading because if you consider last year this time, our order value work in hand was a little bit more than now. But what we used to do, we I mean, progress was less. Today, you can imagine a job of INR5,000 crores we are completing 2.5 years. In earlier days, a job of INR1,000 crores used to take 4 years' time.

So the execution rate has increased, obviously because of the nature of the job and the pressure

from the requirement of the client. So whatever job we get now we do it fast. So we cannot compare with the last year or second last year what was the order book and what was the revenue. Yes, we need some job and as I have just mentioned that there are plenty of jobs in pipeline. We are not at all worried about that. We still maintain that 20%-25% growth is possible.
Moderator: Next question is from the line of Dhananjay Mishra from Sunidhi Securities & Finance.
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Dhananjay Mishra: Congratulations on good set of numbers. So you talked about INR30,000 crores of prospect. So out of this, how much with bid already submitted and when do you see this bid will be finalized?
Jayanta Basu: I think already around INR12,000 – 13,000 crores bid already submitted. And remaining are on the stage of evaluation and being submitted. So we are quite hopeful that whatever bid we have submitted, few of them we will get. I don't want to comment on the project and the number now. But as I said that end of the year, total job I think INR10,000 crores will be secured in this year. That we are confident about that.
Dhananjay Mishra: Okay. So these all bid will finalize in this year itself or it will go in next year also?
Jayanta Basu: Some may spill over next year out of INR30,000 crores, but most of them will be very early we hope by February-March, it will be finalized.
Dhananjay Mishra: And most of the bids are in domestic market or these posters are in overseas market also?
Jayanta Basu: Yes, the ratio of around 25% out of this is from overseas market.
Dhananjay Mishra: 25%. And going forward, what will be our strategy in terms of sector and in terms of bidding strategies going forward? I mean, in terms of metro, marine job and all that?
Jayanta Basu: As we have maintained, we'll do the same thing. We will focus more on what we do best, particularly marine. And if we are able to do marine a little better that will spill into other segments as well. That is the strategy. And internally, also we have tenors or capability to do some more jobs, infrastructure developments like airports or buildings or industrial structures. So that is the second priority now what has been priority in India. What is the infrastructure in India?
Dhananjay Mishra: Okay. And lastly, on margin funds, sir, this quarter margin is a little bit down. So what will be the margin guidance for next year?
Jayanta Basu: Yes. I mean that for convenience purpose if we could reduce this and that, otherwise 10% plus.
Dhananjay Mishra: So 10% plus is doable going forward also?
Jayanta Basu: Yes, y

es. Possible.

Moderator: Next question is from the line of Noel Vaz from Union Asset Management.

Noel Vaz: Yes. Sorry about that. So in the first half of this current financial year, we've seen working capital increase very dramatically compared to first half of the previous year. Is there some particular reason, I know receivables have increased a lot, but is there anything else that there is a mix of something which as a response...

Moderator: Noel, again we are not able to hear you. Can you please speak a little louder?

Jayanta Basu: Yes, I think you said our working capital compared to last year and this year, isn't it?

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Noel Vaz: Yes, yes, Correct.

Jayanta Basu: Yes. What happened, it is not very uniform distribution. Sometimes, you will find that at a time we have a lot of working capital invested, the rest of the year, almost nothing. It depends upon the new jobs of what is secured, and we have secured some new building jobs plus some more industries have been done. Prasad, am I correct?

Prasad Patwardhan: Yes, that is absolutely correct. And the other reason is if you look at our March numbers, typically, we see a lot of government clients releasing payments to us in the month of March.

And that is why the working capital in terms of number of days in March may be a little lower.

So this is nothing out of the ordinary, this is the normal course that we are seeing the buildup of working that will add even the revenue and the execution also ramps up. There has been some increase in the working capital. As Mr. Basu said, it all been controlled and it is in line with what is our plan.

Noel Vaz: Okay. Understood. Does this also explain why the margins were a little bit lower, or this is just because of a seasonal factor?

Jayanta Basu: Marine as I told you that, see, one of the marine job in Bangladesh, which was supposed to be done. We could not do much because of the political issue. So revenue has affected and accordingly margin also. Marine job normally margins are better better. So that is one factor. Similarly, because of the monsoon, generally the progress on margin, that gets affected. So that

is what is the situation now.

Moderator: Next question is from the line of Aditi from CD Equisearch.

Aditi: Sir, my question is like, I was just curious to know, do you have any plans of getting into T&D, EPC or power sector related EPCs?

Jayanta Basu: No, no, we don't have any plans for that. Sometimes we do the civil portion, as I said that, which involve the structure, concrete structure for the purpose of transmission business. There we are, in fact, Bangladesh, we are doing that. But as a whole system transmission, we are not, we don't have any plans.

Aditi: Okay. No plans in the near future or no plans at all?

Jayanta Basu: So far, there is no plan. Future, I can't say.

Aditi: Okay. And sir, my next question is like how do you think that onboarding of Adani Group is going to impact ITD?

Jayanta Basu: Definitely, it will impact positively. That's what I can say now.

Aditi: Sir, can you please elaborate on this? Like what positive impact will ITD witnessed?

Jayanta Basu: See, we haven't had any discussion with Adani so far because it is still in the stage of work in progress. But generally, the perception is that they have got plenty of work, and they have got their presence all over the world. So those things will help us to do more jobs abroad, more

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overseas job and maybe diversification of our portfolio to a new segments. So those were the positive things we are perceiving now.

Aditi: Okay. So with the help of Adani Group, you are planning to secure more of international business, right?

Jayanta Basu: Yes. That will help us to go internationally more because of their presence.

Aditi: And not much impact will be seen

in domestic market?

Jayanta Basu: Yes, domestic also because they are also growing, so they require people. So we will be there with them. We also will grow with them.

Moderator: Next question is from the line of Aditya Sahu from HDFC Securities.

Aditya Sahu: Sure. Sure. I just had a small question. I'm aware, I understand you've provided the EBITDA margin guidance of about 10%. Could you please help us on the revenue guidance part, too?

What sort of revenue are you looking at for '26 and '25, '26 in the near term?

Jayanta Basu: '25, '26 you can find, as I have mentioned before also, around 20% plus-minus we should be.

Aditya Sahu: So over the next 2, 3 years, we can expect 20% of the revenue growth happening?

Jayanta Basu: Yes, it will slightly taper down. Once it becomes big, so 20% next year, maybe 15% in that range.

Aditya Sahu: Understood, sir. Understood. And also on the INR30,000 crores order pipeline that you are planning, what is the annual orders you're expecting in the current financial year of this INR30,000 crores to be received?

Jayanta Basu: Maybe of INR5,000 to INR6,000 crores order we should book out of the INR30,000 crores.

Aditya Sahu: Okay. So more INR5,000 crores, INR6,000 crores of order we can expect in the second half of FY '25?

Jayanta Basu: Yes. Yes.

Moderator: Next question is from the line of Abhishek Shah from Ambit Capital.

Abhishek Shah: Just a couple of questions. So firstly, you touched upon briefly the Bangladesh marine order.

Can you give some more color on what is pending in terms of revenue from Bangladesh? And

going forward, how you're thinking about it and whether the situation has improved? And the second question was on capex. Can you just update on the guidance for the current FY '25 and FY '26?

Jayanta Basu: Okay Bangladesh. Two months, within 2 months because of the situation we all know. But we have been in close talks with embassy, Indian embassy and our similar fraternity people like Afcom, IRCON and other companies, those are working from India in Bangladesh. So now that

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things have been resolved, we have discussed with the embassy, have discussed internally with other companies.

And all have moved and as well, we have also moved there. So work has started. Mobilization already, some of the mobilization is just not there, we have already mobilized that. So hopefully, from December onwards we'll be able to start the work. And as a local competition, so far, we are okay. I mean, we don't see much of problem. So let us keep finger crossed. I think things

would be okay going forward.

And regarding your other capex issue, so far, our capex is around INR67 crores this quarter.

Going forward, next year, we had said that the capex will be under control because whatever we have invested, just we have done the last 2 years, we don't see that much investment coming.

Moderator: Next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: So my first question will be on mobilization advance. How much do you have currently on book as mobilization advance?

Prasad Patwardhan: As of September, we have about INR1,300 crores.

Nidhi Shah: Okay. After post the order book that you have mentioned for September ended, have we received any more advance or orders in this quarter in Q3?

Management: We have received an order in October. It's about INR1,600 crores plus GST.

Nidhi Shah: And are there any L1s that are pending to be awarded?

Management: Sorry can you come again?

Nidhi Shah: Are there any L1s that are tending to be awarded?

Prasad Patwardhan: No. No.

Nidhi Shah: Okay. And the INR5,000 crores that you mentioned previously that we expect to book in H2, that is INR1,600 crores form a part of it or it's just over and above, the INR1,600 crores?

Jayanta Basu: INR1,600 is not part of that. That is beyond INR1,600 crores.

Nidhi Singh: Okay. So over

and above this, you expect another, say, INR5,000 crores.

Jayanta Basu: Yes.

Nidhi Shah: Now some macro questions I wanted to ask in terms like Bangladesh, this order we saw issue with mobilization in the beginning. But now as you have said, the issues have been resolved. So we think that there is appetite now in Bangladesh for more orders. Is that something that we can aspire to get international work from?

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Jayanta Basu: No specifically for Bangladesh, we still want to see, watch and see how it goes coming months in reality. So through there are plenty of opportunities, we have to be sort of cautious movement on that.

Nidhi Shah: And in terms of other markets, are you seeing a slowdown -- an unexpected slowdown or unexpected pickup in speed in any of the international market? Do you think that there are some key geographies that we would be able to secure orders in the next 1 to 2 years?

Jayanta Basu: Yes. I think the Middle East market has shown very good promises. A lot of things are happening there. You maybe knowing that infrastructure and the township building, etc. So I don't want to comment on everything, but at least Middle East, market is going up.

Nidhi Shah: Right. And my absolute last question would be on the different segments that we operate in, is there any segment that we are focusing on heavily or we would like to focus on in terms of what the market is giving us indications in orders?

Jayanta Basu: Well, as a principle, we'd like to stick to the segments what are working and do more jobs going abroad, increase the footprint, etc. But we also can keep at it from the new segments like data center, green energy, renewable energy. There are many new types of structures that are going to come. Even for the high speed, there's also going to be track laying. So those things we are already talking to our various experts. Maybe someday we have to be there. So this is a segment.

Nidhi Shah: So these segments, as you mentioned, is under renewable and we segment. We currently do not have any orders on these segments, as I recall, right?

Jayanta Basu: No. I don't think that we have much presence on that. Maybe a little bit we are doing, but in a big way, no.

Nidhi Shah: All right. Thank you so much for taking my questions and all the best for the rest of the year.

Jayanta Basu: Thank you.

Moderator: Thank you. Next question is from the line of Hitesh Gandhi from Purnartha Investment. Please go ahead.

Hitesh Gandhi: So my question is relating to the manpower shortage we had witnessed in the industry. So what was the progress during the quarter and moving forward, the next half, what do we expect, any shortage?

Jayanta Basu: Yes. Manpower again depends upon which segment they are working. If you see the way we are working in underground metro, and the marine, and somewhat specialized job. We do basically require good machines, high-tech machine and we become good operators, which is possible, which is under control. But there are some kind of job like building where it is as manpower, there is a bit of challenge to everybody in India. So that is the regulator that we are trying to manage that.

Hitesh Gandhi: So do we expect any shortage moving forward?

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Jayanta Basu: Yes. I will say that typically, labor-oriented jobs will always have some challenge because there is totally zero-knowledge sector, but we don't expect any effect from that because we are already working in a continuous process.

Hitesh Gandhi: Okay. Sure. That's all from my side.

Moderator: Thank you. Next follow-up question is from Pratik Kothari from Unique PMS. Please go ahead.

Pratik Kothari: Sir, one question on the other income and also other expense. Just compared to Q1, both of them are higher even though revenue is not. So anything to highlight ther

e?

Prasad Patwardhan: No, nothing really to highlight. In terms of other income, there was some equipment that we had purchased for some of our project, for Chennai Metro and one or two others, which we have been able to sell off during this period. So that gain on sale is appearing in other income. In terms of other expenses, there is nothing unusual. All the expenses are in the ordinary course of business. So there is nothing unusual that we would like to highlight or point out over there.

Pratik Kothari: And sir, with now ITD Thailand not being a parent anymore or selling off this business. Does any market or any segment kind of open up for us? I mean, were there any restrictions earlier put in place at this geography or this segment we can't do?

Jayanta Basu: Not really. A long time back, we were not encouraged to go overseas market because ITD was already there, and ITD thought that India has got a good market with to go outside. But that has been for the last 2 years that also been we are going overseas. And for this case, I don't think there will be any effect on us. We are working in India as we grow here.

Pratik Kothari: And sir, last question on this. New segments that we are thinking to enter or kind of scale up there, so do we have this technical capability in-house? Or are we developing that? Will we have to partner with someone?

Jayanta Basu: See, for a company like us, engineering company, always developed, research and development is a part of our journey. So we always think about that. We have a team, but in which segment will work, what will be the skills required, that needs to be assessed. And so yes, we have the capability. We have to enhance it as and when it is required.

Pratik Kothari: Thank you and all the best sir.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Prasad Patwardhan: Thank you very much for taking time out and being with us on this Q2 FY '25 Earnings con call. We look forward to interacting with you again next quarter. Thank you very much.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

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Date Our Reference No. Our Contact Direct Line
18th February , 202 5 SEC/02/2025 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Unaudited Financial Results for the quarter and nine months ended 31st December , 2024

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Analysts / Investors conference call held on 13th February , 202 5 relating to the Unaudited Financial Results for the quarter and nine months ended 31st December, 2024 .

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q3_FY25_130225.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY
Encl: as above

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"ITD Cementation India Limited
Q3 FY '25 Earnings Conference Call"
February 13, 2025

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR – ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN – CHIEF FINANCIAL
OFFICER – ITD CEMENTATION INDIA LIMITED
MR. RAHUL AGARWAL – LEAD INVESTOR RELATIONS
– ITD CEMENTATION INDIA LIMITED

MODERATOR : MS. NIDHI SHAH – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the ITD Cementation Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

I now hand the conference over to Ms. Nidhi Shah from ICICI Securities. Thank you, and over to you.

Nidhi Shah: Thank you, Mike. Good afternoon. On behalf of ICICI Securities, I welcome you all to the Q3 FY '25 Earnings Call of ITD Cementation India Limited. Today, we have with us from the management Mr. Jayanta Basu, the Managing Director; Mr. Prasad Patwardhan, the CFO; Mr. Rahul Agarwal, Lead Investor Relations. We will begin the opening remarks from the management followed by the Q&A.

Thank you, and over to you, sir.

Prasad Patwardhan: Thank you, Nidhi. Good morning, everyone. This is Prasad Patwardhan from ITD Cementation. Before we start the con call, let me remind everyone that there could be some forward-looking statements made during this call, which will be subject to several risks and uncertainties and the actual results may differ materially from these statements.

Now coming to our numbers, which we announced yesterday for Q3 FY '25 and we have reported a top line of INR2,250 crores approximately as against INR2,017 crores a year ago, which represents a growth of 11%. EBITDA margin has come in at 9.5% and profit after tax is INR87 crores, which is again a growth of 11% on a Y-o-Y basis. For the 9 months ending December '25, our consolidated revenue is INR 6,600 crores approximately, which represents a growth of 21% on a year-on-year basis.

EBITDA margin for the 9-month period stands at 9.9%. Profit after tax is INR 259 crores for the 9-month period as against INR 185 crores in the previous financial year 9 months, a growth of 41%. Our balance sheet continues to be underleveraged, and the net debt-to-equity ratio is about 0.4x. In this 9-month period, we have secured orders worth about INR 6,370 crores. And in addition to that, we are L1 on orders worth about INR 800-plus crores.

So that is all from my side to start with. I will now hand over to Mr. Basu for his initial comments, and then we'll start with the Q&A session.

Jayanta Basu: Thank you, Prasad. Welcome all to this Q3 results concall. Prasad has given the data for the financial, there is revenue and the profitability. There are some significant achievements we had during last quarter. First of all, I must say that we have got 2 big orders that is Vadhvan Port and IKEA. Both are close to INR1,600 crores - INR1,700 crores.

And Vadhvan port, as you know, that is an initiative by the Government of India. Huge investment is expected, and we are happy that to get into that in the first package. Similarly, IKEA also a very prestigious job, iconic building at Delhi Noida. So that is also a good order book for us in last quarter.

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In addition, we have some other small jobs from various agency. So today, if you see, our work secured is around INR6,600 crores this year and we are expected to get up to INR9,000 crores, which I hope it will be achieved. Now coming back to last quarter performance in terms of the revenue, which is INR 2,240 crores or INR 2,250 crores. This is largely impacted because of the Bangladesh project.

As all of us know that we are having a sizable job going on in Bangladesh, where since from August, September, we could not do any work, which is a starting point actually after the monsoon. And that was nothing related to our performance.

It was Government of India has, I mean, not allowed us to do the work because of the local

condition. And it is valid for all the company. So the revenue, what was expected during the last quarter from Bangladesh, which was a big chunk, which we could not get. Otherwise, our revenue top line would have been at least INR200 crores more, then we could have seen the similar type of growth of 23%, 24% quarter-to-quarter.

Otherwise, bottom line is all okay. And work in hand, today, we have got INR20,000 crores work in hand. And out of that, I think government is 50% and private is 42% and PSU 8%. This complex will a little bit change going forward. As you know, our new promoter will like to do us much more work. So there could be some inorganic growth as well. So all this thing has to see how it goes going forward.

But there will be a lot of opportunity and a lot of improvement in the top and bottom line is expected going forward. Coming back to the project Chennai Metro, Chitravathi, Project Varsha, and Seabird, all the big projects are going okay. Bangalore Metro is on verge of completion. So nothing much to report there about the project. The progress are all under control.

That's all from my side. So I'll be happy to have questions from your end. Please go ahead. Thank you.

Moderator: We have the first question from line of Aditi from CD Equisearch.

Aditi: How do you think is your order pipeline getting influenced by depreciation of rupee?

Prasad Patwardhan: Depreciation of the rupee.

Jayanta Basu: I don't think that will affect much because as you must be knowing that our overseas presence is around 10% to 11%. And the depreciation of rupees, while pricing will take care of that forex portion. And going forward, I don't know. I don't see that will affect our order pipeline at all.

Prasad Patwardhan: Aditi, we don't expect any impact on the order flow because of the depreciation of the rupee.

Aditi: Okay. How much of your current order book comes from international markets?

Prasad Patwardhan: About 10% of the order book is from overseas markets.

Aditi: Okay. And what sort of fleet and project execution capabilities the company needs to take as it moves towards executing more than INR10,000 crores of order book?

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Prasad Patwardhan: Sorry, can you repeat the question, Aditi?

Aditi: What sort of fleet and project execution capabilities the company needs to take as it moves towards executing more than INR10,000 crores in any financial year?

Jayanta Basu: Yes. Already this year, we will be close to INR10,000 crores. So we have the capability to do INR10,000 crores. And in terms of the execution capability, what we need, we need some capex involvement. Normally, we try to get it from the market because the plant and machinery what to use, unless it is very specific, we can get it from the market. Manpower-wise, we are already there.

Maybe some infusion required at bottom level. And the labor force, of course, we have to get from the market, which is sometimes bit of challenge. We don't see much of challenge to grow in terms of the delivery is concerned.

Aditi: Okay. So up to what level of project can the company execute with the current capability?

Jayanta Basu: It depends. There is no straight answer because the same setup can do INR200 crores job, can do INR1,500 crores job. You require a project manager, you require some following staff for both the kind of project. So if you ask me now with this ballpark, maybe you can go up INR13,000 crores, INR14,000 crores easily. Thereafter, we may require to increase some capex and manpower.

Aditi: Okay. And what sort of operational excellency do you people now need, like if at all, post exit of the foreign promoter?

Jayanta Basu: Well, I mean technology is the key. So naturally, we have to improve, and we are improving in many folds. We never did a pile of, just very technically, I'm talking about 50, 60 tonnes. We are doing now 300 tonnes each pile.

We are using 1,500 tonnes of crane in floating conditions.

So there are many things technically, we are continuously upgrading ourselves.

So that is required also because time line has shrunk. Earlier days, we used to take more time.

Government used to allow. Now the time line is also shrunk, quality has improved. So technological advancement is going on.

Aditi: So apart from technological improvement, ITD is well versed with all the excellences which is required.

Jayanta Basu: Yes, yes.

Moderator: We have the next question from the line of Shrey Gandhi from Mangal Keshav Financial Services. Please go ahead.

Shrey Gandhi: So my first question was regarding the acquisition of open offer. Like open offer, when do you expect the open offer to commence? My first question was that. Second question was do you expect any name change post the acquisition? Is there any kind of name change going to happen

for the company? This was my second question.
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Jayanta Basu: Open offer depends upon certain clearances we are waiting for, I mean, the seller and buyer we are waiting for, which will happen. It's a matter say 2 months from now. Very soon, one month it should be.

Shrey Gandhi: Okay. And any name changes expected post the acquisition...

Jayanta Basu: We don't speculate it immediately because there has been no discussion on that line. They will continue.

Shrey Gandhi: Okay. And sir, my next question was regarding, sir, this time, the results what we have seen is EBITDA has come very flattish on a year-on-year basis. So like what kind of operational challenges did you face? Because at the EBITDA level margins normally, you have been maintaining over 10% margins and this time, we are coming in at 9.5% around. So how do you see to improve it further?

Jayanta Basu: Well, I think this quarter-to-quarter, this myopia we have to get rid out of that because some quarter will be good, some quarter will be very good, some quarter will be average. In totality, we have to see. We don't see much of challenge because the challenging job has been behind us now. Even Bangladesh also could have contributed a large chunk of margin which was not done. So I don't see this as a reflection of going forward.

Shrey Gandhi: So you are confident of maintaining around about 10% margin, which you have been maintaining over the years, right?

Jayanta Basu: Yes, I think it should be.

Shrey Gandhi: Okay. And for out of the total bid line of around INR31,000 crores, which you have told INR12,000 crores to INR13,000 crores we had already submitted last quarter. So like how much is bid submitted, when do you expect it to finalize for the bid pipeline?

Jayanta Basu: We have already submitted around INR15,000 crores roughly, which is under various stages, either negotiation or L1 or just submitted. So we have another INR15,000 crores tender we are working for, which will be submitted.

Moderator: We have the next question from the line of Noel Vaz from Union Asset Management.

Noel Vaz: I just have one follow-up question. Just to clarify, the order inflow you have guided for FY '25 is INR9,000 crores?

Jayanta Basu: Yes, I think around that INR9,000 crores.

Noel Vaz: Okay. And do we have any clarity for the next year, FY '26?

Jayanta Basu: FY '26, I cannot give you clarity, but it should be around INR12,000 crores, INR13,000 crores order we should get next year.

Noel Vaz: Okay. And just one point. You had mentioned something about inorganic growth opportunities. So could you just -- I mean what would that look like for a company like us?

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Jayanta Basu: Okay. If you have seen that we are in metro, we are in marine, we are in airports, we are in special jobs and then industrial structure, some building and irrigation, water, mostly everywhere we are there. But there are roa

d also, we are there. But there are a few opportunities which may come once the new promoter comes. So I'll not be able to comment much of that. So you have to guess. So let us see. I mean there could be some element of the work we have to do, but the opportunity will be huge and good business as well.

Noel Vaz: Okay. But this will be more like JVs or this will be -- I mean what structure would it look like? Or it will be...

Jayanta Basu: No, not JV. We have got to improve our capabilities. We have to induce some team. So those processes will take some time. I mean it is not that next month, it is going to happen, maybe after 7, 8 months' time. But the opportunities are there, as you understand from the new promoter will be. So it will be in-house only.

Prasad Patwardhan: Noel, just to clarify further, I think what we mean is getting into certain segments where we probably don't have a presence today. I don't think we are talking about any inorganic growth or acquiring any other company at least as of now.

Moderator: We have the next question from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: Just to your last comment, just to confirm, so when you mean inorganic, you mean you intend to enter new segments. This is not acquiring a company?

Jayanta Basu: Yes, yes.

Prasad Patwardhan: That's correct.

Jayanta Basu: Exactly.

Pratik Kothari: Okay. So this would be what we had spoken about, sir, in the last call, I mean, green hydrogen, data centers, I mean, the possibilities, what is it that we currently don't do what potentially can do in the future?

Jayanta Basu: Exactly. I think you know as much I know. Yes.

Pratik Kothari: Correct, correct. Fair enough. Sir, one on the international side. I mean just how are things progressing there? I mean we wanted to build up a large part of our order book from there, especially in the marine, Middle East, Africa, other regions. Just how are things panning out on the international side?

Jayanta Basu: It's the same and it's quite good going on. We are expecting at least one order very soon from international, that is the marine segment. Another 2, 3 tenders already have been submitted. We are hopeful that we may get one from there. So we are maintaining the same sort of tempo in the overseas market for the marine segment is concerned.

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Pratik Kothari: Correct. And sir, it's been about 3, 6 months since the new promoter has come in. Any conversations either with them or with clients, anything that you would like to highlight positive, negative, anything?

Jayanta Basu: Well, definitely, there have been some conversations. It has to be. So the new promoter, they have got a huge internal planning to invest a lot of money to have green energy, to have many, many other things. So data centers and roads and whatnot. So those require infrastructure, I mean, those require a lot of construction and energy activity. So the huge opportunities are lying in front of us to do a lot of work with our Adani Group.

Pratik Kothari: Correct. And then this 20%, 25% revenue guidance which you have given for 2, 3 years, I mean, this still holds ex of Bangladesh also?

Jayanta Basu: Yes, yes. I mean we'll continue to do whatever we are doing. And for the new promoter, there will be some jobs overseas as well. I mean it's not only India.

Pratik Kothari: Correct. And just to confirm, of this INR20,000 crores, Bangladesh should be about INR1,500 crores in order book?

Jayanta Basu: That's all, yes.

Moderator: We have the next question from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Sir, my first question is what is the order pipeline currently?

Jayanta Basu: Order pipeline, as I just mentioned that around INR15,000 crores worth of tender we have submitted. We are lowest in around INR 800 crores, we are L1. And tenders which is yet to be submitted will be another INR15,

000 crores.

Jainam Jain: And sir, can you just give us some details pertaining to inventory, trade receivables, unbilled revenue, mobilization advance and trade payables?

Prasad Patwardhan: Well, in terms of days outstanding, the net working capital is under 100 days, and it is very much under control, and we are collecting money from our customers on a regular basis. Apart from contractual retention, which is held back by the customer, we are able to realize our money on time. So it's under 100 days, which I think is in par for the industry or maybe better than that.

Jainam Jain: Okay. And sir, considering the order inflow guidance of INR9,000 crores in this year, until now, we have met 2/3 of the guidance. So like are we confident enough to meet this year guidance?

And like any specific project which you would like to highlight, which is giving us this confidence?

Jayanta Basu: We are confident, as I mentioned to you that one of the -- we are already L1 INR800 crores job, so that is one. One job which we are more or less sure that we'll get the LOI for marine job here and there. So more or less, we're okay with the INR9,000 crores.

Jainam Jain: Okay, sir. And what is the project detail of the L1 project, I mean, the INR800 crores project?

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Jayanta Basu: One is at metro work in Bengaluru.

Jainam Jain: Metro work. Which metro?

Jayanta Basu: That we can discuss it separately, but INR800 crores job we are L1.

Moderator: We have the next question from Aditya Sahu from HDFC Securities.

Aditya Sahu: Just one small question over here. Of the bid pipeline that we have of INR15,000 crores, how much of that would be from the overseas markets?

Jayanta Basu: INR2,500 crores roughly.

Aditya Sahu: Understood, sir. And just one other question. On the capex front, what would be the capex that

we have done in -- till 9-month FY '25? And what are we planning to do for the remaining part of the year?

Jayanta Basu: Capex till 9-month, we have done around INR100 crores, so which is much less than what we had last year apple-to-apple. And going forward, it will be maybe another INR15 crores, INR20 crores maximum. So total capex this year will be INR120 crores, INR125 crores at the max.

Moderator: We have the next question from the line of Neha Raichura from Abakkus Asset Manager.

Neha Raichura: So my question is on the Bangladesh project. Sir, if you can just share some details on the issues that we have faced in Bangladesh. So last quarter, you had mentioned that it was because of the political tension. So what exactly -- I mean are the on-ground challenges that we are facing right now? Are there any difficulties or technical difficulties and have they eased out now?

Jayanta Basu: Well, up to a certain point, none of the Indian companies were allowed to do the work because as you all know, there are some turmoil. But a few months back, maybe end of November or mid of November, it was cleared. And today, we have mobilized all the people and the plant and machinery is getting mobilized there.

So things are quite okay. But because of the delay in the mobilization, which was supposed to happen in month of September, October, which is happening now, of course, there is a gap of 3 months this time, which we have lost. Otherwise, today's scenario is okay, and we are able to do work there. No issue.

Neha Raichura: Okay. So sir, in that sense, then how much revenues can we expect from this project, say, in this current quarter and then for FY '24?

Jayanta Basu: I mean next year is okay. Hopefully, the things will be -- there will be no effect. But this year, if you see, up to this quarter, quarter 1, 2 and 3, we have INR500 crores of revenue we have considered where we have done hardly INR150 crores, okay? Even in last quarter, INR300 crores revenue was budgeted, we have done only INR97 crores revenue. So this year, it has been

ected by Bangladesh.

Neha Raichura: And sir, any broad number for FY '26 that we can expect to do from this project?

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Jayanta Basu: Number-wise, I have to see because that detail I have to find out. A total INR1,500 crores job we have to complete in 30 months' time.

Neha Raichura: Okay. Sure, sir. And sir, my second question was on the other expenses. So this quarter, if you see, they have significantly increased almost 20%, to 27% up year-on-year and even the debt levels have increased. So is this both because of this particular project? Or is there some other reason for the increase?

Prasad Patwardhan: No, no, it's nothing to do with any particular project. Overall, the scale of operations has gone up. And the other expenses need to be seen along with the material cost and the subcontracting costs. So it just depends on the mix and the inputs that go into any project execution. So it's not related to any single project.

Neha Raichura: Okay. And sir, just my last question on the opportunity size from the Vardhaman Port. I think the opportunity -- the total opportunity size stands at almost about INR1,70,000 crores, INR1,85,000 crores. So is that the right number? And if you can just guide on what opportunities are we seeing there?

Jayanta Basu: So there are opportunities. I will not be able to comment on the number. But there are opportunities. We have already there secured the first package. So there will be another second or third package will be in the pipeline. So we have to see when the tender comes.

Moderator: We have the next question from the line of Devang Shah from Asit C Mehta Investment.

Devang Shah: Sir, the way we are seeing the budget in which once again, the emphasis is given for infra growth and the capex push has been given, so do you feel next year also, there will be a good allocation, whatever may be the public-private partnership and the segment in which predominantly you are into diversified?

So there is a huge scope and opportunity for you to also to get some kind of bidding as far as tender is concerned and chances of getting some kind of winner also. So we may expect a significant order inflow also for the next year because you already earlier commented around INR12,000 crores to INR30,000 crores. So sir, that could be a possibility, and it can increase also for the next year as far as order inflow is concerned?

Jayanta Basu: It depends upon what stroke of luck because if we get an one single order of INR5,000 crores, the INR12,000 crores figure will be INR17,000 crores. And whatever government investment will come next year, that will not affect much. But already whatever investment is there, that is quite a bit. The overseas market also, there are good opportunities. Middle East is opening very fast. So yes, I mean, next year should be good for all the infrastructure companies.

Devang Shah: And sir, as far as -- just one question that there is any kind of risk that you are pursuing as far as execution risks are concerned due to domestic and global kind of challenges?

Jayanta Basu: Domestic risk, whatever risk we had, we have, so we know the risk so we can cater that. Of course, if you go to overseas market, if it is a new market, we have to assess the risk, and each
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country has got their different chemistry. So generically, it is very difficult to say. Like Bangladesh, we never expected this to happen.

So that is a political risk. Sri Lanka, which was supposed to be a very risky country in terms of economy, now it is going very well. So things like that. It has to be assessed time to time. It's a very dynamic situation.

Devang Shah: Okay. And sir, for next year, what kind of capex that you are projecting? Because for this year, you already mentioned around INR120 crores. For next year, any kind of

plan for capex?

Jayanta Basu: We really haven't had any plan because it depends upon -- there are a few big jobs which may come in the way and those require some new plant and machinery. So we have not planned anything for next year. We'll try to keep it under control. But if we have to diversify to some new field, maybe capex has to be there. So really, I don't have an exact number now.

Devang Shah: Okay. And sir, one more question that are you going to maintain the margin or there is a scope of any kind of improvement also, the EBITDA margin that is around 9% to 10% range in which you are into? So by considering the fact you are now bidding new projects, so it is a margin lucrative. There is any scope of expansion of margin from here on or it will remain stable?

Jayanta Basu: Actually, it is market driven and the segment driven. Basically, the construction industry margin is around that 9%, 10%, 11%. Some of the company, those who go for different model, BOT and annuity, etcetera, there is difference. But we are purely EPC infrastructure company. So I don't see there will be much change unless we do something exceptional in a particular job.

Devang Shah: So it is going to remain, sir, stable, around 9.5% to 10% that should can -- we can expect?

Jayanta Basu: Yes, yes.

Moderator: We have the next question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So first question was on the guidance. So did you say in the call that this year, revenue will be about INR10,000 crores.

Jayanta Basu: No. I said it will be close to INR 10,000 crores.

Parikshit Kandpal: Yes. Okay. And margin is about double digit, EBITDA margins.

Jayanta Basu: Yes, it should be. Yes.

Parikshit Kandpal: Okay. Sir, next year, you have guided for INR10,000 crores to INR12,000 crores of inflows. So does it include the inflows coming in from your -- the new promoter or that will be over and above that?

Jayanta Basu: No, no, I think it's together.

Parikshit Kandpal: Okay. That will be together. And what are the pending regulatory approvals required? Because I think we got CCI approval and earlier, ITD shareholders have approved this acquisition. So

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what is the pending approvals required for this? I mean does the RBI approval is required before the open offer gets executed? So if you can help us understand the pending regulatory requirement or approvals required for the open offer now.

Prasad Patwardhan: No, Parikshit, we don't need to take any approval from the RBI for this transaction. What is remaining now is largely the SEBI approval for the open offer and a few consents from the lenders. So once that is through, the transaction will go through.

Parikshit Kandpal: But within this -- do you expect to close this within the end of 31st March? I mean within the financial year, the open offer will get closed?

Prasad Patwardhan: Yes, yes. As of now, I think it would be safe to say that the transaction should get completed by March, by next month.

Moderator: We have the next question from the line of Vipin Kumar from Sumangal Investment.

Vipin Kumar: So we have various JVs with our current promoter, ITDC Thailand. So what will happen to those JVs post their exit?

Prasad Patwardhan: Sir, those projects are almost completed. Maybe in the next 6 months or so, Mumbai Metro, Kolkata Metro projects and one or two other projects will get completed. And there's no other work that is coming in, in those joint ventures.

Vipin Kumar: But they were our key technology partners. So we were getting some technologies from them. So what will happen to that part?

Jayanta Basu: See, we are with them for last close to 20 years. And because of them, we have started doing airports, underground metro. And once upon a time, they used to have 300 people working in

India, which has come down to now only 30 people now. So technology, more or less,

whatever

we do, we don't require their support.

But more than that, we have an agreement that they will keep on supporting us, whether they are in the Board or not. Technological support, they will give. There is agreement with us, Adani and them. So I don't see there is much of issue on that.

Vipin Kumar: So will you be paying any royalty for that technological support, sir?

Jayanta Basu: That is to be seen because that is between the two of the promoters. I'll not be able to comment on that. But at least we have, in principle, agreement that technology support will be continued if required.

Vipin Kumar: And last question, sir, your new promoters. So will we be getting orders from them on a nomination basis or there also we'll have to compete via tender? So have you any discussions with your new promoters on this subject? Can you throw any light on this?

Jayanta Basu: Yes, I got it. So far, I know it will be the process which have been followed. They will go for the tender and based on that, the job will be awarded.

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Vipin Kumar: So on nomination basis only?

Jayanta Basu: No, no, no. They'll go for tender. They will invite bid from the all the bidders and then they will take a decision based on the evaluation of the bid.

Moderator: We have the next question from the line of Nishit Singhai, an individual investor.

Nishit Singhai: So my question is on the Bangladesh front again. So are we expecting any revenue shortfall in the current quarter as well from the Bangladesh project?

Jayanta Basu: Current quarter, yes, because current quarter means January, February is almost gone. So we were supposed to do piling from the month of November. That means this quarter, the full swing from January, February, March full swing work should have been there. But the piling activity will start maybe end of this quarter, which is a major source of revenue. So there will be definitely -- the revenue will be affected even this quarter also.

Nishit Singhai: Okay. And so I believe the mobilization advance we were supposed to receive in the last quarter. So will that revenue be covered up in this quarter?

Prasad Patwardhan: No, no, we have already received the mobilization advance earlier this year. So there's nothing yet to be received on the Bangladesh project in terms of the mobilization advance.

Nishit Singhai: Okay. Okay. So basically, we are just at a 3- to 6-month delay. That's it. Else things stay the same?

Jayanta Basu: Yes, yes.

Moderator: We have the last question from the line of Mr. Shrey Gandhi from Mangal Keshav Finance Services.

Shrey Gandhi So is there any project which is going on in Dubai side? In Dubai, do you have any projects lined up?

Prasad Patwardhan: We're not executing any projects in Dubai as of now.

Shrey Gandhi No projects in Dubai. Okay.

Moderator: That was the last question. I would now like to hand the conference over to the management for closing comments.

Prasad Patwardhan: Thank you, everyone, for joining us on this Q3 FY '25 earnings con call. We look forward to interacting with you again next quarter. Thank you once again.

Jayanta Basu: Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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Date Our Reference No. Our Contact Direct Line
16th May, 202 5 SEC/ 05/2025 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Audited Financial Results for the quarter and year ended 31st March, 2025 .

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Analysts / Investors conference call held on 14th May, 2025 relating to the Audited Financial Results for the quarter and year ended 31st March, 2025.

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q4_FY25_160525.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY
Encl: as above

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"ITD Cementation India Limited
Q4 & FY '25 Earnings Conference Call"
May 14, 2025

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR – ITD
CEMENTATION INDIA LIMITED
MR. PRASAD PATWARDHAN – CHIEF FINANCIAL
OFFICER – ITD CEMENTATION INDIA LIMITED
MR. RAHUL AGARWAL – LEAD INVESTOR RELATIONS
– ITD CEMENTATION INDIA LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

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May 14, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to ITD Cementation India Limited Q4 & FY '25 Earnings Conference Call, hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar: Thank you, Steve. Good afternoon. On behalf of ICICI Securities, I welcome you all to the Q4 FY '25 Earnings Call of ITD Cementation India Limited. Today, we have with us from the management, Mr. Jayanta Basu, Managing Director; Mr. Prasad Patwardhan, the CFO; Mr. Rahul Agarwal, Lead Investor Relations. We will begin with the opening remarks from the management, followed by the Q&A. Thank you, and over to you, sir.

Prasad Patwardhan: Good afternoon, everyone, and thank you for joining us on this Q4 FY '25 earnings con-call. Before we go further, I would like to caution everyone that there may be some forward-looking statements made during the course of this call, which will be subject to various risks and uncertainties, and the actual results may vary materially from those in such statements. We have declared our results for the quarter and year ended March '25 yesterday, and I'm sure all of you have gone through the results. I'll present a brief synopsis of the results and then I'll hand over to Mr. Basu for his initial comments, and then we'll take your calls.

For the quarter ending March '25, we have reported a total income of INR2,480 crores, which is a 10% growth on a year-on-year basis. EBITDA of INR268 crores, EBITDA margin has come in at 10.8% for the quarter and profit after tax is INR114 crores in the quarter.

For the whole year ending March '25, we have reported a top line of INR9,097 crores, which represents a growth of 18% on a year-on-year basis. EBITDA of INR923 crores. EBITDA margins have come in for the whole year at 10.1% and profit after tax has grown by about 36% from INR274 crores last year to INR373 crores.

Our balance sheet continues to be significantly deleveraged with net debt to equity ratio of only 0.31 times. During the year, we have secured new orders worth about INR7,100 crores, and our order book as of March '25 is about INR18,300 crores. We are L1 on orders of about INR600 crores. And just yesterday, we have secured another order from Jaipur Airport worth about INR600 crores.

That is all from my side. I will hand over to Mr. Basu for his initial comments now.

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Jayanta Basu: Yes. Thank you, Prasad, and I welcome all of you for this Q4 con-call 2024-'25. And the numbers are in front of you, so I don't have to repeat those things. A few points I'd like to highlight that what is our strategy going forward and what we have achieved during the last 3 to 5 years' time? If you see that, there has been phenomenal growth in both top line and bottom line during last 5 years. Almost revenue has increased from 6 to 7 times from 2021 to 2025. Profit margin has increased., yes, we have a double-digit EBITDA to date. Last year also, we had double-digit EBITDA.

We generally did not have any problem of cash. I mean, with the growth, we could manage the finance also adequately, cash and bank guarantee, banking facilities. And this was possible due to good planning and robust execution and supported by the corporate team for various supporting segments like plant and commercial and others.

Now we have achieved around INR9,100 crores. And even, I see the future is, the growth path will continue to, in this rate, aro

und 20% to 25% year-on-year basis because there are a huge opportunity available in front of us today.

I was just going through the jobs which are in pipeline, some we have already tendered, some we are going to be tendered coming few months' time. It's close to INR 90,000 crores job we'll be able to handle through tenders now. And they are largely for marine and underground metros and the airports and underground railway tunnel, road tunnels, some bridge and some buildings and industrial structures.

So with that, I don't have to say much because numbers are in front of you. Project-wise, I'll touch a little bit on the project, what we have done recently. I'm happy to say that Mumbai Metro Line 3, where we had a major contribution of 60% and balance by Tata. So the Line 3 has been inaugurated very recently by Prime Minister Narendra Modi on 5th October.

There's a remarkable achievement. We have 3 underground stations, that is SiddhiVinayak, Dadar and Shitladevi having around 11 kilometers of tunnel, probably the first underground full-fledged metro completed in Mumbai by us.

Similarly, you must be knowing that Vizhinjam Port, one of the most difficult area to work in marine segment, has been completed Phase 1, and Mr. Narendra Modi has inaugurated that. The entire breakwater and jetty work has been done by our company. So these are the 2 remarkable jobs we have recently completed, which is in the newspaper.

Otherwise, also some important job like Bangladesh. We had some problem because of the political issues. But today, I must say that it is going very well. We have done around 30% progress, and work is going very smoothly. A difficult kind of job, normally not done in normal marine business. Those who understand, they will have known that a pile, 300 ton pile, 400 ton hammers is a big game, but we are able to do successfully.

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Similarly, Dahej, we are doing for LNG Petronet, is going very smoothly. A few jobs, which was going on before, like Chennai Metro, is done around 50%; Bangalore Metro, almost completed; Sea Bird and the buildings, those are all under control. So things are okay. But at the same time, we have to enhance our capability in terms of labor resources, which is a challenge always. Otherwise, I think that the momentum, what we have taken will be sustained, will grow in both top and bottom line.

That is all from my side now. So we'll be happy to answer any questions going forward. Thank you.

Moderator: The first question is from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Congratulations on a good set of numbers. Sir, my first question is how are we seeing things going in Bangladesh in terms of the execution? And what sort of number do we expect from there in this year?

Jayanta Basu: Bangladesh, I think there are 2 to 3 months we couldn't do anything because of political issues. But once we have resumed the work in the month of November, thereafter, it is going quite okay, and we have no problem whatever the supply chain, I mean resumed. So we are supplying the pipe from India. The installation side also, our barges and cranes are working. Our people are all safe. So as a whole, that Bangladesh crisis is not there.

We'll be doing bulk of the work this year, about INR1,500 crores out of that, we might have done around INR400 crores so far. And remaining part, almost 80%, we completed this year. It's going okay. I mean, we don't have any issues now. Payments are also, we received the payment.

Jainam Jain: Sir, what's the mobilization advance as of March '25?

Prasad Patwardhan: Outstanding mobilization advances as of March are about INR950 crores.

Jainam Jain: Okay, sir. And sir, what's the turnaround which we are seeing right now in within all the segments?

Prasad Patwardhan: Sorry, can you repeat the question?

Jainam Jain: What sort of order pipeline we are seeing in thi

s year?

Jayanta Basu: Yes. As I said that around, there is a visibility of around INR90,000 crores of project pipeline. Some of them are in tender state, some of them will come for tender. So that is the number whole year, I think we have to deal with in terms of tenders basically.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

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Vaibhav Shah: Sir, you mentioned that we have done close to INR400 crores of work in the Bangladesh project. So how have been the payments so far?

Jayanta Basu: Yes. We have received payments as well because we have received the advance and payment of

last bill. How much, Prasad, we have received?

Prasad Patwardhan: No. We have been getting, whatever payment is due to us has already been received. So there is no problem on the payments part, the remains are coming.

Vaibhav Shah: Okay. And then what was the mobilize advance in the project?

Prasad Patwardhan: We were eligible to get about 10% advance on the project, and we have got it.

Vaibhav Shah: Okay. And is it the interest-bearing?

Prasad Patwardhan: No. It is not interest-bearing. It is interest-free.

Vaibhav Shah: And sir, out of this number of INR950 crores mob advance as of March '25, what proportion would be interest-bearing, ballpark?

Prasad Patwardhan: About 75% is interest-free.

Vaibhav Shah: Okay. Sir, secondly, on the guidance front, what top line and margins are we targeting for FY '26, and order inflows?

Jayanta Basu: Well, I think this year, we have grown around 18% to 20%. But coming year, we are expecting a little bit more because of other factors. We expect that top line will grow by 25% and in the same way in bottom line as well.

Vaibhav Shah: And the margins?

Jayanta Basu: Yes, I mean the EBITDA...

Prasad Patwardhan: We have seen a gradual improvement in our EBITDA margins, and we hope to continue with that trend in the next year as well.

Vaibhav Shah: So can we expect closer to double-digit for the entire year for FY '26?

Prasad Patwardhan: We are already at double-digits now. So as I said, we hope to improve on the margins, but it will be difficult to quantify the numbers.

Vaibhav Shah: Okay. And sir, lastly, on the order inflow side, what are we targeting for FY '26?

Jayanta Basu: FY '26, see, our target is based on the visibility, and we applied a factor also. So we should be able to get around INR15,000 crores to INR16,000 crores of new work in this year.

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Vaibhav Shah: And sir, this bid pipeline of INR90,000 crores, it includes Adani projects as well and non-Adani projects as well, right?

Jayanta Basu: Yes, yes. Both, both.

Moderator: The next question is from the line of Abhinav from ICICI Securities.

Abhinav: Last year, the tendering was subdued. So given the guidance that you're giving this year, strong guidance, what is the thesis behind it? And which sectors are you seeing the opportunities?

Jayanta Basu: Last year, we have missed a few big jobs because of certain issues that I don't want to discuss here. Otherwise, we would have achieved the target, what we have said last year. This year, we have got new segments -- or not new segment, existing segment in a bigger way coming from Adani Group, the airports and the roads and data center.

And otherwise, beyond Adani, whatever we do, like metros and hydel projects, PSP and of course, marine. So these are the segments we work, and opportunities are there in all the segments.

Abhinav: Understood. And sir, can you quantify the opportunity size for Vadhvan Port that you're expecting and overall for marine EPC as well?

Jayanta Basu: Vadhvan, we are already there in the first package. The value will be around INR1,800 crores or INR1,700 crores. Immediate, there will be 2 tenders, one from dredging, one is breakwater. So put together will be around INR15,000

crores.

Abhinav: Okay. And sir, are we seeing any opportunities in Middle East and are we keen on looking for those opportunities?

Jayanta Basu: Yes, we are quite keen. I mean we have our branch office open in Abu Dhabi. We are talking to one of the customers for a job, which we may get very soon. And there are other opportunities as well. So we are keen, yes. But there are these very specific segments where we should -- we think that we will be able to do overseas market.

Abhinav: So you mentioned about airports as well. Can you quantify the size, the tenders that we can expect from airports in FY '26?

Jayanta Basu: I think that whether that will be converted to the order, I don't know, but as far as tender is concerned, it will be say around INR15,000 crores to INR20,000 crores, say, INR15,000 crores.

Moderator: The next question is from the line of Ankit Puri, an Individual Investor.

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Ankit Puri: If you see the last 2 years of the order book guidance, it's been reducing. The current order book

also appears to be almost 25% lower than what was previously guided. My first question is, could you please clarify the reasons for this shortfall?

Jayanta Basu: Well, I think it is very difficult to satisfy all the parameters. Sometimes we'll find EBITDA is less than 10%. Sometimes, we'll feel the cash flow is not adequate. So this time, order book is less. So this is how the business goes. And as I just mentioned to other guests that last year, we have lost some order which was very definitive for us.

Otherwise, it would have been more. This year, there is a visibility of job from our group company. So that is quite definite that, that is there. Otherwise, as well, there are jobs in marine and metros. So yes, that is the basis. I mean we have a different basis to when I say INR90,000 crores jobs are available for tender.

Ankit Puri: And what is the approximate guidance you're giving for the FY '26 approximately? For the order book...

Ankit Puri: Could you say that again, please?

Jayanta Basu: 15,000 crores

Ankit Puri: All right, sir. And lastly, has any new vision guidance being given with the new promoters coming in? Do you plan to continue to focus more on domestic projects or keep an eye out for international projects too?

Jayanta Basu: There is no shift of any strategy or location. We are continuing to do or continue to do whatever we are doing. The only addition is that there'll be a lot many jobs from the group companies, and probably we have to step out from the conventional business, whatever we do, we have to step into a few other segments, which our group promoter will be interested to be done by us.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: Sir, congratulations on a great operating performance. The first question is on the orders which we are targeting from our parent. So if you could quantify any large projects where we are in advanced stages, A. And second is in terms of margins or how would the bidding happen, especially from the Adani projects? Would this be fixed margin projects, would this be open tendering or we would be given preference in certain projects?

Jayanta Basu: So there is no special preference and neither we are also doing any favor. It will be very transparently done the way other tender has been done, the way it has been done so far because we are a listed entity and we have our interest to protect. Having said that, yes, there are some intangible sort of advantage for both the party because we may know the tender in much in advance so that we can plan better. So certain things, maybe they can involve us during tender-ITD Cementation India Limited

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bidding stage also to prepare some technical supporting they require. So those are the kind of, I mean, advantage they will have or we'll have. Now you

u'll said that what are the big orders. There are a few PSP jobs like pumped storage, hydropower generation. So few jobs with Adani, which we believe that it will be mature very soon. Some airport jobs, we have received the LOI yesterday also for Jaipur Airport. So those are the big ticket jobs in pipeline from Adani Group.

Shreyans Mehta: Got it. And sir, any understanding on the margin from this project?

Jayanta Basu: Well, it will be normal. I mean as a civil construction, the margin, whatever, the marine, you know how much we do the airport and all. It will be in that range, nothing exceptionally high or low. It will be general margin, what we get in market, yeah.

Shreyans Mehta: And sir, lastly, on the capex number for this year?

Jayanta Basu: Capex would be around INR250 crores, INR260 crores.

Shreyans Mehta: And one more, if I can squeeze in. In terms of now the road as a sector is what we were avoiding, but now we are making a statement that we are also targeting the road. So would it be primarily the projects which the parent is looking for? Or individually also, we are looking out for some projects?

Jayanta Basu: See, road means the special kind of roads, which has got tunnel, bridges just to give an example, a coastal road. So those kind of business will be coming more and more, which will involve tunnels, which will involve bridges. And most of them or part of them will be BOT. So we will be interested for those kind of business, not the normal NHAI tender participating with 25 bidders, no.

Shreyans Mehta: Okay. Sir, just one clarification. You mentioned BOT. So would we be taking BOT projects on our book, is what you're trying to indicate?

Jayanta Basu: Right now, we don't have such idea. But going forward, it depends upon how things evolve with the new promoters, whatever is their preference. We need to see that.

Shreyans Mehta: Got it. Okay. Sure. That's it from my side. Thank you, and all the best.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Yes, and my congratulations on a decent quarter. So my first question is on FY '25 order inflows. So how much was the group orders from the parent company?
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Jayanta Basu: It was not much. If it is around INR7,500 crores, group order Parikshit, I don't have the exact number right now, but it will be around INR1,000 crores, INR1,200 crores, in that range.

Parikshit Kandpal: Okay. And sir, in this INR15,000 crores worth of guidance of the order inflows, so how much do you think will -- your rough sense on how much can come from the parent entity from this INR15,000 crores?

Jayanta Basu: Around 30% to 40%.

Parikshit Kandpal: 30% to 40%. Okay. And so we are having existing segments where we are present. Do you think anything to broaden our scope further in terms of qualification of segments, given the parent is big -- betting big on infra? Do you think some more segment can get added in this current bouquet of offerings, which we have across segments? Do you think any new segments can get added, like solar or transmission? So any color on that?

Jayanta Basu: Yes. Basically, it will still remain construction. But the kind of construction will be a little different, like for the data center. Data center, if you see that, it contains majority of the electromechanical and HVAC part, which we do, but not very exclusively. So that will be something which we have to develop ourselves. We are trying our best.

We have to enhance our capability in the airport because big airport are in the pipeline. We do airport, but that is a medium size around INR800 crores to INR1,000 crores. So it may go to INR3,000, INR,000 crores. And similarly, our presence in the road segment has to be geographically spread all over India, not located only in UP or Maharashtra. So these are the kind of change or improvement we are taking in our strategy.

Parikshit Kandpal: Okay. Sure. And sir, any sense on this Navi Mumbai International Airport? So any airport, any Phase 2, so any initial discussions, what could be the size of order or -- because Adani is having that airport. So what could be the opportunity for us to play in that?

Jayanta Basu: I think nothing is official, but whatever I understand from the friends and colleagues that the Phase 2 or Phase 3, whatever is the next phase, the tender will happen this year, at least tender will happen. The size would be, I don't know, maybe it will be varying from INR4,000 crores to INR6,000 crores, in that range all together.

Parikshit Kandpal: Okay. And sir, now you have any clarity now because the parent has 2 entities, listed entities and both do EPC. So any clarity, so what will be the differentiation between what the other entity will do and what we will do because indirectly, we may end up competing with each other. So how will the jobs be split at least on the parent entity?

Jayanta Basu: No. I think there is no question of fighting with each other because there are certain segments where we are very strong and there are segments where we don't do much, like typical building, typical buildings or kind of urban development, elevated metros. So those are the things where

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in some other company, the EPC company, as you mentioned, clearly focusing on that as I know. And the segments like marine and airport and hydro projects, and the road still will be done by us.

Parikshit Kandpal: Okay. And just last question, post-open offer now, what will be the shareholding of the promoter entity now?

Prasad Patwardhan: Post-open offer, they have acquired about 20.8% in the open offer.

Parikshit Kandpal: What will be the holding now, sir, overall promoter holding?

Prasad Patwardhan: So the transaction is still not completed. So once that is done, I think it will be in the range of 67%.

Parikshit Kandpal: Okay. About 67% after the consummation of the transaction.

Prasad Patwardhan: Right.

Parikshit Kandpal: Okay. Thank you, sir. Wish you all the best.

Prasad Patwardhan: Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, do we have any slow-moving orders in the order backlog right now?

Jayanta Basu: Slow-moving order, no, not really. I think there is nothing. No, no such orders we have.

Vaibhav Shah: Okay. And sir, in our order backlog in terms of segments, urban infra, marine and industrial are the 3 key segments in terms of value share. So what will be a typical book-to-bill for them? So

-- and how much time the order would be executed? Should be around 2 years?

Jayanta Basu: Yes. I mean very typically 2 years. Urban infra, if it is with metro, underground metro, 4 years; elevated metro, nobody knows how much time and we don't have also. And if it is road, as you see Ganga Expressway, we are completing 2.5 years, those kind of time line. So 2 to 3 years, some will be 4 years.

Vaibhav Shah: Okay, okay. Thank you, sir. Those are my questions.

Jayanta Basu: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

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Prasad Patwardhan: Thank you so much for participating in this Q4 FY '25 earnings con call. We look forward to interacting with you again next quarter. Thank you, once again.

Moderator: Thank you. On behalf of ITD Cementation India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

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Date Our Reference No. Our Contact Direct Line
04th August , 202 5 SEC/ 08/2025 RAHUL NEOGI 91 22 67680814
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Dear Sirs,

Sub: Transcript of Analysts / Investors conference call on Un audited Financial Results for the quarter ended 30th June, 202 5.

Scrip Code No: 509496 (BSE) / ITDCEM (NSE)

In terms of Regulation 30 read with clause 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of Analysts / Investors conference call held on 31st July, 202 5 relating to the Un audited Financial Results for the quarter ended 30th June, 202 5.

We have uploaded the same on the website of the Company at

https://www.itdcem.co.in/wp-content/uploads/2016/06/Concall_Transcript_Q1_FY26_040825.pdf

Please acknowledge and take the same on record.

Thanking you,

Yours faithfully,
For ITD Cementation India Limited

(RAHUL NEOGI)
COMPANY SECRETARY
Encl: as above

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"ITD Cementation India Limited
Q1 FY '26 Earnings Conference Call"
July 31, 2025

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR – ITD
CEMENTATION INDIA LIMITED
MR. NITESH SHARMA – CHIEF FINANCIAL OFFICER –
ITD CEMENTATION INDIA LIMITED
MR. RAHUL AGARWAL – LEAD INVESTOR RELATIONS
– ITD CEMENTATION INDIA LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to ITD Cementation Limited Q1 FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note this conference is being recorded.

I now hand over the conference over to Mr. Mohit Kumar from ICICI Securities Limited. Thank you, and over to you, sir.

Mohit Kumar: Yes. Thank you, Pari. Good afternoon. On behalf of ICICI Securities, I welcome you all to the Q1 FY '26 Earnings Call of ITD Cementation India Limited. Today, we have with us from the management, Mr. Jayanta Basu, Managing Director; Mr. Nitesh Sharma, the CFO; Mr. Rahul Agarwal, Lead Investor Relations. We will begin with the opening remarks from the management, followed by Q&A. Thank you, and over to you, sir.

Nitesh Sharma: Thank you, and a very good afternoon, everyone, and thank you for joining us on the Q1 FY '26 results con-call. So before I begin, the discussion that we will have in this call may contain certain forward-looking statements about the company business prospects, which are subject to several risks and uncertainties, and actual results may differ materially from those in such statements.

So I'll start with the financial performance for the quarter and subsequently followed by our MD, Mr. Jayanta Basu, who will be taking you through the operational performance of the company. So we are pleased to share that we have reported a very robust operational performance during the Q1 FY 25-26.

The total operating income for Q1 FY '26 stood at INR2,542 crores, which is a 7% growth on year-on-year basis on the corresponding quarter. Similarly, the EBITDA stood at INR254 crores in Q1 FY '26 against INR237 crores of the previous corresponding year quarter, again, a growth of 7% reported.

The EBITDA margin remained at a double-digit level of 10% in Q1. PAT of INR137 crores in Q1 FY 26 against INR100 crores, which again has a significant growth of 37% on a year-on-year basis. The company remained deleveraged with a healthy net debt to equity of 0.34x. And I'm pleased to announce that we also secured orders worth over INR2,900 crores in Q1 FY '26. In addition, we have also secured order worth INR1,300 crores plus in July '25 that makes our total order book secured to INR4,300 crores in FY '26 till date. We are also L1 in orders worth INR1,400 crores as on date as we speak.

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So now I would hand over the call to Mr. Jayanta Basu, who will take us through the operational performance. Thank you.

Jayanta Basu: Yes. Thank you, Nitesh. Good afternoon, and welcome for this Q1 conference call FY '26. The numbers are all known, so I don't want to repeat, but I must say that, again, a good performance by our company during this last quarter i.e. in Q1 INR2,500 crores of revenue and PAT around 5.4%, probably the highest in our company's history. And we believe that we'll be able to maintain the same momentum going forward.

There are some significant or I must say that some high points during this quarter in terms of execution and other aspect. Like for Chennai Metro, one of the project, we have completed a particular section of tunnel i.e. TBM, we call it breakthrough and that TBM has been completed. That is one good thing has happened.

And we are working in Dahej, a very difficult conditions as we know those who are expert in this line. We are able to start the work on time and the piling and foundation work is going on

in full swing. We have completed one beautiful structure for High Court of Calcutta Circuit Bench. You will see that picture in our annual report coming soon.

Bangladesh, despite of a lot of issues, as you know, and having a different kind of job, we are doing extremely well. Those who are in this line, they know that the size of the pile, we deal with around 50, 60 tonne weight, but there the pile weight is 300 tonnes. You can imagine the difference. The first time we are doing such a big pile, but it's being done very nicely. We are doing a lot of precast work that means a lot of buildings nowadays trained by the customer to shift to precast construction. And in Mundra, we have started doing that. The new technique, but we are able to do it properly and the work has got appreciation from the customer. I'm also very happy to say that our credit rating has been increased from A to A+ during this last quarter, which is also a good achievement.

Now going forward, as I said last time, we have got a good amount of job in pipeline. I mean, if I sum up, it will be around INR87,000 crores to INR90,000 crores of work which we are dealing with now. Some are in the tender stage, some prequalification, some have submitted tender. So opportunities are quite okay. And good thing is that the number of job is not much, though it is INR90,000 crores.

It will be hardly 15, 16 in terms of the number of projects. So that means the jobs are all big ticket job. We were again successful to secure a job in overseas condition of Abu Dhabi last week or so, which we have been pursuing hard, and we are very happy to say that we got the LOI.

In addition to that, as Nitesh has mentioned, if you put L1 altogether, already have secured around INR5,000 crores job, either they have secured or L1. So that is something which is also

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very significant because in the first quarter is still securing INR5,000 crore job, which has never happened before.

If I go to the further detail of the performance, which I normally do in every con call, the few big jobs like Chennai Metro is around 55% we have completed. Bangalore Metro is verge of completion. Sivok Rangpo always a difficult job, but we are able to overcome the difficult situation. Close to 80% job has been done already. Mumbai Metro is almost completed. Similarly, Ganga Expressway, as you know, is a big job, but we are able to complete the main carriageway on time, finishing work is pending. So around 85% has been completed. Few marine jobs. I mean, there are a lot of marine jobs we are doing nowadays. like Project Varsha is a big job. I think we have done around 38%. Bangladesh, as I mentioned, 42% has been done.

LNG Petronet at Dahej 25%. Colombo, another overseas job, around 80% we have done. And there are some new jobs also we have secured like Ruwais at Abu Dhabi, just I mentioned, we are just starting. Bangalore, we have got a metro job. I mean not metro, it's a metro rail, but from the different agency. We are just starting the job. Then we have got one port in Odisha from JSW place called Jatadhari. That work is going to start. Vadhvan port, all of you know that we have got the first package. We are starting the job. Trivandrum Airport, we have got a package. Jaipur Airport, we got a package. And we got recently one building from Keventer, a multistory building in Kolkata. In long and short, that is the story about the performance and going forward. So I'll be very happy to answer the questions. So please go ahead. Thank you.

Moderator: The first question is from the line of Aditi Loharuka from CD Equisearch Pvt. Limited.

Aditi Loharuka: Sir, how much has the industry tailwind supported the surge in your execution in the last few years?

Jayanta Basu: Could you repeat it, ma'am?

Aditi Loharuka: How much has the industry tailwinds supported the surge in your execution in the last few years?

Jayanta Basu: I mean, I don't know whether I've got your question rightly. Industry tailwind mean

s, yes I mean

there are a lot of opportunities, and we have secured a lot of jobs. Market is good. And you know that we are looking for 8% GDP growth in our country, emphasized by the government for the infrastructure. So all these things are, if you can say, the tailwind is helping us to get more revenue and more opportunities. Is it the right answer to your questions, if I have understood rightly?

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Aditi Loharuka: Yes, sir, partially, like I just want to know that how much has the contribution of macroeconomic factors helped you in growing, like you yourself secure projects and you are continuing with the past projects. So how has the macroeconomic factors contributed in your growth?

Jayanta Basu: Yes, of course, they are contributing because see, business means you have to have the opportunity and there are so much of opportunity in India, not only by the government of India, there are from outsiders like investors from the overseas. So economic conditions also better. Now one thing which I can very clearly tell you that the payments from the customers, in particularly government customers are very good. Gone are the days when we have to wait for a long time. And the contractual terms and conditions are also getting more level level filled conditions. So there are many factors, which is really, you can say the tailwind and macroeconomic factors are helping us.

Aditi Loharuka: Okay. And what sort of orders do you generally subcontract?

Jayanta Basu: It depends upon the nature of work we do. But if you ask me, in general, around 20% to 30% is the range, we subcontract.

Aditi Loharuka: Okay. 20% to 30% is the range, but what type of orders do you subcontract?

Jayanta Basu: Mostly if it is not in our domain like electromechanical work, HVAC, firefighting, those we rely on the specialist associates. So that is subcontract. Sometimes there's a large earth work where we have to source the earth from outside, that is subcontract. Sometimes some mining work like tunneling, there are a good tunnel subcontractor we have that also sometimes we subcontract.

Moderator: The next question is from the line of Raman KV from Sequent Investments.

Raman KV: Sir, first of all, I just wanted to understand from the presentation, it has been shown that current order book is around INR18,820 crores. So what will be the execution time line for this?

Jayanta Basu: INR18,880 crores will be executed in 1.5 years' time.

Raman KV: Okay, sir, 1.5 years' time. And sir, with respect to your order books in pipeline, you mentioned that it's around INR87,000-odd crores of order book -- orders are in pipeline. So what is your win rate in this? And how many of -- at what percent -- like what's the annual status among these projects?

Jayanta Basu: Yes, I'd like to correct you, INR87,000 crores is not order in the pipeline. The opportunities are in the pipeline.

Raman KV: So what's the current order strike rate?

Jayanta Basu: It will be around 20% if it is good. So you can say INR16,000 crores, just going by the statistics, it can be little less or more.

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Raman KV: Okay. And what's the L1 out of this?

Jayanta Basu: So far, I think we are L1 in INR1,460 crores and some order we have just received. So put together in this year, around INR5,000 crores of order we have already secured, including the L1 if you consider.

Raman KV: Okay, sir. Sir, my second question is with respect to the interest run rate with the current upgrade in the credit rating as well as the 50 bps cut in the interest rate, can we see this interest cost quarterly going down from INR50 crores to INR40 crores? Or will it stay at INR50 crores?

Jayanta Basu: Yes. I think if you see the interest cost, it is a mix of many things. It is interest we pay to the bank. It is the interest we pay to the client for advance w

hich secure. It is the interest or money

we pay for the LC and bank guarantee. So in this, because of the credit rating gone up, definitely, we'll get some leverage in the interest, some of this item. We have to see how it goes.

Raman KV: And sir, with respect to the guidance for FY '26, what is your revenue -- how much revenue growth are you expecting? And will there be any improvement in margins going forward?

Jayanta Basu: Well, revenue growth, as I have mentioned last time also, will be around between 20%, 25% in that range. And what was your second question? I just missed.

Raman KV: Margins.

Jayanta Basu: Margin, as you can see that it has been steadily, we are doing around 10% EBITDA range. But EBITDA is one parameter. But if you see our PAT, that has substantially improved within the quarter.

Raman KV: Sir, and my final question is with respect to the revenue recognition. So I just wanted to understand how does the revenue gets recognized. So when you bid for order and you get an order, do you get any advance payment on those orders? Or is it like if you complete 15% of the particular order, then you get 15% of the order value like phase wise?

Jayanta Basu: Well, see, one is advance. Advanced payment depends upon the contract condition. We get 5%, sometimes 10%. Some are with interest bearing, some with interest not bearing. That is one different subject. Margin recognition, normally, we wait for 10% of the work to be completed, but revenue is recognized from the start when we start.

Nitesh Sharma: That is a percentage of completion method basis. So these are 2 independent things. Advance is

a utility contract term and revenue recognition is the POC method, which is being applied.

Moderator: The next question is from the line of Aditya Sahu from HDFC Securities.

Aditya Sahu: Yes. I wanted to understand on the order inflow guidance for FY '26, what are we expecting?

And also, how much of this are we expecting from group entities?

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Jayanta Basu: Look, we are expecting to get around total INR15,000 crores to INR16,000 crores of orders in this year. Out of that INR4,000 crores, INR5,000 crores already have secured. So that is, I think, pretty sure that we'll get this amount of orders. And if you ask me from the group will be around 35% out of that.

Aditya Sahu: Got it, sir. Got it. And in the current existing order book, how much of that is from group entities?

Jayanta Basu: 20%.

Aditya Sahu: 20%. Okay. Understood. And in the revenue and EBITDA guidance that you've given, 20%, 25% growth in revenue and EBITDA guidance of 10% for '26. Similarly for '27 sort of if you can go a bit further and help us on that, how much are we expecting that on the same lines for '27 also, '27, '28?

Jayanta Basu: See, there are 2 things. One is you can plan for second year, third year, fourth year, fifth year, which we normally do. But giving some sort of guideline is not correct because it depends upon many factors. And most of the factors are not in our control. So let us wait for some time.

Aditya Sahu: Understood, sir. Understood. On the execution front, you had highlighted in the last quarter that the execution was a bit impacted because in the Bangladesh because of the political scenario over there. Like has that situation normalized? Or are we sort of facing an impact over there?

Jayanta Basu: I think last time I have told the situation is under control. There was some stoppage of work in last year up to October, November or up to December. And thereafter, we are working full swing.

There is no problem for us to execute there.

Aditya Sahu: Understood. And on the net working capital, the working capital days, if you can help me with what is the net working capital days for the current quarter?

Nitesh Sharma: Net WC remained at 80 days.

Aditya Sahu: 80 days. Understood.

Nitesh Sharma: It has improved from the previous qu

arters.

Aditya Sahu: Right, right, right. We earlier had, I think, close to 100 days, so 100 days that has improved. On the capex front, if you can help us with the capex we are planning to do in '26 and how have we done in Q1?

Jayanta Basu: Capex also depends upon a few factors. Normally, it will be around this year, we try to make INR280 crores to INR300 crores. But in first quarter itself, we have already spent around INR89 crores. But it depends upon a few work if we get, then capex can be really high than this whatever I have told you, which we are not able to disclose anything now. But otherwise, it will be below INR300 crores.

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Moderator: The next question is from the line of Jainam Jain from ICICI Securities.

Jainam Jain: Sir, my first question is, how are you seeing the opportunities in the Middle East? And what kind of work are you pursuing over there?

Jayanta Basu: Middle East opportunity, one opportunity, it has been converted to order, I have just mentioned. It is a marine work for ADNOC. ADNOC is Abu Dhabi port, where we have got Mumbai port, they have got Abu Dhabi port. We secured an order, a small order, not so big compared to overseas market.

Thereafter, there is a sewer work that is underground sewer pipeline, which is a big job in 2 packages, 2 packages put together will be huge. So there, we are having consortium partners with some of our Indian company and one Dubai based company as well. So these 2 jobs we are pursuing very hard now.

Jainam Jain: Okay, sir. Sir, my second question is what is the status of other set of tenders from Vadhvan port? And are you seeing these opportunities in this year itself or in FY '27?

Jayanta Basu: Vadhvan port, one, we have got, as you know, that first job we have got. The second will be the breakwater and third will be the dredging and reclamations, and it will keep on coming. So breakwater job, I hope that tender may come any time. It may come even tomorrow.

Jainam Jain: Okay, sir. Sir, are you facing any labor shortage problem?

Nitesh Sharma: Labor shortage.

Jayanta Basu: Labor shortage is a common problem. Look, we work in different segments. One is tunnel, one

is marine, one is airport and mining, we work in building as well and road. So there are a few segments which is labor-oriented jobs like building work. So there are crisis. But because we don't do much of building job, we don't have that much problem like other companies. But still, yes, we have got some issues with the labor issue of building jobs.

Jainam Jain: Sir, how are you mitigating that then?

Jayanta Basu: How we are mitigating?

Jainam Jain: Yes.

Jayanta Basu: I think I have to speak with you for a whole day because it's a very short question, where there is a long answer, a lot of options. First of all, we have to see that the labor forces, those are working this day. Normally, in Indian condition, if you require 500 labor, in whole year, you'll find that you recruited at least 3,000 labor, 6x, 5x a turnaround. So why they go, you have to find the root cause and you have to sort it out. That's the first thing. Second thing is that try to mechanize as much as possible. In short, this is my answer.

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Jainam Jain: Okay, sir. Sir, we currently have a book-to-bill of 2x. And earlier in the last call, we had given a guidance for FY '26 of 25% growth. So sir, can you help me understand like how are you looking to accomplish this guidance?

Jayanta Basu: Yes, I still maintain 25% growth, but it cannot be so accurate. So 25% has a range, 20% to 25%.

Moderator: The next question is from the line of Shreyans Mehta from Equirus Securities.

Shreyans Mehta: Sir, my first question is pertaining to the orders which you are targeting from the parent. Can you quantify or name a few contracts which we are looking from the parent? And

just in

conjunction with that, are those on a negotiated basis? Or how does it work when it comes to the orders from the parent?

Jayanta Basu: I think I have clarified this last time also. There is no negotiation. It is being done the way it has to be done before for last 15 years. The tender comes, we participate and we get the job or we do not get the job. If we get the job, we get the job based on the lowest evaluated bidder.

So those things are still continuing. The only difference is that earlier, we used to be very choosy to participate in certain segments only. But now our parent or our group company, they have done so much of work in all the segments, you mean you name. So as because they are parent, they are asking us requesting us to participate more and more. So that is why the percentage of work from parent will be more because we are going to the other segment as well. That's the only difference.

Shreyans Mehta: And sir, can you name a few contracts where we are under negotiation or where tenders are invited from the parent?

Jayanta Basu: I don't know. There are many, but yes, I think same segments like marine, data center, airports, roads, tunnel everywhere.

Shreyans Mehta: Okay. Sure, sure. Sir, second is a bookkeeping question. What is the gross debt as on date?

Nitesh Sharma: It's INR960 crores as on date. As on 30th of June, we have reported.

Shreyans Mehta: INR950 crores.

Nitesh Sharma: INR960 crores as reported on 30th of June.

Shreyans Mehta: Sorry, I missed it. INR906 crores?

Nitesh Sharma: INR960 crores.

Shreyans Mehta: INR960 crores and cash?

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Nitesh Sharma: So cash and cash equivalents, I mean, excluding the earmarked balances, we had close to INR290-odd crores of cash balance. So the net debt remains at INR669 crores.

Shreyans Mehta: Got it. Sure. And one last question from my side. Sir, if you see our order book has been building upon and execution is also happening at a healthy pace, but margins largely have been since last 8 to 10 quarters are in the range of, say, anywhere between 9% to 9.5%. I'm talking about the core EBITDA margins. So is there any scope of improvement at least by, say, 50 basis points or 100 basis points, which can see going forward, the core EBITDA margins?

Jayanta Basu: I know margin, you can say EBITDA margin or PBT or PAT, whatnot. But I personally rely more on the PAT, which takes care of everything. So I'll address PBT, EBITDA also. But PAT, if you see, it has increased quite gradually but steadily, like 3.6% to 3.8% to 4.5% to 5.4%. And in our industry, 5% PAT, I think it's okay. I mean you can compare. EBITDA, yes, it has a factor of depreciation and all. We are all looking for 10% plus, which you've been achieving now. And definitely, we'll try to achieve more. Let us see.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, we have seen a sharp reduction in the interest cost for the quarter from INR62-odd crores to INR50-odd crores despite the debt increasing on a Q-o-Q basis. So what has led to the sharp fall?

Jayanta Basu: Basically, as I told you that interest has got 3, 4 components. It is not only the bank interest, it is interest from the client on advances, LC charges, bank guarantee charges. So those components are now a little bit less because most of the contracts we are able to get interest-free advance through our hard negotiation and persuasion and bank guarantee cost also has reduced. I think probably that has contributed to this improvement in the interest cost.

Vaibhav Shah: So if the debt remains at similar levels in the next few quarters, so we can expect a similar interest cost around INR50-odd crores or if there is a possibility of an increase?

Nitesh Sharma: So definitely, there would be improvisation or optimization of the overall financing cost when we are doing post the Adani o

r the parental leverage, which will happen, okay. So that definitely in terms of absolute numbers also would come down. But we should see rather that as a percentage of revenue as the top line grows and whereas we are able to manage the working capital efficiently. So as a percentage of the top line, that definitely should come down over a period, yes.

Vaibhav Shah: Okay. And what is our average borrowing rate as of now?

Nitesh Sharma: So that's in the range of 10-10.5-odd percent on the working capital lines. Plus there are other components. We have a larger portion, which is earmarked for the non-fund-based limits, largely

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for the LCs and the bank guarantees, which we have been issuing. So that contributes a larger portion of the interest and finance cost.

Vaibhav Shah: So what would be our limits and how much they have been utilized, both fund-based and non-fund based?

Nitesh Sharma: So that all put together, we have close to INR6,000-odd crores of limits available and almost like 90% is being utilized today.

Vaibhav Shah: Okay. And sir, what would be your mobilization advance as of June?

Nitesh Sharma: That stands at INR830-odd crores as on 30th of June 2025, INR835 crores to be precise.

Vaibhav Shah: And out of this, what would be ballpark interest-bearing?

Nitesh Sharma: Almost 80% is non-interest-bearing. So 20% is like interest-bearing in the range of that.

Vaibhav Shah: Okay. And sir, lastly, what would be our total receivables as of June? And of that, what would be from Bangladesh?

Jayanta Basu: Bangladesh, I can say Bangladesh, there's no receivables because we have been paid on time and advance already have got payment. Total receivable, Nitesh?

Nitesh Sharma: So total receivables stood -- I mean, the total receivable was like INR1,600-odd crores. And in terms of you say the number of days, it is like 64 days average, which is what we have been maintaining.

Vaibhav Shah: Okay. Sir, for the quarter, we have seen INR7 crores of share of profit from joint ventures. So what led to this sharp rise?

Jayanta Basu: That is for the Mumbai Metro. Mumbai Metro is getting completed. So they have reduced that amount.

Vaibhav Shah: Incrementally, this should be a marginal number?

Jayanta Basu: Yes, because we almost completed it now, we have taken margin before also.

Vaibhav Shah: So largely, it should be done now in terms of booking the profitability?

Jayanta Basu: Yes, I think the JV work is completed. We may get something a little bit more, but nothing significant going forward.

Vaibhav Shah: And tax rate for the quarter was 17%. So why it was so low? And how do you see it going forward?

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Nitesh Sharma: So we had a tax-free income from one of our JV, which had carryforward loss into it. So that has bring down the effective tax rate for the company.

Vaibhav Shah: So it should be only for this quarter, right? Incrementally, it should be a normal estimate.

Nitesh Sharma: Yes, yes. So effective tax rate would be in the same range. This is just a quarter reporting.

Moderator: The next question is from the line of Ishita Lodha from Svan Investments.

Ishita Lodha: My question is that in the order pipeline of INR90,000 crores, how much is from the parent company?

Jayanta Basu: Around 30% to 33%.

Ishita Lodha: Okay. And do we have any slow-moving orders in our order book?

Jayanta Basu: Slow moving, no, I don't think, I think. No.

Nitesh Sharma: No.

Ishita Lodha: Okay. And this order that we have received INR5,600 crores so far, so this is also largely from the parent?

Jayanta Basu: No. These are largely from the outsiders. Parent will be around INR1,000 crores, balance INR4,000 crores from the outside.

Moderator: The next question is from the line of Shreyans Gathani from SG Securities.

Shreyans Gathani: I had a couple of questions. The first

one was you mentioned that the ticket size for the opportunity that you have is going to be much bigger. So just trying to understand what kind of or how do we look at the ticket size versus margins? Or is that like the order size is -- like the margins are agnostic of the order size that we pick up. Usually, like bigger orders, we see some kind of efficiencies that are built in. So just trying to get a sense on that.

Jayanta Basu: Well, the bigger orders, if you convert to -- I mean, bigger opportunity if you convert to order, then your revenue goes up. And if your revenue goes up, then naturally, it has got some positive contribution to the margin. That is generally speaking. So that helps. And number two, the big ticket job, you get less competition.

So it is not like an NHAI job where 26 participants are fighting each other, hardly 2, 3 companies.

Naturally, everybody will try to get their best. The competition is less. And most important part is that you are able to get qualified for this big ticket job. So that is another significant thing.

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And another thing that if you have 60 projects to handle and if your revenue is INR10,000 crores and if you have 30 projects to handle revenue is INR15,000 crores. The second is much better option to run more efficiently. So these are the few factors which helps.

Shreyans Gathani: Got it. Got it. That's very helpful. So is it fair to understand that going forward, we would aim for like historically, the kind of order sizes that we've got, we want to go into like a bigger level of orders that we actually intake now?

Jayanta Basu: Yes, yes, of course.

Shreyans Gathani: Okay. Okay. So is that, like are we getting out of some smaller ticket jobs? Or is that continuing or we are just focusing on the larger jobs now?

Jayanta Basu: We don't have so-called smaller job now. Once upon a time, we used to do job of INR20 crores, INR30 crores INR50 crores INR40 crores. Now there are hardly any job which is less than INR300 crores or INR500 crores. We are slowly getting out of that. That's what I say that we are getting qualified also to get the big jobs.

Shreyans Gathani: Got it. Got it. Sir, last question. So you've already done INR5,000 crores. And even in the last con call, you mentioned that you're looking at INR15,000 crores for a INR90,000 crore opportunity.

So is there a possibility that we actually get more than INR15,000 crores given we are ahead of the run rate? Or is that not a fair assumption?

Jayanta Basu: I don't want to increase every quarter. So let us be happy with INR15,000 crores. We'll be able to achieve that.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, I hear labor shortages in the industry itself, which delayed project execution. I just want to understand margin perspective because we have seen some of the companies witnessed margin erosion in this quarter, but we are almost maintaining the same levels.

I just want to understand about maritime, urban infra and industrial buildings, how the margins are differentiating? And is there any inflation risk steel, cement and any other things are impacting on the margin side? And you can share the breakup of fixed price contracts and variable contracts also. And you can throw some light on that how domestic and international projects are differentiating in terms of margin on the execution side?

Jayanta Basu: Okay. So I'll start with your last one. Normally, international jobs gives you better margin because international means they are international players, they work in a high price model, number one. Number two, the terms and conditions are not friendly, I mean, level field terms and conditions.

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International job, provided you access it properly, you know the job prope

rly. Otherwise, international job can be killer because their quality standards, safety standards are very high at the location also sometimes if you go to Africa, some country can get a hit there. If your assessment of the location and the project is good and if you get the job, if you can deliver, international projects normally fetch you better margin. That is number one.

Number two, in terms of the variable contract and fixed contract, I think for most of the contracts are now variable. Exactly, I cannot tell you the ratio. It will be around 70% to 30% i.e. 30% are fixed, 70% is variable price contracts. In terms of the commodity price, commodity prices are now more or less steady for last few quarters. We don't see much surge in that.

But I don't know what may happen in future. The labor is an issue. And there are companies, those who rely most on the labor-oriented work, they are getting hit. We are also not exceptional to that. For segment like building, we are suffering because of labor force not available and because of that delay is there.

Moderator: We may request participants to please remove their handset while the management is answering your question.

Moderator: As there is no response, we move to the next question. The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: Sir, I want just a brief understanding regarding the growth that you have shown in the press release. The press release highlights strong growth, but execution remains a critical. Are there any cost escalation risk due to raw material or overseas projects that you are seeing right now? Or also this could impact margins in the coming quarters, just put some light on it?

Jayanta Basu: Raw material price, I have just mentioned that I don't think it's affecting significantly to us. There are 2 reasons behind that. First of all, that I don't see much surge in raw material price. At the same time, we are able to negotiate with the customer to have a fixed raw material price intent of the contract. That means the price increases, we are getting compensated, vice versa. So this is all about raw material price risk. Quarter 2, okay, always quarter 2 is low than quarter 1, as you can see from all the companies, we are not exceptional. So quarter 2 will be a little bit muted because of monsoon effect.

Rehan Saiyyed: Okay. Okay. And sir, like that you have previously mentioned the margins you are showing for FY '26 and FY '27. So like is there any effect on margins for coming quarters or full year that should be aware of?

Jayanta Basu: I mean EBITDA, as I mentioned, that around 10% will be maintained. We'll try to maintain. Is there anything specific you want to know? I couldn't get your question.

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Rehan Saiyyed: Like you got my question or you didn't got my question?

Jayanta Basu: No, no. I mean what you want to know that margin?

Rehan Saiyyed: Okay. Okay. I'm just clarifying that is there any risk or any uncertainties we have to expect in coming quarters for affecting our margins going forward.

Jayanta Basu: Yes, I got it. Sorry, I got it now. Political risk in the overseas country is always there. Like when we started, Colombo, we had some problem. We have started Bangladesh. If Bangladesh goes smooth, I don't see there is any other risk we have, which can affect the margin.

Rehan Saiyyed: Okay. Okay. Sir, my next question is regarding the quarter, ITD Cementation become a part of Adani Group. So could you provide some insights into the strategic benefits of this transition, specifically will this open up new project opportunities or improve access to financing and bidding strength?

Jayanta Basu: Well, the basic idea is to grow and the emphasis is given a lot on the growth path as because Adani as a group have got a lot of plenty of jobs to be done. And earlier, we used to do only marine, but now we are getting into the other segments also like airports, data center. The emphasize has been given to build up our strength in that segment to improve our capability so that we can do more job in that segment through Adani.

Moderator: The next question is from the line of Jayesh Shah from OHM Portfolio Equi Research.

Jayesh Shah: Okay. I want to go back to the EBITDA question that people have raised. How do we read it? Because if you double your turnover every second or third year that you have done, then if your gross margins are same, the operating leverage should have helped you to have higher EBITDA. So are you bidding at slightly lower gross margins and getting better payment terms because we have seen improvement in working capital or is the mix of jobs responsible that the overall average EBITDA still remains at 10%? Because what we can't understand is that doubling of growth is not helping you in terms of operating leverage?

Jayanta Basu: Well, there are many, many things in that. You know that we had some bad projects a few years back like Bangalore Metro and Delhi Metro. And so those projects are gone now behind us. And that is why you can see that EBITDA, which used to be around 9% or 8% to 9% has finally gone to 10% consistently during last 3, 4 quarters. So that is an improvement. And I strongly believe

that if you do not have such one-off bad job, EBITDA will further increase. So let us see.

Jayesh Shah: Okay. But at bidding level, you are bidding at the same margins as you were bidding before despite higher capability? Or are you able to pick and choose the contracts at higher margins now? If I look at your order book, will they be at higher margins than what you have done till now?

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Jayanta Basu: Well, I mean, see, we cannot choose that. It depends upon the market. What we do now that we definitely find some job which is interesting, which will make good margin, we try to get the job. So there is no pattern that earlier used to do 8% margin. Now we are bidding for 12% margin, not like that.

But the one thing is there, let me complete that. As I have just said that we are trying to get bigger jobs, but the competitions are less. There probably we'll be able to make a little bit better margin while we tender.

Jayesh Shah: Okay. So in a way, you are giving the benefit of the operating leverage to the customers and trying to get more orders. Is that the way to understand?

Jayanta Basu: It's a matter of balance. I mean, both sides. Sometimes we put better margin, we get the job. Sometimes we have to get the job. That's why we put a little bit less margin. So both are there.

Jayesh Shah: Right. And whilst I'm not asking you for guidance for FY '27, '28 post Adani's acquisition and the fact that you have a parent which can give you captive jobs, is the organization geared up to maintain such growth rate in terms of planning? Like we are trying to understand what is the peak capacity of ITD or what could be a constraint? If we keep 25% per annum.

Jayanta Basu: We have got enough capacity as we have demonstrated just for your sake of consumption that we have grown, as you know, 3,000 to 5,000, 5,000 to 7,000, 7,000 to almost 9,000 plus with almost same kind of resources in terms of the manpower and even machinery also. So the core thing is that if you have the knowledge, the core theme, if it is with you, then it is not a big problem because plant and machinery, you can buy. They are available now in plenty, and we can get support from Adani Group also. What is required is our knowledge. Knowledge we have.

So I don't see that much of a challenge.

Jayesh Shah: Okay. And in terms of mix of jobs, are margins same or are they different? Even if you can just rank them in terms of what is most profitable and what is least profitable without giving the percentages?

Jayanta Basu: Yes, yes. I mean it cannot

be same because different segment has got different thing. If you ask me in that way that the top will come underground metro in terms of margin, better margin, then marine, then specialized jobs like foundation-oriented job, then roads and building. It goes in that manner.

Jayesh Shah: And airports and ports, you would include in ports would be marine?

Jayanta Basu: Marine is port. Airport will come in between. Airport also has got different scenario. Some airports are INR400 crores, some are INR5,000 crores. So if you go for INR400 crores job, you have to put a very low price, which is not viable. But big airports, yes, we can make better margin.

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Moderator: The next question is from the line of Amit Agicha from HG Hawa.

Amit Agicha: Sir, my question was connected to like is the company like looking for interlinking of the river project like it's a big opportunity?

Jayanta Basu: Which project you mentioned?

Amit Agicha: Interlinking of rivers in India.

Jayanta Basu: Interlinking rivers in India is a thought, which is there for last 15, 20 years, so inland water transport. So we have to see that whether really it happens. If it happens, if it is size is good, definitely we'll be interested because it is a kind of marine job, which we are very good in that. But we need to see the opportunity in a perspective of when it is happening, what is the feasibility, etcetera.

Amit Agicha: Till now, the company is not doing, right?

Jayanta Basu: I don't see much. You tell me any project of such kind of interlinking happening now. I don't see.

Amit Agicha: In MP, I think MP, Rajasthan, Maharashtra have showed their target picking up.

Jayanta Basu: Yes. I mean it is in plan. The whole India, there's a lot of plan, but when it will happen, if it happens, then that will depend upon the size of the project, we'll choose whether it is okay or

not.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments.

Jayanta Basu: Thank you for the questions, and we are very happy that you have got interest on us. Please rely and keep on keeping interest on this company. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities, concludes this conference. Thank you for joining us, and you may disconnect your lines.

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"Cemindia Projects Limited
Q2 FY '26 Earnings Conference Call"
October 31, 2025

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR –
CEMINDIA PROJECTS LIMITED
MR. NITESH SHARMA – CHIEF FINANCIAL OFFICER –
CEMINDIA PROJECTS LIMITED
MR. RAHUL AGARWAL – HEAD INVESTOR RELATIONS
– CEMINDIA PROJECTS LIMITED

MODERATOR : MR. ABHINAV – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Cemindia Projects Limited Q2 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhinav from ICICI Securities Limited. Thank you, and over to you, Mr. Abhinav.

Abhinav: Thank you, Trisha. Good afternoon to all. On behalf of ICICI Securities, I welcome you all to the Q2 FY '26 Earnings Call of Cemindia Projects Limited. Today, we have with us from the management, Mr. Jayanta Basu, Managing Director; Mr. Nitesh Sharma, the CFO; Mr. Rahul Agarwal, Head, Investor Relations.

We will begin with the opening remarks from the management, followed by Q&A. Thank you, and over to you, sir.

Nitesh Sharma: Thank you, Abinav. Good afternoon, everyone, and thank you for joining us on the Q2 FY '26 results con-call. So, this is Nitesh Sharma. So, before I begin, the discussion that we will have in this call may contain certain forward-looking statements about Cemindia Projects Limited, which are subject to several risks and uncertainties, and actual results may differ materially from those in such statements.

Let me first start with the financial performance for the quarter and subsequently, our MD, Mr. Jayanta Basu, will be taking you through the operational performance of the company. So, we are pleased to share that we have reported another quarter of robust performance in FY '25-'26. I'll brief about the quarter performance for FY '26 first.

The total operating income of INR2,175 crores in Q2 FY '26 against INR1,991 crores, which translates into a growth of 9% on a year-on-year basis. The EBITDA for the quarter stood at INR242 crores against INR204 crores of the preceding previous year corresponding quarter, again, the growth of 19%. EBITDA margin was at 11.1% in Q2 FY '26 against 10.3% in Q2 FY '25. PAT of INR108 crores in Q2 FY '26 against INR72 crores, a growth of 49% on a year-on-year basis.

I'll brief you on the H1 performance now. For H1, the total operating income stood at INR4,718 crores against INR4,372 crores in the corresponding year quarter, again, a growth of 8%.

EBITDA of INR496 crores in H1 FY '26 against INR442 crores, which is a growth of 13% on a year-on-year basis. EBITDA margin at 10.5% in H1 against 10.1% in H1 of previous year. PAT of INR245 crores in H1 FY '26 against INR172 crores of the previous year H1, growth of 42% again reported. And as usual, conservatively, we are financed with a net debt-to-equity ratio of 0.25x.

I'll brief you on the order book position as on date. So, in the first half, we have secured order

of around INR6,189 crores, Post September '25, the new orders which we have won is close to
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INR1,000 crores, and we are L1 in around INR2,500 crores of order book. So, the total order book now stands at close to INR9,700-odd crores.

Now I would like -- I would request our MD, Mr. Jayanta Basu to take you on the operational performance. Thank you.

Jayanta Basu: Thank you, Nitesh. Good afternoon to all, and welcome to Cemindia's Q2 performance for '25-'26. I'm pleased to share information about our performance, which is good in terms of profitability. As you can see, our EBITDA is more than 11% this quarter. And as a common trend, the revenue is a little down from the quarter 1 as because of monsoon effect. And generally, if you see all the past years, it affects around 14% to 16% in that range. We'll get less revenue in quarter 2 because of monsoon. And this year also

not exception to that. But Q3, Q4 is definitely better than this.

Profit after tax, around 5%. Historically, if we see the profit after tax, 2, 3 years back also, it used to be around 2%, 3%, 3.5% in that range. And for a construction company, purely 5% PAT, I think, is quite good compared to any standard. Profit before tax is 6.7% this quarter. So, the financial performance are quite okay. Execution is good.

And the major jobs, which all of you know, we have been discussing, the Ganga Expressway is almost -- it's all completed. I must say it is completed. Udangudi all completed. CMRL Chennai Metro, which have started, it was a very tough job. Considering the geology, we could overcome those challenges and the TBM, I mean, the tunnel is almost completed or under control. Bangalore Metro tunneling is completed. And, certain job, which has started in between like LNG Petronet and Dahej for as amazing job. Again, a very challenging place to work, but work is going on very smoothly.

Project Varsha, which was a tough job to begin with. And if you know the history, it was a long history anyway. We were able to deliver as per the client's requirement in the time line, quality, etc. Bangladesh job, we faced some turmoil due to the local issues, as all of you know, but it is fully under control and within the schedule going on, we received payment as required, and there is no issue at all in terms of Bangladesh job.

We have started a few new jobs. One is in Abu Dhabi for ADNOC that is Abu Dhabi Port Limited. We have just in the phase of mobilization. Other international job at Colombo is almost completed. Bangladesh, we have just said. In building, we are doing a unique project for IKEA at Noida, which has started very well. And hopefully, we'll be able to complete within the time. A few other buildings also we have handed over. So, execution-wise, we are quite comfortably positioned now.

But at the same time, we have got plenty of opportunity going forward. And as you have seen that our order book has gone to INR6,000 crores to INR7,000 crores already, which is almost equal to what we have done last year, whole year. There are a few jobs which are the lowest or order is almost there. So, if you consider that INR10,000 crore order is almost there in our hand. And there are a few jobs in pipeline.

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Opportunities are plenty. We still maintain a balance between the segments. And there is new segment as we have launched, data centers have already started, secured a job and started working in job. There is huge prospect in data center business. Similarly, there are kind of other avenues like large diameter tunnels, we are focusing on that, airport. So I think things are all okay within control and future looking good. So I think that's all from my side.

We'll be happy to have any questions on this. Please go ahead. Thank you.

Moderator: The first question is from the line of Aditi Loharuka from CD Equisearch Private Limited.

Aditi Loharuka: My question is that what is your revenue growth target for FY '26?

Jayanta Basu: FY '26, I think we have projected already around 20%, 22%. It is around 20%.

Aditi Loharuka: Around 20%?

Jayanta Basu: Yes.

Aditi Loharuka: Okay. And so how do you plan to achieve this target?

Jayanta Basu: First of all, we have to secure the job to get the revenue, which we have done. The execution we have to do and we have our teams, resources available to execute those jobs because if you have to agree that you're doing job of INR1,000 crores and you are doing INR2,000 crores job, you don't require much resources in terms of the management.

You require more resources for the plant and machinery, which we have or if we do not have, we can hire, we can buy. Everything is planned, and I don't see any issue on that as far as

execution is concerned.

Moderator: The next question is from the line of Dhananjay

Mishra from Sunidhi Securities.

Dhananjay Mishra: So congrats on a strong operating performance. So, could you provide the detail of the order we received in terms of which order we received in Q2 and also the INR1,000 crores we have received in post 30th September and also alone position orders?

Jayanta Basu: Yes, we have in the port sector, we received 1 order from JSW Port at Odisha, around INR800 crores of job. Similarly, we have received from the group on Vizhinjam Breakwater INR400 crores. And this is in port sector. Abu Dhabi, as you have just mentioned, it is also port job is around INR700 crores.

In the airport segment, we have received around INR1,300 crores of job between Jaipur and Trivandrum. Underground Metro at Kolkata, close to INR1,000 crores we received the order. And in the power plant, we have received a job from the group around INR400 crores. Data centers, INR1,500 crores. And there is a small job in Khawda.

So altogether, INR6,100 crores of job we have received. There are a few jobs at INR1,000 crores, which is in pipeline. A bulk of them at Mundra, sorry, breakwater job at Vizhinjam Port, INR1,000 crores of job. So this is the more or less breakup of which you are seeing.

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Dhananjay Mishra: And about L1 position, sir?

Jayanta Basu: L1 position, we are in Pune Metro, we are L1, INR1,700 crores. We are L1 in a Project Varsha for Indian Navy, also close to INR1,000 crores, so INR3,000 crores. And one more job, we are not able to reveal the name, which will be around INR2,000 crores, which is almost with us.

Once it comes, you'll know.

Dhananjay Mishra: Okay. In terms of H2, I mean, remaining of 5 months, how do you see order inflows finalizing?

Jayanta Basu: We still want to maintain the same guideline end of the year, INR15,000 crores, INR16,000 crores will be the order book, if not more.

Dhananjay Mishra: And which segment you are expecting these orders? I mean, whether it is metro or data center or marine job?

Jayanta Basu: All the 3 segments. That is our split.

Dhananjay Mishra: Okay. And any airport order expected to be finalized from group?

Jayanta Basu: It depends upon how the project takes up, what time. Yes, opportunities are there, but it depends upon when they'll start accordingly whether this year or next year.

Dhananjay Mishra: And lastly, sir, any legacy provision we had -- which we have written back in this quarter?

Jayanta Basu: No, I think we are mostly done with those such kind of provisions and this thing because, as you know, a long time back, Delhi Metro and thereafter Bangalore Metro. So those big kind of things are behind us. Yes, while green project, some job we will lose, some job we will gain. So some sort of things will be always there. But there is nothing which is very significant to be discussed or reported.

Moderator: The next question is from the line of Shreyans Mehta from Equirus.

Shreyans Mehta: Congrats on a great set of numbers. So my first question is just one clarification. So order inflow, including L1 would be closer to INR6,000 crores plus close to INR5,000-odd crores. So INR11,000 crores is the number is how we should look at things?

Jayanta Basu: Yes. If you see, I mean, the order what we have received officially is INR6,200 crores till now.

That is up to September end. In October also, we have received order around INR1,000 crores.

So order received is around INR7,200 crores so far.

But beyond that, a few orders are just ready for us to be taken over, which is the L1 and other things altogether will be around INR3,500 crores. So you rightly said that around INR10,000 plus crores to INR7,000 crores, we may say, practically with us in this year.

Shreyans Mehta: Got it. Sure. That clarifies the thing. Sir, second, in terms of our performance this quarter, the other income seems to be on a higher side. So are there any write-backs or anything which is ex

ceptional for this quarter?

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Jayanta Basu: No, no, no write-back. It's only exchange gain is in one of the overseas and on the interest on the FD which have been bought. So not -- no exceptional or no write-backs sort of thing.

Shreyans Mehta: No writeback. Got it. Got it. Got it. Sure. And sir, third, in terms of the depreciation cost, if you see the quarterly run rate seems to be going downwards as compared to last year. So will this be -- we should be assuming this run rate closer to INR430 crores, INR440-odd crores going forward? Or how should one look at the depreciation run rate?

Nitesh Sharma: Depreciation, more or less -- historically, the run rate has been like that only. But now as Mr. Basu said that we are also looking forward for jobs in different verticals of large TBMs and all. So on success base, it may change because that may require new capital equipment as per the project requirements. So it's all successful. Otherwise, historically, the range has always been into that. And we would -- this is the current order book position, it will be maintained.

Shreyans Mehta: Got it. Got it. Sure. And sir, last 2 questions from my side. What is the capex we have done till date? And what's the target? And secondly, if you could help us in terms of split between the Adani Group or the parent exposure in terms of order book for 1H?

Jayanta Basu: Capex is around so far INR50 crores, INR58 crores for Q2.

Nitesh Sharma: Capex is around INR60-odd crores so far in Q2. And the expectation is like close to INR250 crores to INR30-odd crores of capex to be spent in the full year basis, provided, as I mentioned, that if there is a new requirement for large equipment, so that will change the numbers.

Jayanta Basu: And your second question was something related to Adani order book as we just missed it.

Shreyans Mehta: Yes. So mix between the parent and the outside the parent in terms of the order book?

Jayanta Basu: Order book around 25%, 26% from the group company or parent company.

Shreyans Mehta: 25%, 26%?

Jayanta Basu: Yes.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, on the other income, what could be a normalized number going ahead on a quarterly basis?

Nitesh Sharma: Sorry, can you say again?

Vaibhav Shah: On the other income front, on a quarterly basis, we can expect somewhere around INR10 crores, INR15-odd crores.

Nitesh Sharma: Yes. Quarterly basis, of course, yes.

Vaibhav Shah: Okay. Sir, secondly, what would be our Bangladesh project receivables right now?

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Jayanta Basu: Bangladesh project, actually receivable is within control. I mean whatever we are supposed to get, we have already got it. But still for the bookkeeping purpose, around INR100 crores, INR130 crores is receivable, which is a normal...

Nitesh Sharma: Normal receivables as per the contract terms.

Vaibhav Shah: And what is the outstanding order value remaining?

Jayanta Basu: To be executed, I think 50% almost, which is INR600-odd crores we have to execute out of INR1,400 crores, INR1,500 crores.

Vaibhav Shah: And incrementally, are you looking for any orders in Bangladesh or for now being, we will be only focusing on the current order?

Jayanta Basu: Bangladesh, so far, it is not in our focus because of some obvious reason. And yes, we are not so much focusing on Bangladesh right now.

Vaibhav Shah: Okay. Sir, out of our order inflow plus L1 position of around INR11,000-odd crores, what would be the share of Adani projects?

Jayanta Basu: Around 50%.

Vaibhav Shah: Okay. And sir, lastly, one bookkeeping question. What would be your mobilization advance? And what would be the interest portion of that? Interest bearing portion.

Nitesh Sharma: Total advance is around INR900-odd crores, and out of that, almost like 20% is interest-bearing.

Mo

derator: The next question is from the line of Siddharth Shah from MK Ventures.

Siddharth Shah: Sir, my first question is on the data center business. Mr. Basu, Adani Enterprises have been very aggressively guiding on their data center business. They are planning to reach 1 gigawatt capacity by 2030. And they have also kind of recently announced a tie-up with Google for almost INR15 billion investment over the next 5 years in Vizag.

So these are large plants from the overall group level. How is our company kind of -- what kind of opportunity opens up for our company in the data center business because of this? And how are we kind of ramping up our system and our management bandwidth for this?

Jayanta Basu: Yes. This is, we have taken it very seriously because opportunities are there. I mean to say that if you see the data center, it has got a civil component, the construction of the structure and thereafter the electromechanical part. And on top of that, the design of the whole thing, civil and electromechanical part. So civil part, definitely, we are interested and we'll be doing as much as possible given to us. And we have already started work in Navi Mumbai.

So whatever data center civil work is there, majority portion we intend to do and that is the intention, I hope the group company also provided everything going okay. But the interesting part is that we are getting involved in the electromechanical part also, which is the

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bulk of the revenues. So we are building up our capability, recruiting people. We are engaging with the consultants where we can cater to the requirement of electromechanical part also.

Siddharth Shah: So that's very encouraging, sir. And second is, sir, overall, with the order inflow we have in place as well as L1 position, we are almost at INR11,000 crores till date. So the overall guidance of INR15,000 crores, is it very conservative because the way the ordering is yet to pick up and we expect it to pick up in second half.

And I understand a lot of projects, again, the group has won in Bihar and roadway project, road project, a lot of projects they have won probably. So maybe some of it will come for execution to our company. So is this INR15,000 crores a bit conservative? Or is it realistic?

Jayanta Basu: What is your assessment?

Siddharth Shah: Pickup is yet to happen. So we thought that H2 will be heavier than H1.

Jayanta Basu: Yes, I think INR15,000 crores was projected last quarter. It will be definitely INR15,000 crores and a little bit more. Let us see. I mean, yes, we expect to be a little bit more than INR15,000 crores, but INR15,000 crores compared to last year also is okay in terms of the order what we have secured last year, even second last year.

Moderator: The next question is from the line of Aditya Sahoo from HDFC Securities.

Aditya Sahu I wanted to understand on the geographic bifurcation for order book, order inflow and the revenue. How much are we deriving it from the domestic market and international markets?

Jayanta Basu: See, domestic market is majority, as you know, around 90%, 92%, 93% and rest is from the international market.

Aditya Sahu Understood, sir. And the bid pipeline, so what would be our current bid pipeline?

Jayanta Basu: Bid pipeline, you can categorize in 3 categories. One is the bid which we have submitted, another bid on which we are working. Another is bid, which is likely to come in near future. So if you put in 3 categories, some of them, again, I'll repeat the same number, INR90,000 crores plus/minus should be the numbers.

Aditya Sahu Understood, sir. And how much of it are you expecting it from the group entities and independent -- how much from the independent?

Jayanta Basu: It is quite close around 25%, 26% from the group.

Aditya Sahu Okay. Okay. Understood, sir. And sir, what would be the net working capital days for Q2, if you can help me with that particular number?

Jayanta Basu: It is, I think 90 days.

Nitesh Sharma: It is 90 days, close to 90 days now on Q2.

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Aditya Sahu 90 days. Understood, sir. And I think last quarter, we had some working capital limits, short-term limits at about INR6,000-odd crores, and we had some 90% utilization. So what would be -- where do you stand now on that?

Nitesh Sharma: So again, we are at INR6,500-odd crores of the overall limits available with us. And the utilization again is like 85% to 90% fully.

Moderator: The next question is from the line of Kedar from Congruence Advisors.

Kedar: My question is specific to the new data center vertical that you announced. It's very encouraging to see an order book of INR1,500 crores over there. Sir, when it comes to the execution of this, as you recently explained to one of the other participants, it's going to be primarily civil plus EMP. So do you think the margin profile is going to be largely in line with what the business has been printing over the past 4 to 5 quarters? Or do you think it's going to be on the lower side?

Jayanta Basu: Because civil construction company we have a standard margin profile....

Moderator: Sorry to interrupt you, but there is some disturbance with your line. Mr. Kedar, can you please mute your line, if possible?

Jayanta Basu: Yes. So margin profile will be quite okay, quite standard, whatever we have in civil construction around whatever we have. So I don't know why I think it will be less.

Kedar: Okay, sir. So how big do you think this new vertical could be with, let's say, a 2-year horizon? So do you think this could become something like, let's say, 10%, 15% of the overall order book?

Jayanta Basu: At least 15%.

Kedar: Okay, sir. And the final question I have is, sir, when it comes to the go-to-market model that you proposed to have for this new data center vertical, will you be bidding for projects independently as well? Or do you think the order flow will be primarily coming in through the promoter for this?

Jayanta Basu: So step by step, we'll definitely eventually will go to the external customer. But initially, maybe 1 year or 1 year or so, we'll be leaving with the promoter.

Moderator: The next question is from the line of Pritesh from Lucky Investments.

Pritesh: From the group entities, if I have to identify the entities which are prospects for us in terms of business, I'm just calling out the businesses. And if I missed anything, please if you could add.

So it is basically the airports business. Then it is the airports real estate development business, then it is the ports, basically the ports business, then it is data centers, it is all the industrial capex in the group is taking in the form of PVC or anything where there is a scope for industrial billing.
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Should one include Dharavi redevelopment as a scope for you is -- I don't know, and the roads business. So have I identified all the relevant group businesses as a prospect business for us or anything which have added or anything that you want to add?

Jayanta Basu: Yes, I think we have covered all -- we have covered more because we are not there in Dharavi - Dharavi prospect to us.

Pritesh: So is Dharavi a prospect or it is not a prospect considering the businesses that we do today?

Jayanta Basu: No, it is not a prospect considering the way line of our business model, Dharavi is not a prospect to us.

Pritesh: Okay. Then generally for whatever capex that the group calls out, in your opinion, what should be the average civil component of those capexes? I think, let's say, in an airport, what should be the civil component? Then in a data center, what should be your exposure or a capex -- target capex component, if you could tell us? I'm assuming that in ports, it's a fairly high share because it's largely civil. So

I'm not calling that out. But in these 2 areas, if you could call out?

Jayanta Basu: I can tell you what is the present component of the job what we have secured. But future, you have to ask our promoter, what will be their plan in which they go.

Pritesh: No, no, no. My question was generally a civil component in your area of interest component is what in a data center and it is what in an airport, if you could tell that?

Jayanta Basu: Normally, in data center, civil component is around 25%, say 30%. And balance port would be around 50%, 55% or even more than that. It's difficult to say in that manner because it depends upon -- I need to do a little bit of more homework.

Pritesh: Okay. And is it fair to assume that your company should have about 50% market share in the group's capex the relevant component?

Jayanta Basu: No, no, no because civil component will not be 50% of the capex. It will be less than that.

Pritesh: No, as I said, 50% of the relevant component. So 50% of whatever is the civil component, is it a fair assumption?

Jayanta Basu: I won't be able to comment on it.

Pritesh: So today, what will be your market share in whatever incremental orders that are getting issued and you have started getting orders. So what will be your market share?

Jayanta Basu: I need to check.

Moderator: The next question is from the line of Mahesh Patil from ICICI Securities.

Mahesh Patil: Sir, my first question is on the order inflow, given the order inflow of more than INR6,000 crores in H1 and the strong pipeline, are we -- do we expect a strong H2? And are we revising our order inflow guidance for FY '26?

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Jayanta Basu: We just discussed with some of the investors. I think we have mentioned around INR15,000 crores. It will be around that, a little bit more than that. At this moment, we are not planning to have any new guidelines.

Mahesh Patil: Okay, sir. Sir, my second question is on the thermal opportunity, given the strong pipeline with Adani Power of around 23 gigawatt of capacity. How much of this can we expect to come to us?

Jayanta Basu: It depends upon our capability and our resource availability. Some of them already we have received, some of them we are discussing. But I am not able to comment on how much is their total focus on the thermal. But for us, it will be in the range of, say, INR2,000 crores, INR2,500 crores maximum in this year.

Mahesh Patil: Okay. Okay, sir. And sir, my last question is on the pumped storage capacity. So the opportunity there, given that many of the developers, including Adani Green is kind of investing into pumped hydro storage. How much of the prospect do you see in this PSP?

Jayanta Basu: Yes. I think that's quite a bit of prospect. In general, it's there. As you know, that not only Adani Group, there are other promoters also entering into that. So yes, there's a good prospect available.

And good thing about the pumped storage package is the size of the jobs are quite big, ticket job. So even if you give 1 or 2, that gives a big scale up your work in hand position. So there is a good prospect in this segment.

Moderator: The next question is from the line of Sunil Shah from SRE PMS.

Sunil Shah: Sir, my question is slightly for a long term, that's like over the next 3, 4, 5 years or so. Sir, the entire initiative of the government to develop the shipbuilding clusters is coming up in future.

Sir, do we see any such sense of opportunity of business there in that segment for us because

even shipbuilding clusters would be associated very close to the port and building the shipyards, etcetera. So my first question is, do we see an opportunity in that space? If so, if we have some rough ballpark estimate of how much can it be in terms of numbers? So that is first. Second is, sir, our USP, what is it that we have an edge over competition in this entire marine business that we are doing? And

one more is the Vadhvan Port, which is coming up, which is one of the biggest port which is coming up in India right now as we are speaking. So any work where we are associated with that or anything that we foresee in the future? So these are my questions that I need to understand from your side.

Jayanta Basu: I think quite relevant questions. First of all, the shipbuilding opportunity will depend upon what opportunities are available. But if you say about capability-wise, part will be very much there.

First of all, we have to create the infrastructure more than the other part, the civil structure, which involves dry dock, wet basin, ship lift facility, slipway and all these structures are very specialist and we are very good in that.

We have done such kind of job in Project Sea Bird. We are doing at project Varsha. We have done at Garden Reach. We have done at ABG for Dahej. So we are very much in that in terms of our capability is concerned. So as and when it comes, we'll not leave there. I mean, now I
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don't have the data now what will be the size in terms of value and all. But as you can see that if it comes, we are there. That is number one.

Number two, USP of our differentiate with the other contractor is that See, this marine business has started in the year 1989. And 2 good things has happened. Those who have started working in Marine division since '89, they are almost all are there today in our company. There are hardly any migration of people. So the knowledge which is there is there. And the specialist plant and equipment, which is there, which is already there and the technology part.

In marine, technology is very important because you have the design, you have the engineering, you have technology then the execution. Before execution, the technology, each marine job is different. And you have to have some instead of innovation to cater to the job requirement. So I think we are quite good in that. And that is what I think differentiates us with the other marine contractors.

Your last question was Vadhvan. Vadhvan, as you see that it's a very big marine prospect. And for information, as you know, that already the first project contract is with us. So we have started the working there, and we hope that in future also, we'll be there in some projects, some contract.

Sunil Shah: Okay. Fine. Sir, given that size of opportunity is huge, meaning I'm just trying to correlate the way in which government intended to do on defense and on railways. Clearly, the road map is now on the shipbuilding thing. So do we see a shortage of quality manpower for us in the organization or any such thing which can act as a small bit of a hindrance given the size of the opportunity which is going to be there unfolded in the times to come. So anything? And are we preparing for those as well? Just if I can understand that.

Jayanta Basu: Yes. I think as you know, that construction industry in our country is a few hundred billion, million USD and all. So compared to that, whatever we do, that is quite insignificant, even compared to some other company as well. So you all know very well there are opportunities, and there is a continuous process in-house to build up the capability in terms of manpower, in terms of management capability, not only that, even to handle the logistics and other stuff. So that process is very much there.

And if you see that plant and machinery, those are available. You have to go to Middle East or Europe or Singapore, you get the plant and machinery or hire or you can buy them. That's not a very difficult task. But to have quality manpower, those who know the work, yes, that's a challenge. But I think we have done pretty well in them, and we are still working hopefully, that we'll be able to cater to that.

Moderator: The next question is from the line of Deekshant from DB Wealth.

Deekshant: The question is

on our margins going forward. So since we have this exciting opportunity in front of us, and we also are one of the few people who are able to do this in India. Don't you think that we have a good chance of accelerating our margins because I think 9% to 10% margins has been largely what we have done in the past?

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Jayanta Basu: Of course, there is who doesn't want to increase the margin. We're all working for that. But this is a market-driven issue because you can increase your revenue to have better margin, you can

reduce your cost to have better margin. And both has got the limitations. You want to increase your revenue, you cannot be competitive. If you are competitive your revenue is restricted. And to what extent you will reduce the cost because you have to deliver the job. So you have to leave in this same line of boundaries and still expect to do better. So yes, that's what my answer is.

Deekshant: Yes. I understand, sir. And we have been delivering quality. That's why we keep on getting the jobs. But can you put a number to what our margin trajectory can be maybe the next 2 years, next year and the year forward to it?

Jayanta Basu: Well, I think the PBT of 6%, which we have achieved is we are okay with that. EBITDA 10% plus 11% is okay. PAT around 4%. It is very difficult to predict what it will be after 2, 3 years' time. See, whole thing depends upon not only execution, depends upon the opportunity where the players are not there, green area, many things make a factor. So very difficult to predict what will be the margin. But our endeavor will be to have around 11% EBITDA, PAT close to 4%.

Deekshant: Okay. So basically, whatever margins are we having right now, these are like for the lack of better word, this is the worst margins we'll ever have. And from now on, we can expect an improvement in our margins in coming years or even quarters. Is that a fair assumption for us?

Jayanta Basu: You can always expect, yes.

Moderator: The next question is from the line of Jayesh Shah from OHM Portfolio Equity Research.

Jayesh Shah: Just a clarification. Your first half turnover is close to INR3,700 crores or so and full year should be around INR11,000 crores. So is this normal that second half would be close to twice the first half revenues in terms of execution?

Jayanta Basu: Actually, first half turnover is close to INR5,000 crores, I think INR4,718 crores. INR4,718 crores to be precise.

Jayesh Shah: Okay.

Jayanta Basu: Historically, if you see second half is always better than first half. Yes. We can put a number based on our previous performance.

Jayesh Shah: Right, right. And sir, given the order book pipeline plus the orders that you have, is it -- it should be predictable that you should be looking to double your revenues in less than 3 years, in which case, the execution cycle per quarter has to go up meaningfully. Is that a reasonable assumption?

I'm not asking for a specific guidance, but I'm saying, is this possible given the order book and the execution time lines that may go along with it?

Jayanta Basu: Yes, I think I must say that's a reasonable assumption.

Jayesh Shah: Right. And in which case, because of the operating leverage, EBITDA margins, can go to even 10%, 11% or higher because the corporate overheads will get absorbed over a higher top line?

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Jayanta Basu: Well, I think already it is 10% plus. I mean if you see historically, it was 9%, 8%. But since last few quarters, it has been more 10% plus. So this quarter is 11%, yes.

Jayesh Shah: Okay. Okay. And these large projects, normally, are they bid at around 10% to 11% EBITDA range? And is there any segmental variation between, say, ports, airports, civil and data center work and all? Or broadly, you do project bidding at 10% to 11% EBITDA range?

Jayanta Basu: I mean do you want me to say

that what percentage of margin we'll charge for bidding? I don't think that's been a fair questions.

Jayesh Shah: No, I'm just looking at a normal range that -- okay. So let me just ask you in a different way that are segmental margins different for different business?

Jayanta Basu: Yes, yes, yes.

Jayesh Shah: Okay. Okay. And can you at least rank them? I'm not asking you to give a specific number as to which are most profitable and which are least profitable?

Jayanta Basu: Rank them in the sense that as we have mentioned, underground metro, marine normally gives a better margin as compared to the other segments.

Jayesh Shah: I see. I see. And lastly, on -- whilst we have talked about Vadhvan Port, this Vizhinjam Port also, I think you have received just the breakwater project. So you should be getting more of that project as well since it's owned by the parent?

Jayanta Basu: Yes. I mean the opportunities has to be there from parent also. As you can see, Vizhinjam Port, there will be future extensions, so you may get some order from them.

Jayesh Shah: Okay. And when would you then need to raise your working capital limits? Because if your execution doubles, I think your working capital limits will also need to be doubled.

Jayanta Basu: See, working capital revenue, cash in, cash out, all goes proportionately. The moment you have more revenue, you bill more, you get paid by the client. So automatically, that part takes care.

What happens that you require to have some advance to start the new job before it converts to the running account. So that will be our endeavor to get advance as much as possible for the customer.

Otherwise, working capital, if you see historically during the last 3 years, there is a marginal requirement, marginal, I mean, increment in that. So we don't think we are much worried about

that. But as and when it is required, our team is working, our finance team, they will be able to arrange it issue. No issue.

Jayesh Shah: Right. And lastly, on retention levels, what are the normal retention levels for all the projects? And how long the retention levels are due?

Jayanta Basu: See, retention also, it is very -- varies customer to customer. Sometimes it is 5% cash, sometimes it is 10% cash, sometimes 0 cash and bank guarantee only retention. So that is how it goes. So

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today, our retention will be around INR600 crores out of business of around INR10,000 crores business.

Jayesh Shah: Okay. Okay. INR600 crores of retention versus advanced mobilization of INR900 crores?

Jayanta Basu: Yes, yes.

Moderator: The next question is from the line of Shreyansh Ghatani from SG Securities.

Shreyansh Ghatani: I had a couple of questions. Sorry, the first one was on the interest cost. So since we've got rerated, our credit ratings have gone up, should we expect any kind of benefit in terms of the interest cost that we'll be having here?

Jayanta Basu: See, the financial institutions are not in our control. But definitely, we'll try our best and we try and we hope and we wish that interest rate will come down. Let us see.

Shreyansh Ghatani: No. So the interest rate, I meant like since you've got a rating upgrade, credit rating upgrade, does that have any favorable impact to your rate of interest?

Jayanta Basu: Normally, yes.

Nitesh Sharma: There are many factors which drives that.

Jayanta Basu: Yes.

Nitesh Sharma: So that's not the only factor. But we are as rightly said by Mr. Basu, we are working. And the endeavor is always to bring down the cost.

Shreyansh Ghatani: Got it. The second question was on the data center side. So, this INR1,400 crores, INR1,500 crore order book that we've got. So, you said that 25% is the civil structure. So pretty much like 75% is something that we'll be subcontracting to. So, with that much amount of subcontracts, you think we'll still be able to maintain that around 10% margin?

Jayanta Basu: Actually, data center subcontracting means it is basically supply and then installation. So, it depends upon you go to which category of subcontractor. You can give it to somebody like very big company that entire thing they do it. You can divide them to small companies that part of them done by some other company. And then you can even buy the stuff by yourself and put somebody to install it. So, a whole lot of combination has to be done. And yes, that is a business. I mean, we have to do monthly not of all this.

Shreyansh Ghatani: Got it. So, you said you are also working on the electromechanical side. So, by when do we expect more of an integration that we have on the whole chain of data center EPC?

Jayanta Basu: First job what we have secured already have started working on that, including electromechanical. I think by another few months' time, the integration will happen.

Shreyansh Ghatani: Got it. And what would be the timeline for the execution for this project?

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Jayanta Basu: Data center, each data center civil part is around 16 to 17 months and thereafter another 6 to 7 months for the entire commissioning. So, 2 years plus, minus 2 years, you can consider.

Moderator: The next question is from the line of Maitri Shah from Sapphire Capital.

Maitri Shah: Yes. Just on the previous participant's question on data center with electromechanical jobs. So, do we have a better margin, compared to the civil side of this data center job?

Jayanta Basu: Unless we execute, how do we know? We have just started. We hope to be better but let us see.

Moderator: The next question is from the line of Bobby Jay from Franz Investments.

Bobby Jay: Regarding the data centers, isn't that more through PEB structures?

Jayanta Basu: Well, generally, yes, PV structures, but you can convert it to precast concrete items also.

Bobby Jay: Right. But do you think precast will still be used because you read more and more of these being done through PEB. So for example, for Adani, do they primarily use PEB or precast concrete?

Jayanta Basu: Mix, mix. I mean it is not only PEB, it is not only the precast mix of them.

Bobby Jay: Okay. And the second question is regarding the Adani Group. Whenever they have a project and assuming you have the capability and the capacity to fulfill it, does it directly come to you? Or do you have to bid for it?

Jayanta Basu: No, no, no. We are a listed entity. So it goes through a tender process. The normal process what is to be followed before, same thing continuing. I have clarified it before also. It doesn't come to us automatically.

Bobby Jay: Okay. So it's just like any other tender?

Jayanta Basu: Yes, yes.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, only one question. In the other income, what is the portion of currency gain for Q2?

Nitesh Sharma: It's around close to INR15-odd crores in Q2.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Jayanta Basu: Thank you all for the interest you have taken for our Q2 conference call of Cemindia Company Projects Limited. And hopefully, we remain connected and take more interest on our company.

Thank you.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Cemindia Projects Limited
Q3 FY26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : MR. JAYANTA BASU – MANAGING DIRECTOR –
CEMINDIA PROJECTS LIMITED
MR. NITESH SHARMA – CHIEF FINANCIAL OFFICER –
CEMINDIA PROJECTS LIMITED
MR. RAHUL AGARWAL – HEAD OF INVESTOR
RELATIONS – CEMINDIA PROJECTS LIMITED

MODERATOR : MS. NIDHI – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '26 Cemindia Projects Limited Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Nidhi from ICICI Securities Limited. Thank you, and over to you, ma'am.

Nidhi: Thank you, Muskan. Good evening to all. On the behalf of ICICI Securities, I welcome you all to the Q3 FY '26 Earnings Call of Cemindia Projects Limited. Today, we have with us from the management, Mr. Jayanta Basu, Managing Director; Mr. Nitesh Sharma, the CFO; Mr. Rahul Agarwal, Head of Investor Relations. We begin with the opening remarks from the management, followed by a quick Q&A. Thank you, and over to you, sir.

Nitesh Sharma: Yes. Good evening everyone and thank you for joining us on the Q3 FY '26 Results concall. This is Nitesh Sharma. So before we begin, I would like to mention that our discussion today may include certain forward-looking statements relating to Cemindia Projects Limited. These statements are based on management's current expectations and assumptions and are subject to various risks and uncertainties. Actual results may differ materially from those expressed or implied in such statements.

So let me first start with the financial performance for the quarter and subsequently our MD, Mr. Jayanta Basu, will be taking you through the operational performance of the company. So we are pleased to share that Q3 FY '25-'26 marked another quarter of good performance for the company.

The key highlights for Q3 FY '26 are that the total operating income stood at INR2,315 crores in Q3 FY '26 against INR2,270 crores of the previous corresponding year quarter. EBITDA stood at INR245 crores in Q3 against INR217 crores of previous year, which recorded a growth of 13% on a year-on-year basis. The EBITDA margin was at 10.6%. We recorded a PAT of INR111 crores in Q3 FY '26 against INR87 crores of the corresponding quarter of the previous year, again, 27 growth on a year-on-year basis.

Now the financial performance for 9 months stood at ending 31st December was operating income at INR7,087 crores in 9 months against INR6,714 crores in the previous year, a growth of 6% year-on-year. EBITDA for 9 months stood at INR749 crores against INR668 crores in the previous year 9 months period, a growth of 12%. EBITDA margin at 10.6%. PAT of INR356 crores in 9 months against INR259 crores of the previous year, a growth of 37% year-on-year basis.

The company stood at a very conservatively financed with a net debt to equity of 0.26x we would say. Now during this 9 months period ending 31st December, the company has secured order worth INR9,725 crores. Post December '25 till date, we have also secured orders worth INR2,000-odd crores, so that makes the total order book in the current year at INR11,700 crores. The overall pending order book in hand today stands at INR21,800-odd crores. So this was from my side.

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Now I would request our MD, Mr. Jayanta Basu, to take us through on the operational performance. Thank you.

Jayanta Basu: Hi, good evening. Welcome to this concall Q3 '25-'26 of Cemindia Projects Limited. I think Nitesh has covered all the parameters related to the last quarter results. As you can see that revenue has increased moderately, around 5.6% compared to last 9-month quarter 2024. There is a reason behind that, which I'll explain. But I'm very happy to share that our profitability has increased a lot.

Our PAT is now around 5%,

which was 3.9% last year in the same period. INR259 crores becomes INR356 crores. Similarly EBITDA is close to 11%. And you might have seen that for several years, our EBITDA used to be around 9% to 9.5%. But last few quarters we have been able to maintain more than 10%. So these are the good signs.

Regarding revenue, I think two factors have impacted. Otherwise, it would have been a little more. We secured a job at project Vadhavan the port job, that was secured a year back. Not a year back, say, beginning of last year. And we would have expected some revenue from this project. But because of some issues related to local problem and all, you must be knowing that everyday newspapers.

We were able to make hardly any progress. So that has really impacted our revenue. Similarly, the order flows, orders we have secured around INR9,000 crores orders by this time. But this order flow will impact coming quarters. In the last year, if you see, our order up to Q2 was only INR2,000 crores and quarter 4, INR874 crores.

So whatever order we have secured last year, that is being matured now for revenue, which is comparatively less as it should be. So this issue, there's some deferred revenue because of delayed order, and Vadhavan Port not starting, I mean, initiated has really impacted our revenue. Otherwise, we would have been very happy to report around 18% to 20% revenue more than last quarter of last year.

So having said that, profitability is better. And I have to share there are some significant or good things which has happened last year. We have completed the Mumbai Metro. We have handed over a beautiful building to Government of West Bengal. That is the new High Court building at West Bengal.

We have completed Vizhinjam Port. We have completed Udangudi Port. We have completed Kolkata Metro. You know how difficult it was a few years back. So some big challenging jobs we have completed last year, which is a good achievement. All are very challenging jobs and now our main focus is to handle a few challenging jobs like Project Varsha, Pune Metro, we have received an order a few months back at Dahej, Petronet and Ruwais in Abu Dhabi.

We all say jobs are all going well. And I think that quarter 4 results will be better than quarter 3. And there are opportunity-wise, it is something like that you may get one order which may impact you a lot because the big-ticket jobs are waiting. And each job will be INR5,000 crores to INR10,000 crores. There are a few jobs in that range.

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If we are lucky, if we get one or two jobs in that big-ticket jobs, the whole scenario will change. And we hope that, we are working very hard and we hope that some of them will be secured by us. So good orders secured so far, opportunities are ahead to secure some more order, big-ticket

jobs, profitability is better, finance is good. So that is what from my side. If you have any questions going forward, please ask. I think that's all from my side.

Moderator: Sir we can open the floor for the question and answer?

Jayanta Basu: Yes.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhananjay Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Mishra: Thank you for the opportunity. Am I audible?

Jayanta Basu: Yes.

Dhananjay Mishra: So just wanted to know as you said that a lot of projects got completed in this current quarter and we have seen very strong margin expansion. So I guess this is kind of one-off because we got a lot of orders completed or is it going to be kind of double-digit margin sustainable for the upcoming quarter as well?

Jayanta Basu: Yes. I think that is very difficult. We definitely have double-digit margin, which is expected next quarter or going forward, yes. And that is consistent we are doing. If you see last quarter also, it was double-digit margin.

argin. I'm talking about EBITDA. This quarter also a little bit more than last quarter. So, yes that was good.

Dhananjay Mishra: One quarter improvement is something, I mean, on higher side. And despite this new Labour Codes provision of INR15 crores. And so that is the one. And can you give some road map about order inflows pipeline for next 3 to 6 months, whether these orders will come from group or outside private and government and which sectors you are expecting order for 6 to 9 basis at least?

Jayanta Basu: Yes, I mean, -- okay. So far, we have INR9,000-odd crores jobs till now. And there are jobs which we have submitted our bid, and we are waiting for the results like Vadhvan Port, the Metro jobs at Delhi, and one port job in Odisha. So there are plenty of jobs from the group, including data center.

So I think tenders submitted, but yet to open is close to INR20,000 crores, And further INR30,000 crores to INR40,000 crores. So that is the kind of future job For coming quarter, this quarter we may secure new jobs from the group, which are all under discussion. So road map-wise, if you see that, we still maintain that another INR2,000 crores, INR3,000 crores jobs can be secured this year, which is February and March.

And Q4 or Q1, Q2 next year, there are some big-ticket jobs. It depends upon when government opens the tender or what is the timing. So if it happens, then there are very quite big-ticket jobs, which will change the whole scenario.

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Dhananjay Mishra: And lastly, on guidance front, because of this Q3 soft revenue, as you said, the deferment happened in Vadhvan Port order. So what is the status over there? And are we still maintaining INR11,000 crores mark or maybe INR10,000 crores, INR11,000 crores mark? For that, we have to achieve INR4,600 crores kind of turnover in Q4. So what is your view?

Jayanta Basu: See, it is not very sure how Vadhvan will take place, because it's totally not in our control. And but at the same time, the Pune Metro should start producing something and that project at Ruwais, that are now producing something. So I think that it will be at least 15% to 20% more than this quarter, roughly.

Dhananjay Mishra: Of the current quarter?

Jayanta Basu: The current quarter, yes.

Dhananjay Mishra: 20% more?

Jayanta Basu: Yes, yes. Estimate, yes.

Dhananjay Mishra: So, that is all from my side. Thank you.

Jayanta Basu: Thank you.

Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management. Please go ahead.

Niraj Mansingka: Sir, thank you for the opportunity. I just wanted to understand about the data center. Adani has a plan of data center on its own, as well as a joint venture with global scaler, hyperscalers. One, I want to understand how much are you ready to in capability to take those orders? And number two, what is your visibility on the orders of those coming in and the execution of those?

Jayanta Basu: Yes. This data center is under discussion for the last at least 7, 8 months since Adani has taking over this company. And we have ramped up our capabilities during the last few months. We have recruited several engineers, those who are experienced in data centers. We have visited a lot of sites all over the world to see how this happens, what is the method, what is the notions in this business?

And we have already started 2 data center building in Mumbai and foundation work is already

completed. Precasting work also half done. So we are in readiness to take up this activity. Visibility that Adani has got a big plan. And even if we do half of that, that will be quite big for our company.

Niraj Mansingka: Got it. And any potential -- if any thought process on how much is your -- opportunity size for you on the data maybe on a per megawatt basis? It will help me understand how much you are present in the data center?

Jayanta Ba

su: Per megawatt, you're asking about the cost?

Niraj Mansingka: No. I'm asking how much you would be capable of doing the projects, like...

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Jayanta Basu: See, a data center of 120 megawatts, 130 megawatts, typically, it's a 2-year cycle from beginning to the commissioning, 2 years to 27 months. So we have already secured 2 data centers of similar capacity. We may have another 2 or 3. Each year, we can do around 500 megawatts roughly with the present capacity.

Niraj Mansingka: This year means FY March ending '26?

Jayanta Basu: Yes. It depends upon the secured -- if you secure the job. Now what happens when you secure the job, there are two parts. First part is the civil, second part is the balance. So civil part is hardly 20%. So you may not see that ramp-up in revenue in the first year. But second year, definitely with the electromechanical part, balance 70% or 80% revenue will come. So you have to factor all these numbers when you calculate the revenue from data centers.

Niraj Mansingka: And, sir, how much -- if you take example of, say, 120 megawatt, how much would that -- if you get an order of 120 megawatt, how much revenue could you book -- order can you book on that side, as a potential range?

Jayanta Basu: See, you are asking a direct question, what will be the price of 120 megawatts. It's very difficult to answer because it depends upon the conditions, depending upon where is bidding, what are the terms and conditions of the project if something is supplied free. But what I can say is that 120-megawatt time line may take 2 to 27 months' time, and first year, 20% revenue, next year, 80% revenue. These are the guidelines you can take.

Niraj Mansingka: Okay. I will come back to the queue. Thank you.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Yes. Can you provide some clarity on the Bangladesh order status right now?

Jayanta Basu: Bangladesh work is going on absolutely okay. I mean, there are natural reasons why everybody should get scared. I know that. But local government is really supportive to us. Not only us, to any foreign companies those who are working there. And our people are quite okay. We are delivering the job as per our schedule. We're getting paid on time. And we are almost completing the piling job by end of May. So then our majority of the work will be completed.

Vaibhav Shah: What is the outstanding book as of December in the Bangladesh order?

Jayanta Basu: Outstanding, I have to check up. Give us some time.

Vaibhav Shah: Okay. Sir, secondly, when do we target to complete the Bangladesh order, in FY '27?

Jayanta Basu: Bangladesh order will be completed see, physical work will be completed before next monsoon, that is May or June next year.

Vaibhav Shah: Okay, okay. Sir, if I got the number correctly, so our year-to-date order inflows, including the INR2,000 crores, which we won in January, it should be around INR11,700 crores?

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Jayanta Basu: Yes, you are absolutely right.

Vaibhav Shah: Okay, okay. And sir, how do you see the margins going ahead? So it should be double-digit, right, between 10% to 11%?

Jayanta Basu: I think you don't expect too much of a hike, but the same margin pattern will be there, 10% to 11%.

Vaibhav Shah: Okay. Sir, lastly, one bookkeeping question. What would be our gross debt as of December?

Jayanta Basu: It's close to INR920 crores. Gross debt.

Vaibhav Shah: Okay, okay. Thank you, sir. Those are my questions.

Moderator: Thank you. The next question is from the line of Vinay Choudhary from Invexa Capital. Please go ahead.

Vinay Choudhary: Yes. So in the last quarter we had basically the inflow of about INR7,100 and we had a couple

of L1s like Pune metro and sewage plant of about INR3,000-odd crores. So what is the statu

s of

those L1s and because that also totalled up to about INR11,000 crores plus. And currently also we are about INR11,000 crores including the two projects what you mentioned. So just wanted to have some clarity and fill the gaps in that?

Jayanta Basu: I will not be able to connect last year -- last quarter, but I can tell you the present status.

Vinay Choudhary: Sure.

Jayanta Basu: So far, I think we have got around total INR11,700 crores. And that includes Pune metro of INR1,500 crores as well. And there are no such job where we are L1, except a small job in Seabird, INR500 crores but there are plenty of jobs we have submitted our bids. So it depends upon how it comes out.

I think we have submitted a bid of around INR25,000 crores total. Out of that, one job we have already secured or L1 that is that group company called Adani Mor Sagar project at Rajasthan, which is around INR6,500 crores job. So that will be added to the kitty very soon.

Vinay Choudhary: Sure. So about INR15,000-odd crores what we were expecting. So is there any upward revision what we are expecting in this year?

Jayanta Basu: So I still maintain around INR14,000 crores, INR15,000 crores because what has happened few of the government tenders, which we were expecting to have already completed is still getting delayed. And as well some group jobs are also getting a little delayed. It's a matter of time.

Otherwise, we would have achieved INR15,000 crores this year.

Vinay Choudhary: Sir, will this -- the delay, will that come up in the next year or it's kind of a lost kind of a bid for us?

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Jayanta Basu: No, it is not lost. It will come next year. It's a matter of time lag. That's all. I mean, if you get, you'll get now you can get later on also. So that is the issue whichever you get or do not get. But if you get now, if you get later on that is not going to affect much in our progress -- financial progress.

Vinay Choudhary: Okay, sure. Thank you very much.

Moderator: Thank you. The next question is from the line of Aditya Sahu from HDFC Securities. Please go ahead.

Aditya Sahu: I hope I am audible.

Moderator: Yes, sir.

Aditya Sahu: I do have a few questions. I think this may be a bit repetitive. I got disconnected in between. So, what would be the revenue guidance for FY '26, the revenue, EBITDA margin, and the order inflow guidance?

Jayanta Basu: Well, I think for -- to answer your question this is a big issue because we spend month after month to evaluate how much is the revenue and all. So it is not appropriate for me to give you a correct number. But as I have maintained it will be around 15% to 20% rise in the revenue and EBITDA margin.

Aditya Sahu: And on the EBITDA margin, 10%, 11% is what I could gather?

Jayanta Basu: Yes.

Aditya Sahu: On the order inflow front, you have mentioned INR15,000 crores. I hope that would be the correct number?

Jayanta Basu: Yes. I think -- see, there are a few jobs which are quite big. And if we are lucky to close one of them, the number can be anything. I mean, it can be INR10,000 crores, INR12,000 crores to INR20,000 crores, INR25,000 crores as well.

Aditya Sahu: Understood. Of this, how much are we expecting from group entities and what percentage are you expecting from group entities?

Jayanta Basu: Yes, I think we'll maintain a number of 20% to 25% from group in that range.

Aditya Sahu: Okay. 20%, 25% from group entities. And what would be the current bid pipeline that we have and how much of that is also from the group entities, if you can throw some light on that?

Jayanta Basu: Current work pipeline, a few data center jobs from the group, which they are developing in many places. And some job as I mentioned just now, Mor Sagar one irrigation job in Rajasthan and maybe some road jobs if they got -- if they get.

Aditya Sahu: Understood, sir. On the value terms, if you can provide the bid pipel

ine?

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Jayanta Basu: Value terms whatever I have said. Going forward, I don't know. But immediately, maybe around INR10,000 crores to INR12,000 crores job may come to us.

Aditya Sahu: In terms of the capex, so I understand that we did a capex of about -- I think last time the guidance was INR300 crores for FY '26. Is that the same capex guidance that we have right now and how much have we deployed till now?

Jayanta Basu: See, it depends upon again, which job we go on. Because last year we have secured many building jobs and we have to invest a lot for more material. Though it is not as costly as plant and tooling equipment, but still it is costly because nowadays everybody go for system forward. So there we have faced a lot and a few general plants we have procured. So this year also will be around what we spent last year, INR300 crores, this will be 10%, 15% more than last year.

Aditya Sahu: 10% to 15% more.

Jayanta Basu: In 9 months, we have spent around INR200-odd crores towards the capex.

Aditya Sahu: Understood. And in the current order book that we have of INR21,000 crores, how much of that is from the group entities as of now?

Jayanta Basu: 27%.

Aditya Sahu: 27%. On the Vadhavan Port that you had mentioned that 30 days in that sense. Any visibility as to when do you see that happening? And also, how much -- what would be the contribution of that particular order in the overall order book?

Jayanta Basu: It is INR1,600 crores, out of INR21,000 crores work in hand.

Nitesh Sharma: Less than 10%.

Jayanta Basu: And we have got visibility. We cannot speculate what may happen. It is not in our control.

Aditya Sahu: Understood, sir. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio. Please go ahead.

Jayesh Shah: Hello, sir. Thank you for the opportunity. My question again relates to the Vadhavan Port delays that you talked about in this quarter where apparently, we have seen a revenue loss, but your margins are actually better. So how should we think about it because if your revenue loss is due to work not being done, then that means that you have not been able to deploy your people or equipment and you have -- resulted back into revenue loss. Then is there also corresponding expenses that should have come in or does it mean that the rest of the business was at much higher margins? That's my first question?

Jayanta Basu: Well, revenue loss because work hasn't happened, so there is a direct -- you can see that. I think I'm sure another INR200 crores, INR300 crores revenue would have been more had this

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Vadhavan Port been in operation and regarding margins betterment, we have done good. We have efficiently handled the project and that is how this margin is better.

Jayesh Shah: No, so do we understand that INR200 crores to INR300 crores revenue loss is the unbilled item, in which case the expenses are also booked. So perhaps your margins are better than what you have reported?

Jayanta Basu: Well, actually, definitely, we have not spent INR200 crores of expenses in Vadhvan Port. We are very cautious. We have very small and scanty set up at site, because expenses are mostly due to the material what we've sourced and what we've done, and which converts to revenue.

Jayesh Shah: But you were able to redeploy your people to other projects?

Jayanta Basu: So in Vadhvan Port, hardly 2 or 3 engineers are there. That's all.

Jayesh Shah: I see. But even the redeployment of people did not yield to higher revenue from -- on an overall basis, is it?

Jayanta Basu: I couldn't get you, sir. What is your point?

Jayesh Shah: I said that if you could not proceed with the Vadhvan Port order and there was some loss of materials and whatever, but you were able to redeploy your team, that team should have hel

ped

you to recover that revenue from other projects. Or were they idle for the quarter?

Jayanta Basu: Yes. I mean, see, in a large company like ours, 5, 6 engineers here and there doesn't make much difference. So even if we have a team at Vadhvan working somewhere else, doesn't mean that they are generating extra revenue because the position is fixed.

Jayesh Shah: I see. And next quarter, you are able to figure out as to where to redeploy and recover the turnover lost, is it? In this quarter, basically.

Jayanta Basu: We want to redeploy tomorrow, provided the situation is stable.

Jayesh Shah: No, no. I'm saying that your Vadhvan is delayed, but you are able to redeploy your team elsewhere, and that is where you are expecting your revenue to be 15% higher over the quarter?

Jayanta Basu: Not because of Vadhvan resources deployed somewhere will give us better. It is because of time cycle. When a project starts, the initial 5, 6 months, you do at less progress and then the progress increases, per month turnover is more. So all these factors, if you put together, then you'll find that the revenue is a little bit more than this quarter.

Jayesh Shah: Understood, understood. Best wishes for that. And my last question is, when do we see a meaningful scale up in your quarterly revenue run rate? I'm not asking for specific guidance, but given that your order book is very large, perhaps you are capable of growing at least, say, 20%, 30% from your current base now. Of course, this is dependent on how your projects scale up and the milestone. Is that something that is going to happen in the next few quarters? Or will it still take time?

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Jayanta Basu: Well, it depends upon the orders, the nature of order, how fast they are converted to revenue. But if you ask me, as a company, we have got the capacity to ramp up the progress by 30% with our existing resources.

Jayesh Shah: Right. But based on your current orders and the milestone and the promise for execution, do you see a significant ramp up in the coming quarters?

Jayanta Basu: I mean, quarter 4 is okay. Quarter 1, quarter 2, yes, that will be better than quarter 3, quarter 4, definitely better. Because few jobs like Pune Metro will be in full swing, like Abu Dhabi Port will be in full swing, like some more jobs which we have secured recently, data centers will give more revenue. So this INR11,000 crores order what we have secured, they are now in threshold stage, initial stage. So they will be giving the revenue from next year, quarter 1, quarter 2.

Jayesh Shah: Okay. Thank you very much. That's all. Best wishes.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Yes, thanks for the follow-up. Sir, what would be our revenue growth guidance for FY '26 given the weaker Q3?

Jayanta Basu: 18%.

Vaibhav Shah: Sir, but to achieve that 18%, the asking rate would be much higher in the fourth quarter. So we are confident of around INR3,700 crores, INR3,800-odd crores revenue in Q4?

Jayanta Basu: No, I'm not talking about Q4. I'm talking about next year.

Vaibhav Shah: Okay. For FY '27?

Jayanta Basu: Entire FY '27.

Vaibhav Shah: Okay. And for '26?

Jayanta Basu: It will be around 16% to 20% growth in next year in terms of revenue. That's what I'll say.

Vaibhav Shah: And for FY '26?

Jayanta Basu: FY '26, we are left with one quarter now. And maybe we have achieved INR2,300 crores. Maybe another -- it will be another 15%, 20% more say per quarter.

Vaibhav Shah: Compared to Q3 and Q4?

Jayanta Basu: Compared to Q3 for Q4, yes.

Vaibhav Shah: Okay, okay. And sir, what would be our outstanding receivables from Bangladesh? It was around INR120 crores last quarter.

Jayanta Basu: Yes. INR170 crores in this quarter as on December.

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Vaibhav Shah: Okay, o

kay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Aditya Sahu from HDFC Securities. Please go ahead.

Aditya Sahu: Hi, sir. Thanks a lot for taking my question again. Just one bookkeeping question over here. I did notice that the numbers -- so for example, historical numbers for, say, Q2 of the FY '25, for that matter, were marginally different. If you can elaborate a little bit because I see that the numbers that are there for Q2 in the Q2 disclosures versus the numbers that are there for Q2 in the current disclosures of the date. Those are marginally different. Can you elaborate on that one?

Jayanta Basu: I really couldn't pick up your question. If you can repeat once again.

Aditya Sahu: Right. So sir, I was mentioning that the historical numbers, say, for example, for Q2 is marginally different from the disclosure that as compared to today's disclosure versus the Q2 disclosure that

we had. Similarly, I saw this one for the FY '25 audited numbers. If you can throw some light on that one?

Nitesh Sharma: Yes, yes. So there's an accounting representation change, which has the jointly controlled operations, which we were doing in various JVs. So the grossing up of net line items have been done. And accordingly, for this entire year, the numbers have been reinstated in the line item wise.

However, the profit number and the P&L will not change. The profit and loss remains the same. And that's an accounting treatment which has happened, which has led to a change in the numbers which were disclosed earlier.

Aditya Sahu: Understood, sir. The reason because I saw this on the audited numbers also. So that is the reason, yes.

Nitesh Sharma: So it's more of like we have benchmarked it with the best of the industry practices, and we took a view and then this is a judicial decision which was taken to...

Aditya Sahu: Understood, sir. So this was a onetime exercise, is what you're saying, in terms of the grossing of net line items, as you mentioned?

Nitesh Sharma: Right, right, right. Absolutely.

Aditya Sahu: Okay, okay. Thank you so much, sir. Thank you.

Moderator: Thank you. As that was the last question for the day, I would now hand the conference over to the management for closing comments. Over to you, sir.

Nitesh Sharma: So, thank you so much. Thank you so much for joining and attending this call, and we wish you all a very happy and good day, and we wish that whatever we expect, the things go well and the

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next period performance would be in line with the expectations which we have told to the investors. Thank you so much. Thank you so much for joining us.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect. Thank you.

Call: May 2026

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